UPSC CSE 2027 · GS Foundation

ECONOMY

Basics · National income · Growth · Money and banking · Inflation · Budget and taxes · External sector · Agriculture · Industry · Poverty and development

Handwritten revision notes

Built from the Sarrthi IAS GS Foundation Economy handouts (Aditya Kalia) with Sept and Oct 2026 current affairs.
Bracket trees · diagrams · mnemonics · PYQ tags · current affairs
Right column and left binding margin are kept blank for your own use.

Personal study edition · for printing

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POVERTY

PYQ Prelims 2012, 2019 (4 Prelims, 0 Mains) · Light

✎ *Poverty = deprivation in well-being; a line (HCR), World Bank lines with PPP, MPI = H × A and PGI/SPG each answer a different question, so always name the yardstick.*

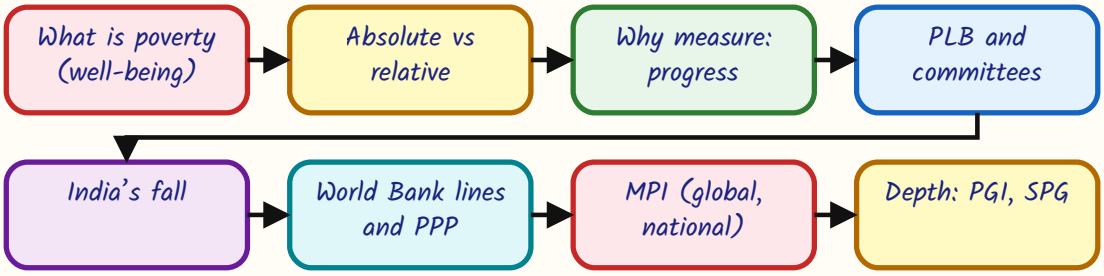
Current affairs · verify dates

World Bank: India made "remarkable progress" in reducing poverty
The World Bank's October 2026 Poverty and Equity Brief for India says the country saw one of the fastest reductions in poverty in the world over the last decade ... (full: CA pages at the end)

Defining Urban Areas in India
MoHUA told a parliamentary panel that census-town criteria do not capture the scale of urbanisation ... (full: CA pages at the end)

District Mineral Foundations (DMF) and PMKKKY
The CAG flagged irregularities in DMF functioning and PMKKKY implementation in Odisha.

At a glance: the route of the chapter



1 · WHAT IS POVERTY

World Bank: poverty = **pronounced deprivation in well-being**, many dimensions: low income, no goods for survival with dignity, low health and education, poor clean water and sanitation, inadequate physical security, lack of voice, no capacity and opportunity to better one's life. Elements: **social, economic, political**.

Well-being dimension	Focus / key elements
Physical	body: activity, nutrition, sleep, healthcare
Emotional	feelings: coping, stress, emotional intelligence
Social	support network, community, belonging

Financial	income vs spending, assets, savings; financial stress = top anxiety
Intellectual	learning, hobbies, problem-solving
Spiritual	meaning, purpose, mindfulness
Environmental	surroundings: safe spaces, nature, sustainable living

2 · ABSOLUTE vs RELATIVE

	Absolute (normative)	Relative
Basis	standard criterion	comparison with others
Who decides	experts (normative, their opinion)	mean or median income, or another group
🎯 Example	cannot afford expert's basket	income below population average
Link	not poor absolutely, may be poor relatively	reflection of inequality

🔧 3 · WHY MEASURE POVERTY: PROGRESS, NOT BENEFICIARIES

Two errors

→ Exclusion error: deserving left out
→ Inclusion error: undeserving put in
→ trade-off: minimise exclusion first
→ JAM trinity: Jan Dhan, Aadhaar, Mobile (trade-off remains)

💡 Real purpose

→ assess progress: normative milestone, how many below then vs now
→ compare regions/states fairly
→ sample 20% below PL = estimate, not a count
→ source: NSSO HCES (Household Consumption Expenditure Survey)
→ on consumption expenditure (CE), not income (income less truthful, volatile)

Trap: beneficiary lists are hard to revise and only grow, so counting beneficiaries ≠ poor. Estimation is "a purely academic exercise" to judge progress. Poverty estimate steps (recall): standard, sample, information, apply, HCR.

4 · POVERTY LINE BASKET AND COMMITTEES PYQ Prelims

Poverty line basket (PLB): goods and services an expert thinks needed for basic dignity; priced in the relevant market, total = consumption-based poverty line. Normative: experts differ and views change. Before 1947: Dadabhai Naoroji ("Poverty & Un-British Rule in India", 1906), National Planning Committee (1938), Bombay Plan (1944). After: Planning Commission, expert committees from the 1970s.

Committee	What it added	Detail
Dandekar and Rath (1971)	calorie-based PL	2250 calories per person per day; food + non-food PLB
YK Alagh (1979)	rural / urban split	2400 rural, 2100 urban calories
Lakdawala (1993)	state-specific PLs	consumption pattern and price differences; same calories; update with inflation index
Tendulkar (2009)	health, education, drinking water, sanitation	earlier assumed state paid; HCES-based normative spend; still calorie-based; non-food grew so PL rose
Rangarajan (2014)	behavioural component	actual spend on alcohol, tobacco, entertainment, behavioural health and education

Rangarajan basket

Normative food
→ ICMR guidelines (calories, fat, protein)
→ average household of 5 (age-sex mix)

Normative non-food
→ housing, clothing, transport, health, education

Behavioural
→ alcohol, tobacco, behavioural health and education

Teacher/handout stresses (asterisked): Rangarajan's PL was not accepted; Tendulkar continues as official PL. Tendulkar then Rangarajan told NSSO to use multiple recall periods (URP → MRP → MMRP: 7 or 30 days frequent items, 365 days less frequent). ⭐

5 · INDIA'S PROGRESS (Tendulkar line)

Phase	What happened	Arithmetic
Slow (before 2000s)	HCR ~65% (1951) to ~45% (1993)	~20 pp in ~45 years = 0.44 pp/yr; poor numbers still rose (population grew faster)
🧑‍🤝‍🧑 Fast (after 2000s)	growth 3.5% to 6.5%; HCR ~22% in 2012	~23 pp (45 to 22) in 20 yrs = 1.15 pp/yr, thrice earlier
🧑‍🤝‍🧑 Latest HCES 2023–24	HCR ~1%	almost 2 pp/yr over last decade

Yardstick trap (same years, three numbers)

→ Tendulkar HCR ~22% (2012)
→ India's latest national line announced 2014 = nearly 30% (2011–12; handout also says "at least a third", loose)
→ World Bank $3 (2021 PPP) = 27.1% (2011–12), 5.3% (2022–23)
→ HCES 2023–24 ~1%. Absolute poor peaked near 530 million then fell; 1970s = fastest population growth, low growth.

🌐 6 · WORLD BANK LINES, PPP, HOW INDIA IS COMPUTED

Group-specific lines on GNI per capita. Low-income countries' line = Extreme / International Poverty Line (EPL / IPL); basis of SDG 1.1: eliminate extreme poverty by 2030. 💡

Line (June 2025, 2021 PPP)	How set	$/person/day	Rupees
IPL (extreme)	median of national lines of low-income countries (LIC)	$3.00	~₹60 (₹62 at PPP 20.6)
LMIC line	median, lower-middle-income (India here)	$4.20	~₹84
UMIC line	median, upper-middle-income (China, Mexico, Indonesia, South Africa)	$8.30	not given

PPP

→ rate of currency conversion equalising purchasing power (removes price-level differences)
→ example: apples ₹100/kg India = $5/kg US
→ GDP per capita 2023: ₹205,000 India · 89,000 yuan China · $83,000 US (cannot compare in local currency)
→ market rate fails: $1 = Rs 90 but $1 item not buyable at Rs 90
→ Factor: $100 US basket = Rs 2000 India, so PPP factor = 20

India's rate computed

→ national lines built 1970s–2010s; latest announced 2014 on 2011–12 data (nearly 30%)
→ No poverty line since 2014; Bank still estimates with international lines
→ NSO HCES 2022–23 after 11-year gap; records all spend, values subsidised goods
→ Bank: basket ("welfare aggregate") to 2021 prices by CPI, 2021 PPPs, distribution by real consumption, apply lines

🌐 7 · WORLD BANK VIEW OF INDIA

Line	Share poor	Number	Remark
$3.00	5.3% (1 in 20)	~75 million (2022)	>1/4 in 2011; majority in 1977; fastest fall after 2004
$4.20	24% in 2022 (~1 in 4)	close to 350 million	more appropriate for India (LMIC)
$8.30	over 80% (4 in 5)	a little over 1.15 billion	only ~1 in 5 in China, Viet Nam

→ fell from 1 in 2 (1970s) to 1 in 20 (2022)

India vs others

→ extreme: world 10.8%, India 5.3%, first time below world average
→ Bangladesh 5.9%; China and Viet Nam eradicated; China ended it by 2020
→ at LMIC line India still above world average
→ fall slower than China, Viet Nam; faster than Nigeria, Kenya
→ India's share of world's extreme poor: 27% (2000s) to ~9% (2022); extreme poverty concentrated in Sub-Saharan Africa

Source conflicts (handout): LMIC line $4.20 (section 7, ~₹84) vs $3.65 (end summary): use $4.20, check your notebook. IPL ~₹60 vs ~₹62: say "₹60–62"; quote $ value and PPP year. Summary: IPL raised from $2.15 (2017 PPP) to $3.00 (2021 PPP); much of the revision from changes in national lines, not just inflation.

🎯 8 · BEYOND A MONEY LINE: MULTIDIMENSIONAL POVERTY PYQ

Prelims MPI/OPHI

🌐 Global MPI

→ proposed by OPHI (Oxford Poverty & Human Development Initiative) to UNDP, which publishes it
→ 3 dimensions: health, education, standard of living; 10 indicators
→ poor if deprived on 3 or more of 10
→ developed by Sabina Alkire and James Foster; adopted in UNDP HDR 2010
→ cooking fuel deprived: solid fuel (bark, dung), no LPG or kerosene

9 · NATIONAL MPI (NITI Aayog)

National MPI

→ NITI Aayog with UNDP and OPHI; national, state, district level; feeds SDG 1.2 (halve poverty in all dimensions by 2030)
→ Progress Review 2023: 36 States/UTs, 707 districts, 12 indicators, NFHS-5 (2019–21) vs NFHS-4 (2015–16)
→ method: Alkire–Foster dual cut-off; kept 10 global, added Maternal Health and Bank Account
→ poor if deprivation score above 33%; MPI = H × A (H headcount, A intensity)

Dimension (weight 1/3 each)	Indicator (weight)	Deprived if…
Health	1 Nutrition (1/6)	any child 0–59 months, woman 15–49 yrs or man 15–54 yrs undernourished
Health	2 Child-adolescent mortality (1/12)	any child/adolescent under 18 died in last 5 years
Health	3 Maternal health (1/12)	woman with birth in last 5 yrs lacked 4 antenatal visits or skilled birth help
📚 Education	4 Years of schooling (1/6)	no member aged 10+ completed six years
📚 Education	5 School attendance (1/6)	school-aged child not attending up to age he/she would complete class
Std of living	6 Cooking fuel (1/21 each)	dung, crops, shrubs, wood, charcoal, coal
Std of living	7 Sanitation	unimproved/none, or improved but shared
Std of living	8 Drinking water	no safe water, or 30-minute round-trip walk
Std of living	9 Housing	natural floor, or rudimentary roof/wall
Std of living	10 Electricity	no electricity
Std of living	11 Assets	not more than one of radio, TV, telephone, computer, animal cart, bicycle, motorbike, refrigerator, and no car/truck
Std of living	12 Bank account	no member with bank or post office account

Worked example: HH1 7 members 72.8%, HH2 5 members 52.6%, HH3 4 members 21.4% (not poor, below 33%). H = (7+5)/(7+5+4) = 12/16 = 0.75. A = (7 × 0.728 + 5 × 0.526)/12 = 0.64. MPI = 0.75 × 0.64 = 0.48. Only poor households count; A averages poor people's scores. ✅

Trap: 33% and 12 indicators = India's National MPI; 3 or more of 10 indicators = global MPI. Both have 3 dimensions. Benefits: complements money statistics, monitors single indicators (overlaps SDGs), state and district breakdown, integrated policy.

10 · NATIONAL MPI: NFHS-4 TO NFHS-5

	MPI	H	A
National NFHS-5 (2019-21)	0.066	14.96%	44.39%
National NFHS-4 (2015-16)	0.117	24.85%	47.14%
Rural NFHS-5 / NFHS-4	0.085 / 0.154	19.28% / 32.59%	44.55% / 47.38%
Urban NFHS-5 / NFHS-4	0.023 / 0.039	5.27% / 8.65%	43.10% / 45.27%

Findings

→ 135 million (13.5 crore) escaped in 5 years; on track for SDG 1.2

→ MPI nearly halved; rural fell fastest (pro-poor)

→ all 12 indicators improved; biggest falls sanitation 21.8 pp, cooking fuel 14.6 pp

→ highest H: Bihar 33.76%, Jharkhand 28.81%; lowest: Kerala, Goa, Sikkim

→ biggest fall: Bihar 18.13 pp, MP 15.94 pp, UP 14.75 pp (steepest also Odisha, Rajasthan)

Policy push: SBM, JJM, Poshan Abhiyan, Samagra Shiksha, Saubhagya (PM Sahaj Bijli Har Ghar Yojana), PM Ujjwala Yojana (PMUY), PM Jan Dhan Yojana (PMJDY), PM Awas Yojana (PMAY). MPICC meetings, Reform Action Plans: 50+ reform actions in 16 areas. 💡

⚠️ 11 · SUMMARY: TRIUMPHS AND GAPS

Measure	Then	Now
Extreme poverty (national)	27.1% (2011-12)	5.3% (2022-23)
Rural extreme	18.4%	2.8%
Urban extreme	10.7%	1.1%
⚠️ Rural-urban gap	7.7 pp	1.7 pp
Multidimensional (12-indicator)	55.34% (2005-06)	14.96% (2019-21)
Consumption Gini	28.8 (2011-12)	25.5 (2022-23)

⚠️ Drivers and gaps

→ five states (UP, Maharashtra, Bihar, West Bengal, MP) = 65% of extreme poor 2011-12, two-thirds of fall

→ Jan Dhan, PM Kisan Samman Nidhi, foodgrain to 80 crore; new consumption survey

→ Dignity deficit: ₹62 ($3) too low; Amul milk ₹63/litre (2022)

→ top 10% earn 13× bottom 10% (2023-24); 234 million more men than women in paid jobs

→ youth unemployment 13.3% (29% graduates); GHI rank 105 (35.5% stunting, 18.7% wasting); World Happiness rank 118; India loses over 30% of HDI to inequality

12 · DEPTH AND SEVERITY: HCR, PGI, SPG

HCR flaw: treats all poor equally (₹1 below = zero income). FGT class (1984, Foster, Greer, Thorbecke): FGT1 = PGI, FGT2 = SPG; used by World Bank and UN. 💡

	PGI: depth	SPG: severity
🔧 Measures	average shortfall from line	severity and inequality among poor

How	gap as % of line; non-poor gap 0	square each gap, then average
Use	PGI × poverty line × total population = cost of lifting all to line (perfect targeting)	weights larger gaps: "poorest of the poor"
Limit	ignores inequality among poor	falls only if deeply destitute are reached

Name trap: handout calls SPG both FGT2 and "**Sen index**" (Amartya Sen); link as handout does, check class notes. Leads on to inequality (Ch 2).

In the news · Oct 2026 (verify dates) **World Bank:** Poverty and Equity Brief for India (October 2026): "remarkable progress", one of the fastest reductions in poverty in the world.

In the news · Sep 2026 (verify dates) **DMF and PMKKKY:** CAG flagged irregularities in District Mineral Foundations and PMKKKY in Odisha. **Defining Urban Areas:** MoHUA told a parliamentary panel census-town criteria miss the scale of urbanisation.

Recall drill: cover and answer

Official PL: which committee, which not accepted?	Tendulkar 2009 official; Rangarajan 2014 not accepted	Calorie norms: Dandekar-Rath, Alagh?	2250 (1971); rural 2400, urban 2100 (1979)
World Bank lines (2021 PPP, June 2025)?	$3.00 IPL, $4.20 LMIC, $8.30 UMIC; India 5.3%, 24%, over 80%	National MPI: indicators, cut-off, formula?	12 indicators, above 33%, MPI = H × A
Global MPI: who, indicators, threshold?	OPHI and UNDP; 10 indicators; 3 or more	NFHS-4 to 5: MPI and H?	0.117 to 0.066; 24.85% to 14.96%; 135 million out
Biggest indicator falls; highest H state?	Sanitation 21.8 pp, cooking fuel 14.6 pp; Bihar 33.76%	PPP factor from $100 vs Rs 2000 basket?	20
PGI x line x population gives?	Minimum cost of ending poverty; SPG squares gaps (FGT 1984)		

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

PPP = Public-Private Partnership — Long-term project partnership between government and a private firm

PM = Prime Minister — Head of the Union government

UNDP = United Nations Development Programme — UN body that publishes the Human Development Report

SDG = Sustainable Development Goals — 17 UN goals to be met by 2030

NITI = National Institution for Transforming India — Government policy think tank that replaced the Planning Commission in 2015

MP = Member of Parliament — Elected or nominated member of Lok Sabha or Rajya Sabha

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

UN = United Nations — World body of states founded in 1945 for peace, security and cooperation

DMF = District Mineral Foundation — Trust for welfare of mining-affected people, funded by mining firms

CAG = Comptroller and Auditor General of India — Constitutional auditor of Union and State accounts (Art 148); reports go to Parliament and Legislatures

LMIC = for India

PMUY = PM Ujjwala Yojana

PMJDY = PM Jan Dhan Yojana

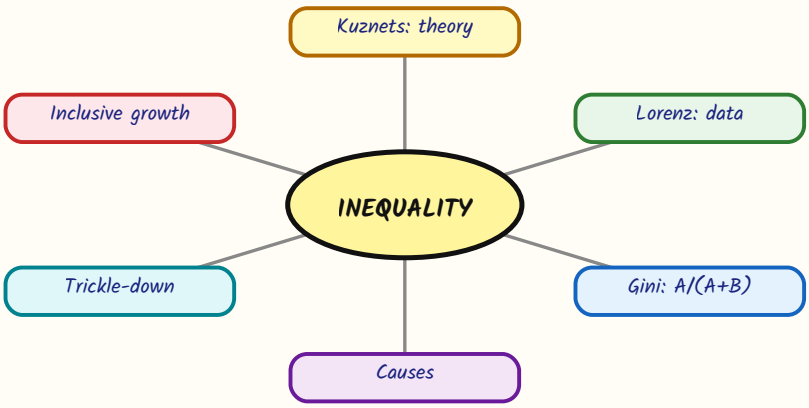
PMAY = PM Awas Yojana

INEQUALITY

PYQ Prelims 2011, 2012, 2014 · Mains 2014, 2016, 2017, 2019, 2020, 2021 (inclusive growth)

✎ *Inequality = differences in attainment of well-being; some comes with growth, but its kind (fair vs unfair, set by rule of law) decides the outcome.*

At a glance: the set of ideas



1 · WHAT IS INEQUALITY

Definition: differences in the degree of attainment on aspects of well-being (poverty = floor; inequality = differences above it). Example: 1 hospital per 5 km² vs 2. Economic, social or political; **measured by economic differences**: income, expenditure, wealth.

Which base?

→ preferred: **consumption expenditure (CE)**, like poverty
→ wealth inequality generally higher, but wealth and income less truthfully revealed, volatile
→ **CE-based: lower but most objective**
→ government measures consumption inequality (no verifiable regular data on others)

2 · KUZNETS CURVE: A THEORY

Kuznets

→ income rises: inequality **rises**, then **stabilises**, then **corrects** (inverted U, phases A, B, C)
→ **not data-based**, merely theoretical expectation
→ phases not equal or proportional in length

3 · LORENZ CURVE: DATA-BASED

Case	Lorenz curve looks like
Perfect equality	x = y line OP (line of perfect equality)
Perfect inequality	one person has all: along x-axis, then vertical at last point: OQP / QP
Real country	between the two; closer to OP = more equal

Handout figures conflict: text example bottom 20% = 3%, bottom 40% = 10%; chart: bottom 20% = 3%, 40% = 10%, 60% = 25%, 80% = 50% cumulative, sketch example bottom 80% = 40%. Do not quote numbers; explain method (sort, group, shares, plot cumulative) and the two extreme lines.

4 · GINI COEFFICIENT AND ITS FOUR SHORTCOMINGS

Gini = A / (A + B) (A = area between equality line and Lorenz curve; B = area below Lorenz curve; A + B = area between equality and inequality line). Range 0 (A = 0, equality) to 1 (B = 0, inequality). Gini up = inequality up.

Shortcoming	Concept	Explanation
👥 1 · Not decomposable or additive	no simple maths with Ginis	State A 0.3 and State B 0.4 do not combine to 0.35; cannot say which sector drives inequality
2 · Same Gini, different distributions	one number hides the shape	Society A: starving poor, rich middle, no billionaires; Society B: comfortable poor/middle, trillionaires hold half the wealth; both 0.40
3 · Tails vs middle transfers	sensitive to middle, blind to extremes	₹10,000 gift between middle-class visibly moves Gini; billionaire taking ₹10,000 from beggar barely does
4 · Hides subgroups	blind to who rich and poor are	cannot show old holding 90% wealth, or caste/race gaps

5 · WHY INEQUALITY EXISTS

(1) Natural advantages

→ accidents of birth or location: family means, status, networks, inherited wealth, geography

→ most inequalities explained by them

→ siblings differ: comparative advantages (elder given responsibility early; younger artistic)

(2) Marx

→ inequality from different ability of groups to enforce interests: capital vs labour, profits vs wages

→ capital scarce, labour abundant: low labour bargaining power; capital concentrated

→ capital deserves risk reward, but profit share keeps rising, wages slowly: inequality compounds

(3a) Modern: critique of Marx

→ survivorship bias: uses only visible information

→ adjust profits for losses of firms that shut: growth rate not very different; most new firms shut within 10 years

→ over longer term profits and wages grow at similar rate

→ surviving firms gain market growth and share after others close; wages grow with market size only

→ key to profit = survival and market share; the means decide the kind of inequality

(3b) Rule of law	Fair means	Unfair means
Firms do	better goods: R&D, risk, innovation, skilled workers paid well	exploit connections with lawmakers/ enforcers
📜 Strong rule of law	pushed to this route	strong disincentive
📜 Weak rule of law	fair players fall	firms ignore workers, consumers, minority shareholders, society
Outcome	society benefits: tolerable, "good" inequality	everyone loses except owners: bad inequality

Teacher/handout stresses: modern reasoning is about the nature of inequality. Rule of law = not merely a law, but a collective environment of competent, unbiased institutions that frame, execute and adjudicate laws. Example: Competition Act, 2002 is one aspect; its application decides.

6 · GROWTH AND INEQUALITY

Growth causes inequality

→ by design: scarce resources go where growth potential is higher
→ good: more employment, faster poverty fall
→ focused sectors/regions grow faster: inequality rises
→ models = general policy approaches, not mathematical; both essentially the same, different emphasis

7 · TRICKLE-DOWN

PYQ Prelims/Mains inclusive growth

Idea: focus scarce resources on high-growth sectors/regions; multiplier effect; benefits can trickle down slowly, so government redistributes (pro-poor model).

Four conditions for trickle-down

1 Chosen sector grows → 2 Govt collects more tax (high tax efficiency) → 3 Govt decides to redistribute (not reinvest) → 4 High redistribution efficiency

If any fails: no trickle-down, inequalities become permanent. Not anti-poor, but assumptions often fail. Leads to inclusive growth.

8 · INCLUSIVE GROWTH

PYQ Prelims 2011, 2012, 2014 · Mains 2014-2021

Inclusive growth

→ broad-based growth, driven also by the bottom; bottom moves from passive recipient to active contributor with rightful claim

Pillar 1: Capability

→ identify poor and regions, reasons, focused interventions
→ skills, basic healthcare, quality education
→ recognise behaviour (why children not in school? teachers? girls' washrooms? costs?)

Pillar 2: Opportunity

→ jobs, entrepreneurship, ease of doing business
→ risk sharing, access to capital (financial inclusion)

	Trickle-down	Inclusive growth
Idea	focus on high-growth sectors	broad-based, bottom as contributor
Bottom	passive recipient	active contributor, rightful claim
Govt	redistributes at its discretion	builds capability, provides opportunity
Weakness	fails if one of four conditions fails	effort on skills, institutions, credit, enterprise

Readings: capability: National Skill Development Programme, PMKVY, Economic Survey 2025-26 (skills, health, education); opportunity: Jan Dhan Yojana, Mudra Yojana, Economic Survey 2025-26 (support to industry). "This is just the beginning."

Answer frame: some inequality comes with growth; judge its kind: good (fair means, rule of law) vs bad (connections, weak law). Growth is inclusive when the bottom helps make it and so rightfully shares it.

PYQs (sheets): 12th Five-Year Plan objective = faster, sustainable and more inclusive growth; inclusive growth aids: SHGs, MSMEs, Right to Education Act; Inclusive Governance: District Planning Committees, public health spending, Mid-day Meal. Link: consumption Gini 28.8 (2011-12) to 25.5 (2022-23); IHDI and Jan Dhan (2014) fit here.

In the news · Oct 2026 (verify dates) World Bank brief: jobs, youth unemployment and wage gaps: large rise in employment, rise in youth unemployment, sharp wage disparities.

Recall drill: cover and answer

Kuznets curve: theory or data?	Theory: inequality rises, stabilises, corrects (phases A, B, C)	Lorenz curve: what are OP and QP?	OP = line of perfect equality; QP (OQP) = perfect inequality
Gini formula and range?	A/(A+B); 0 to 1; up = more inequality	Four Gini shortcomings?	Not decomposable; same Gini diff shapes (0.40); tails vs middle; hides subgroups
Marxist view and its critique?	Capital vs labour bargaining, compounding; survivorship bias, firm survival	What is rule of law, example?	Competent unbiased institutions, not just a law; Competition Act 2002
Four conditions of trickle-down?	Sector grows; tax efficiency; decide to redistribute; redistribution efficiency	Two pillars of inclusive growth?	Capability (skills, health, education); Opportunity (jobs, enterprise, EoDB, capital)

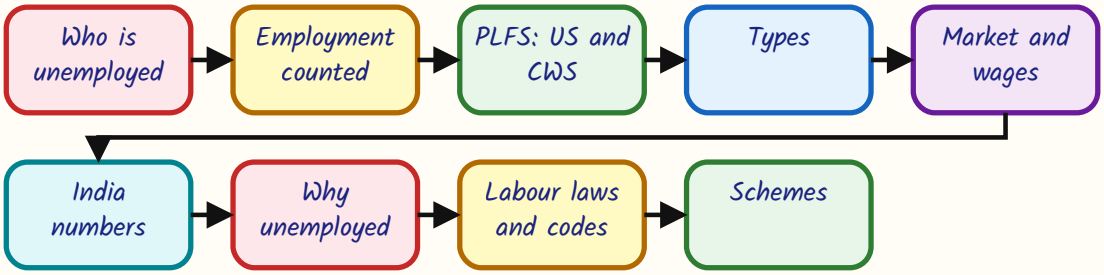
UNEMPLOYMENT

PYQ Prelims 2011, 2012, 2013, 2017, 2018, 2019, 2021, 2022, 2024 · Mains 2014, 2015, 2016, 2022, 2023, 2024

Current affairs · verify dates
District-level labour market indicators (PLFS)
NSO released district-level PLFS labour indicators for the first time. PLFS design revised in January 2025: districts replaced NSS Regions as sampling basis ... (full: CA pages at the end)

✎ *Unemployed = able, willing, looking, no work. UR = UE ÷ labour force; PLFS usual status vs CWS; India's UR fell to 3.2%, but the real problem is skills vs aspirations and informality.*

At a glance: the route of the chapter



1 · WHO IS UNEMPLOYED: DEMOGRAPHIC DIVISIONS

Definition: "a situation where someone who is able as well as willing to work, is unable to find work" (Mankiw, Samuelson-Nordhaus, Blanchard: no job, available, actively looked in previous four weeks). Unemployed is a subset of not-working. Source: PLFS of NSSO (RBI, Labour Ministry align); ILO global standard.

Term	Meaning
WAP Working Age Population	India NSSO/PLFS: 15 years and above; ILO often 15–64
Dependents	children (0–14) and senior citizens (65+)
Dependency Ratio	[Pop (0–14) + Pop (65+)] ÷ Pop (15–64) × 100
Labour Force (LF)	working or looking for work = employed + unemployed
Not in LF	students, rentiers, disabled, domestic duties
Able / Willing	physical + mental capacity / genuine active search in reference period (exchanges, applications)
LFPR	LF in cohort ÷ total population of cohort × 100 (crude, 15+, or group e.g. married women 21–30)
UR	n(UE) ÷ n(LF); n(LF) = n(Emp) + n(UE); share of LF, not population
WPR	employed ÷ total population; per 1000 persons

Teacher/handout stresses: which working age? Demography (dividend, pyramids, DR) = 15–64 (65 = elderly dependents; also PYQ: demographic dividend = high 15–64 population). PLFS metrics (LFPR, UR, WPR) = 15+ (no universal social security, 70-year-old farmer cannot retire). First "not wrong", second "more right" here. ⭐

2 · WHAT COUNTS AS EMPLOYMENT

🗺️ Employment (SNA boundary)

→ not just 9-to-5; salary not mandatory

→ self-employed (own-account, employers); unpaid family helpers; casual labour; regular salaried

→ pay in kind, in assets (shares), or exchange labour

Activity	Employed?
Running business for profit	Yes
Unpaid family shop work	Yes
Farming for own consumption	Yes (inside SNA boundary)
Domestic work for own family	No (non-market)
Paid domestic work for others	Yes
Volunteer work for NGO	No (usually excluded)

NSSO (understand, do not memorise): workers = in economic activity or attached but abstained (illness, injury, disability, weather, festivals). Unemployed = not worked but sought work or showed willingness. "Able" is physical/mental only: Code 95 = unable owing to disability; no age. A 13-year-old at a tea stall counts as employed in raw data. 💡

3 · PLFS: USUAL STATUS vs CWS

PLFS replaced EUS (about once in 5 years): larger sample, higher frequency; annual survey, households visited monthly. Three statuses: Working; Seeking/Available; Not in LF. 💡

Point	Usual Status (US)	Current Weekly Status (CWS)
Reference	one year (365 days)	last 7 days
Criterion	Majority time	Priority: Working > Unemployed > Not in LF
In LF if	working/seeking majority of year: ≥ 183 days = PS	worked or available any time in the 7 days
📝 Working if	PS: majority of LF days; SS: ≥ 30 days work in year	≥ 1 hour on any 1 day
Unemployed if	in LF but no work majority (PS); no 30 days (SS)	no work even an hour, but seeking/available ≥ 1 hour on any day
Captures	chronic/structural; smooths seasonality	short-term swings, underemployment; closer to ILO
Which UR higher?	generally lower	generally higher (short recall)

PS, SS, UPSS

→ PS: LF if ≥ 183 days; employed if work for majority of LF days (LF 200, work 120 = employed)

→ SS: principally unemployed but ≥ 30 days work = employed on SS

→ UPSS merges both (captures invisible labour, e.g. women with ~40 harvest days); PS+SS = headline rate

→ CDS (Current Daily Status) dropped after 2012

Person	Days working	Days looking	LF days	In LF (≥183)	PS	SS
A	150	0	150	No	–	Yes (≥30)
B	110	90	200	Yes	Yes (110 ≥ 100)	Yes
C	140	160	300	Yes	No (140 < 150)	Yes
D	25	275	300	Yes	No	No (25 < 30)

Worked example (population 1000): not in LF 200; LF 800. PS: employed 600, unemployed 200. Of 200: SS employed 150, unemployed 50. UR(PS) = 200 ÷ 800 = 25%; UR(PS+SS) = 50 ÷ 800 = 6.25%. Exam order: LF test (183 days), then PS, then SS. ✅

🎯 4 · TYPES OF UNEMPLOYMENT PYQ 2013

Type	What it is	Example / cause
Structural	skills or location mismatch; long-term, workers immobile	agriculture to industry; automation vs scarce AI developers
Seasonal	predictable drops at set times	farm off-harvest, tourism off-season, construction in rains
Frictional	search time under imperfect information; healthy; job portals cut it	between jobs; fresh graduates
Voluntary	in LF, offered job, refuses (counted unemployed)	below dignity; overqualified; bad terms; benefits
Underemployment (employment)	employed but skills/hours unused; invisible (overqualified), visible (more hours)	PhDs applying for peon; 3 hours in 8-hour day
Disguised	extra workers, MPL zero (or negative); recorded employed	2-acre farm needs 2, has 5 brothers, output 100 quintals
Wage-rate (classical)	wages stuck above equilibrium; supply > demand permanently	minimum wage above equilibrium; strong unions
Cyclical (Keynesian)	above natural rate when growth below expectation	falls when AD grows fast

Teacher/handout stresses: marginal product of (n+1)th worker = output(n+1) − output(n); n produce x, n+1 produce x + y; disguised UE where y = 0 (2013 PYQ). Underemployment and disguised both sit inside "employed". ⭐

5 · DEMAND, SUPPLY AND LABOUR MARKET

Market basics

→ Demand = ability + willingness; law of demand: QD inversely with price (ceteris paribus), other factors shift curve (price, income, taste, culture, season, population, substitutes)

→ Supply = ability + willingness; law: directly with price (price, profitability, raw materials, labour, capital, EoDB, R&D investment, infrastructure)

→ price takers; only monopoly = price setter; market = exchange of information

→ DL ∝ 1 ÷ wages; SL ∝ wages; wage stuck above equilibrium = permanent excess supply = wage-rate UE

6 · WAGES, CYCLICAL UE, NRU AND NAIRU

Wage	What it is	Focus
Floor	Union baseline (Code on Wages, 2019); states cannot go lower	absolute national bottom
Minimum	lowest legal pay; mainly states (Haryana vs Bihar)	survival
Fair	between minimum and living; Committee on Fair Wages (1948); area rates, productivity, profitability	industry capacity to pay
Living	decent life: nutrition, housing, health, education, transport, savings; ignores employer ability	dignity

Order: Floor ≤ Minimum ≤ Fair ≤ Living. 📌

Cyclical and NRU

→ labour demand derived from aggregate demand (AD); UR falls only if employment growth > LF growth (LF 100: 80 emp, 20 UE = 20%; LF +10% to 110, emp +5% to 84, UE 26, UR 26 ÷ 110 = 23.6%)

→ NRU = frictional + structural + seasonal + voluntary; full employment ≠ zero; potential GDP

→ NAIRU (Phillips Curve, Inflation chapter): below it, wage-price spiral, inflation accelerates

→ NRU and potential GDP are estimated: UR 8%, NRU 5% = cyclical 3% (A); NRU 7% = cyclical 1% (B)

🎯 7 · INDIA: PLFS NUMBERS PYQ Prelims 2020

PLFS annual since 2017: US (PS+SS) and CWS (CWS released monthly); survey year July–June, now calendar year (Jan–Dec).

Year (age 15+)	UR	LFPR	Female LFPR
2017–18	6.0%	49.8%	23.3%
2018–19	5.8%	50.2%	24.5%
2019–20	4.8%	53.5%	30.0%
2020–21	4.2%	54.9%	32.5%
2021–22	4.1%	55.2%	32.8%
2022–23	3.2%	57.9%	37.0%
2023–24	3.2%	60.1%	41.7%

Then vs now (2017–18 to 2023–24)

→ LFPR 49.8% to 60.1%
→ WPR 46.8% to 58.2%
→ UR 6.0% to 3.2%: falling UR with rising LFPR, "outstanding", but see below.

Critical analysis

→ LFPR still low: Vietnam ~68.5%, China ~66.5%, South Korea ~63.5%, Japan ~63.2%, US ~62.5%, Bangladesh ~61.9%; India crossed 60% first in 2023–24
→ UR fall came from (a) more agricultural jobs (disguised UE, lowest productivity) and (b) self-employment (productive but vulnerable, much distress employment)
→ firms prefer contract workers; "low-income country with first world problems"

Sector	Share GDP	Share employment	Productivity (GDP ÷ emp)
📚 Agriculture	18	46	₹0.39 per worker
Industry	28	25	₹1.12 per worker
Services	54	29	₹1.86 per worker

Agriculture share of employment: ~75% at independence; below 50% around 2012; ~44% before Covid; ~46% by PLFS round 5 (laid-off absorbed); declining again in last two surveys.

Graduates (PLFS 2023–24, chart 2024): UR by education: illiterate near nil, primary 1.1%, secondary 3.5%, higher education 12.9% (1 in 8). By age: 20–24 = 37%, 25–29 = 19%, 30–34 = 8%, 35–39 = 2%, 40–44 under 1%. Women outside LF: care/home ~58% (20s), 91% (30s), 88% (40s); men in 20s: education 96%. MoSPI chart Apr–Jun, Jul–Sep: all-India 5.4%, 5.2%; rural 4.8%, 4.4%; urban 6.8%, 6.9%; youth 14.6%, 14.8%; rural youth 13.1%, 13.1%; urban youth 17.9%, 18.4% (use trend, not decimals).

🎯 8 · WHY UNEMPLOYMENT: LOW GROWTH, JOBLESS GROWTH OR SKILLS? PYQ Mains 2014–2024

1 · Low growth? No

→ post-1990s ~6.5% vs world 3.5%, developing ~4.5%

2 · Jobless growth?

→ Employment elasticity ε = % change employment ÷ % change output (output 10%, jobs 6% = 0.6: 60% workers, 40% productivity)
→ ε fell to ~0.01 in 2004–09: "jobless growth"
→ but UR did not rise: employment growth still faster than LF growth, so "jobless" too harsh

Period	LF growth	Employment growth	Reading
2000–01 to 2011–12 (sluggish)	~1.8%	~1.5–1.6%	rising UE; 2004–2010 jobs ~0%
👫 2011–12 to 2020–21 (lost and found)	~1.3%	~1.2%	women left LF (female LFPR ~23%) to 2017; 2017–21 distress as unpaid helpers
2017–18 to 2023–24 (surge)	~4.5%	~5.0%	WPR 46.8% to 58.2%; workforce +36%, ~170 million jobs in 7 yrs; UR 3.2%

Caveat: the surge partly reflects better data (PLFS counts informal better) and much is agriculture and self-employment: quote surge with its quality caveat.

Productivity vs employment: false choice

→ cannot be inefficient (China, Vietnam undercut)

→ goal = **decent** jobs (million digging holes with spoons: 0% UE but poor)

→ falling ε not always bad; bad only if jobs do not absorb entrants

→ answer: skill youth to run machines

3 · KEY REASON: aspirations and skills mismatch

→ **Voluntary:** matching job exists but fails aspiration; **Structural:** aspired job exists but skill lacking, vacancy stays

→ **Youth-education paradox:** only the non-poor afford "luxury of unemployment"; later accept lower-skilled work or leave LF (**hidden unemployment**)

→ **India Skills Report** (Wheebox with CII, AICTE, AIU; WNET): employability ~**50–55%** (ISR 2024/2025)

→ graduate UR ~**13%** (chart 12.9%); women with diploma/certificate LFPR ~55% vs men ~89%

→ remedy: skills, vocational training, better wages in lower-skilled jobs

📜 9 · LABOUR LAWS, FORMAL AND INFORMAL, FOUR CODES

PYQ Prelims 2021, 2022

Year	Pre-2020 Act	What it does
1926	Trade Unions Act	registration, rights of unions
1936	Payment of Wages Act	wages on time, no arbitrary deductions
1947	Industrial Disputes Act	strikes, lockouts, layoffs, retrenchment
1948	Minimum Wages Act	minimum wages for scheduled occupations
1948	Factories Act	safety, health, welfare in factories
1952	EPF and Miscellaneous Provisions Act	compulsory contributions: corpus, pension, insurance
1961	Maternity Benefit Act	paid leave (now **26 weeks**); no firing for pregnancy
1970	Contract Labour (Regulation and Abolition) Act	conditions; can abolish in core industries

Till 2019: **40+ central, 100+ state laws**; compliance costly ("Inspector Raj"); small firm hires indirectly (guards via contractor). Formal/informal split is firm-created to cut compliance. Formalise: PF, TDS, formal contract. 💡

	Organised vs unorganised (firm)	Formal vs informal (worker)
Looks at	enterprise (NCEUS / Arjun Sengupta Committee)	worker's contract and benefits
Organised / formal	registered, incorporated; government, firms with **10+ workers (with power) or 20+ (without)**	written contract, paid leave, social security (PF, ESIC, pension, maternity)
Unorganised / informal	unincorporated, individual/household, proprietary/partnership, **under ten workers**	workers in unorganised enterprises, or in formal sector without benefits

	Formal worker	Informal worker
Organised enterprise	Infosys engineer, bank manager	contract guard/cleaner via contractor (informalisation of formal sector)

Unorganised enterprise	almost non-existent	farm labourer, vendor, bakery assistant: 80%+ of workforce

Gig and platform workers (NITI Aayog "India's Booming Gig and Platform Economy"): "independent contractors/partners" (Uber, Swiggy, Urban Company), outside employer-employee relation, no social security. Contractual employment = bridge; rigid laws pushed organised sector to contract workers.

Four Labour Codes (29 central laws into 4)	Main point
Code on Wages, 2019	universal minimum wages, timely payment incl. unorganised
🛡️ Code on Social Security, 2020	social security funds for gig, platform, unorganised; gratuity after 1 year for fixed-term
📝 Occupational Safety, Health and Working Conditions Code, 2020	streamlines safety; heavily regulates contract labour
Industrial Relations Code, 2020	simpler disputes; more hire-fire flexibility

⏳ Fixed-term employment (FTE)

→ direct hiring for set period, written contract, ends automatically
→ parity: hours, wages, allowances, EPF, ESIC
→ Gratuity: permanent 5 years; fixed-term 1 year (Code on Social Security, 2020)
→ lacks long-term security; expiry not retrenchment (no notice or compensation)
→ better than contract: on principal employer's payroll, no middleman; social security of formal, flexibility of informal

⚠️ 10 · SCHEMES: PROBLEM AND FIX

PYQ Prelims 2011, 2012, 2018, 2024

Problem	Fix
Employer compliance burden	Shram Suvidha
Unorganised worker vulnerability	e-Shram and PM-SYM
Structural skill mismatch	PMKVY (Skill India)
Lack of formal jobs (jobless growth)	PLI and ELI
Rural distress, cyclical shocks	MGNREGA

Scheme	Detail
e-Shram (2021)	first National Database of Unorganised Workers; UAN; cash/food transfer in a shock
PM-SYM	voluntary contributory pension, income under ₹15,000/month; pay e.g. ₹55-200, government matches; ₹3,000/month after 60
Shram Suvidha	employer portal: LIN, single returns, computer-assigned inspectors
PMKVY / Skill India	short-term industry-relevant training; RPL (Recognition of Prior Learning) certifies existing skills
PLI	subsidy if domestic production targets met; derived demand for labour
💰 ELI (Budget 2024-25)	govt pays part of EPFO contribution for first-time employees
MGNREGA / VB-GRAM(G)	100 days wage employment to rural households asking unskilled manual work; shock absorber, rural wage floor

Traps: handout writes "MGNREGA/VB-GRAM(G)" and does not explain the second name; the 2011 PYQ says Mahatma Gandhi National Rural Employment Guarantee Act (eligible: adult members of any household), write that. PYQs in handout: Labour Bureau compiles industrial disputes, closures, retrenchments, layoffs (2022); casual workers (2021); post-1991 workforce (2020); real GNP/development (2018); NCS not DoPT-run, not for uneducated (2017); capital formation (2013); NRLM = SHGs + skills (2012); PM-SYM (2 and 3 only: age-specific contribution, ₹3,000 after 60; entry age 21-40 was the wrong statement).

📰 In the news · Oct 2026 (verify dates) World Bank brief: jobs, youth unemployment and wage gaps: large rise in employment, rise in youth unemployment, sharp wage disparities.

In the news · Sep 2026 (verify dates) District-level PLFS: NSO released district-level labour-market indicators for the first time.

Recall drill: cover and answer

UR formula; headline rate?	UE ÷ LF (not population); PS+SS (UPSS)	PS, SS, CWS thresholds?	PS ≥ 183 days in LF; SS ≥ 30 days work; CWS 1 hour in 7 days
Which rate is higher, US or CWS?	CWS	Pop 1000, LF 800: UR(PS), UR(PS+SS)?	25% and 6.25%
Disguised unemployment means?	MPL zero (5 brothers, 2-acre farm, 100 quintals)	Wage order?	Floor ≤ minimum ≤ fair ≤ living
NRU = ?	Frictional + structural + seasonal + voluntary; full employment ≠ zero	PLFS 2017-18 vs 2023-24: UR, LFPR, WPR?	6.0 to 3.2; 49.8 to 60.1; 46.8 to 58.2
Agriculture share of workers vs GDP?	46% vs 18% (₹0.39 per worker)	Gratuity: permanent vs fixed-term?	5 years vs 1 year

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

ILO = International Labour Organization — UN body on labour standards

MGNREGA = Mahatma Gandhi National Rural Employment Guarantee Act, 2005 — Legal guarantee of 100 days of wage work to rural households

PLI = Production Linked Incentive — Incentive scheme tied to production growth

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

NGO = Non-Governmental Organisation — Private voluntary body working for social causes

CDS = Chief of Defence Staff — Single-point military adviser to the government; heads the Department of Military Affairs

AI = Artificial Intelligence — Machines performing tasks that need human-like intelligence

NITI = National Institution for Transforming India — Government policy think tank that replaced the Planning Commission in 2015

DoPT = Department of Personnel and Training — Nodal department for civil service policy

LF = Labour Force

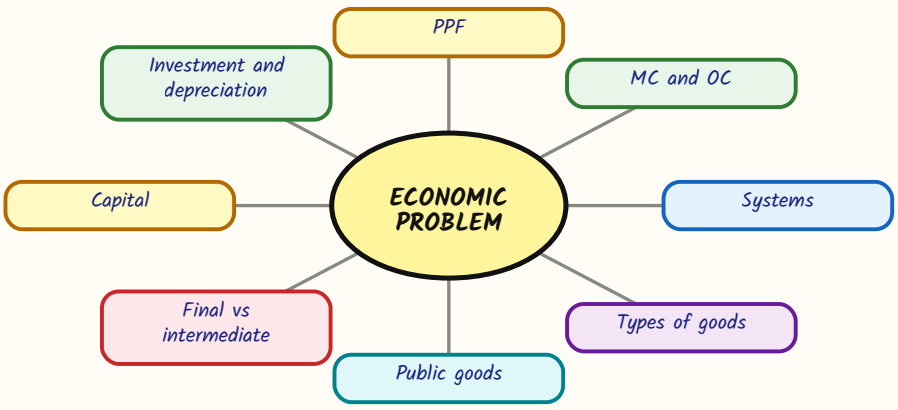
CWS = Current Weekly Status

BASIC CONCEPTS OF ECONOMICS

PYQ Prelims 2013, 2018, 2021, 2022, 2023, 2024 · Mains 2017, 2020

Limited resources, unlimited wants: economist advises, PPF is the sustainable target, and goods, capital, investment and depreciation are the building blocks of GDP.

At a glance: the building blocks



1 · ECONOMIST'S TASK AND THE PPF

⚠️ Economic problem

→ limited resources, unlimited wants; economist advises, decision-maker chooses
→ first assess (a) budget constraints (limiting resources) and (b) prevailing technology
→ then estimate maximum sustainable output = PPF

Scenario (8 hours)	Deer	Berries	Berries gained per 2 deer
A	10	0	-
B	8	200	200
C	6	380	180
D	4	530	150
E	2	630	100
F	0	700	70

PPF

→ normative (each economist's assessment); actual output is fact
→ below PPF: possible, not desirable; beyond: desirable, not sustainable (15-hour days)
→ dynamic: technology pushes it out ("less deer, more bullets")
→ economist's role: help society reach PPF

🎯 2 · MARGINAL COST vs OPPORTUNITY COST

PYQ Prelims free commodity

	Marginal cost (MC)	Opportunity cost (OC)
💡 Meaning	actual cost of one more unit	benefit foregone: next best alternative
💡 Nature	resources actually spent	conceptual, not necessarily financial
Use	prevents overreach: best resources used first; high MC justified only if marginal benefit high	look past visible results to sacrifice
🎯 Example	stadium: cement, steel, labour	stadium vs rural hospital or school

Teacher/handout stresses: OC is "arguably the most powerful concept in all of economics", "ultimate reality check". Economics "has no morals". PYQ: free commodity: OC transferred from consumers to the tax-paying public. ⭐

3 · SYSTEMS OF RESOURCE ALLOCATION

	Decentralised (free market)	Centralised (command)
Core	liberty to own, trade; prices as signals	authority (king, dictator, politburo, even elected govt) directs
⚡ State role	laissez-faire; "invisible infrastructure": rule of law, property, contracts, truthful information, no fraud	controls resources; intent "deeply moral": equity
Incentive	self-interest (Adam Smith), invisible hand	state-created monopolies (licences, quotas): rent-seeking (cronyism)
Critique	capitalists dominate: high inequality from natural advantages	information problem; rigid worse inequality (connections)

Trade-off: Milton Friedman: "A society that puts equality before freedom will get neither. A society that puts freedom before equality will get a high degree of both." Also G. B. Shaw on communism at 20, capitalism at 30. No system is perfect. ⭐

🎯 4 · TYPES OF GOODS PYQ Prelims 2021

Pair	Defining behaviour	Curve	Examples
💰 Necessary vs Luxury (price elasticity)	necessary: inelastic; luxury: elastic	steep / flat	staples, life-saving drugs / home décor, premium electronics, holidays
Normal vs Inferior (income elasticity)	normal: demand up with income; inferior: falls	shift right / left	cars vs bicycles; nutritious food vs coarse grains, public transport, second-hand clothing
Substitute vs Complement (cross-price)	substitute: positive; complement: negative	–	coffee-tea; cars-petrol, bread-butter, printers-ink
Merit vs Demerit	merit: positive externality, under-consumed; demerit: negative, over-consumed	–	education, healthcare, vaccines, libraries / alcohol, tobacco, drugs

Relativity: basic motorcycle = normal in low-income nation, inferior in high-income one. 💡
2021 PYQ rule: substitute price up = demand up; complement price up = demand down; inferior good with income up = demand down; own price falls = demand up. Answer (a) 1 and 4 only.

Upward-sloping demand	Veblen	Giffen
What	ultra-luxury, status; almost nil marginal utility over cheaper	inferior good, special circumstances
Why	price falls, status lost, demand falls	massive share of poor income, no cheaper substitute; negative income effect beats substitution
🎯 Example	luxury sports cars, designer jewellery, heritage items, rare breeds	worker: 90% income on coarse grain, 10% meat; grain price up, buys more grain
Reality	–	mostly theoretical

5 · PRIVATE vs PUBLIC GOODS

Excludable? / Rivalrous?	Rivalrous	Non-rival
Excludable	Private: food, clothing, cars, electronics	Club: cable TV, private parks
Non-excludable	Common resources: ocean fisheries, public roads	Public: defence, law and order, clean air

	Private goods	Public goods
Traits	excludable and rivalrous; "market efficiency"	non-excludable and non-rival
Result	market provides	Free Rider Problem (FRP): market failure
Provider	producers	government (taxes): "how a government comes into existence"
🎯 Examples	food, cars	police, defence, administration, licensing, streetlights, lighthouses

Government resources limited: provides most vital goods, prioritised by necessity. 💡

⏳ 6 · INTERMEDIATE vs FINAL GOODS

Intermediate (IG): input for resale, economic identity lost. Final (FG): identity retained, no further economic modification. By end-use, not physical form; crucial for GDP. 💡

Case	Class	Reason
🏛️ Salt bought by household	Final	home food not sold
Salt bought by hotel	Intermediate	meal sold
Mobile, screen guard, cover	All final	assembly by consumer
Phone resold after 3 years	Still final	transfer of ownership, no new production

7 · CONSUMER vs CAPITAL GOODS; FIXED vs WORKING CAPITAL

PYQ Prelims

Final goods

Consumer goods
→ household use
→ durables / non-durables

Capital goods
→ machines and tools, bought by producers
→ last many cycles (not raw material)
→ SNA: produced assets used repeatedly for more than one year: buildings, heavy machinery, blast furnaces, trucks, tractors, software, R&D

	Fixed capital	Working (circulating) capital
What	retained, used over more than one year	used up in operations; within production cycle / under a year
⚡ Role	rigid "infrastructure"	"blood"
🎯 Examples	plants, machinery, buildings	raw-material stock, work-in-progress, cash for wages

Trap: financial capital (money, stocks, bonds) is NOT economic capital here: "Do not make this mistake in the exam."

8 · INVESTMENT AND GROSS CAPITAL FORMATION

PYQ Prelims 2013, 2018, 2022-24 · Mains 2017, 2020

Investment = expenditure by firms on capital goods in a period (usually a year); buying mutual funds or gold = transfer of financial assets, not investment. Capital = stock; investment = flow. Institutions (IMF, OECD, India's National Accounts Statistics) call it Gross Capital Formation (GCF).

GCF = GFCF + change in inventories + acquisitions less disposals of valuables.
Housing: dwellings add to infrastructure sustaining labour services, so added dwellings = investment, not consumption.

9 · DEPRECIATION, CFC, CCA

Depreciation: loss of value from wear and tear; neither an actual loss nor an expenditure. Net Investment = Gross Investment − Depreciation.

Net investment	Meaning	Effect
> 0	more new than worn-out	capacity expands (PPF outward)
= 0	just replaces	stagnant
< 0	not covering depreciation	capital stock shrinks

Term	Whose tool	Basis	Example: machine ₹10 lakh in 2015
Depreciation	corporate accountant	historical cost	10 years: ₹1 lakh/yr even if new costs ₹25 lakh
CFC (Consumption of Fixed Capital)	national statistician, RBI (SNA); NDP, NNP	current replacement cost	10% capacity = ₹2.5 lakh today, so CFC ₹2.5 lakh
💰 CCA (Capital Consumption Allowance)	Income Tax Department	statutory rate on historical cost, "legal fiction"	write off 40% of solar plant in year one (accelerated)

Maintenance (oiling a loom) = routine, intermediate cost; does not stop depreciation (obsolescence: 2024 loom 10× faster than 1990s loom).

PYQs in sheets: capital: farmer's plough working (wrong), computer fixed, yarn fixed (wrong), petrol working: only two correct; intangible investments: brand recognition, intellectual property, mailing list (inventory not); capital-output ratio; human capital formation; economic growth needs capital formation; household savings fund government borrowing, dated securities in auctions.

Recall drill: cover and answer

PPF: normative or dynamic?	Both: normative, shifts with technology; target not fact	MC vs OC?	Cost of one more unit vs value of next best alternative foregone
Free market vs command: failures?	Inequality; information problem and rent-seeking	Giffen vs Veblen?	Giffen: poor person's inferior staple; Veblen: ultra-luxury status
Public good traits and problem?	Non-excludable, non-rival; free-rider problem; government provides	Salt: household vs hotel?	Final vs intermediate (end-use)
GCF formula?	GFCF + change in inventories + valuables	Net investment?	Gross investment − depreciation
Depreciation vs CFC vs CCA?	Historical cost accountant; replacement cost statistician (NDP, NNP); tax rule		

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

IMF = International Monetary Fund — Global lender for balance-of-payments support

OECD = Organisation for Economic Co-operation and Development — Club of mostly rich economies

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

FRP = Free Rider Problem

GCF = Gross Capital Formation

NATIONAL INCOME ACCOUNTING

PYQ Prelims 2011, 2013, 2015, 2018, 2022 · Mains 2020, 2021, 2025

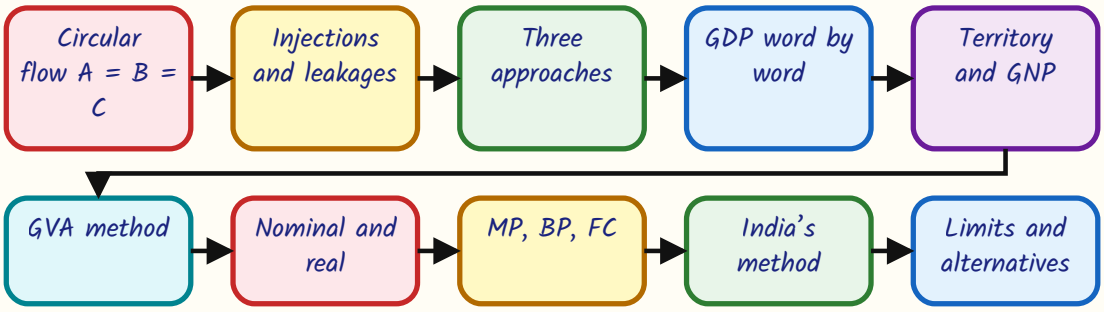
Current affairs · verify dates

Double deflation in GDP estimation

Q1 FY27 real GDP grew 7.8% and nominal GDP 10.3%, an implicit GDP deflator of about 2.3%.

National income accounting is the economy's dashboard: A = B = C, GDP counted by value added, GNP = GDP + NFIA, three prices (MP, BP, FC), and GDP is a thermometer of income, not of well-being.

At a glance: the route of the chapter



1 · WHAT NIA IS FOR

Accounting = recording, classifying, summarising incomes. National = income earned in the nation or by nationals. Income = reward to factors: rent (land), wages (labour), interest (capital), profit (entrepreneurship). NIA = the economy's dashboard (1.4 billion cannot be asked). Built as basic model, advanced model, real world.

🎯 2 · CIRCULAR FLOW OF INCOME MODEL (CFIM) PYQ Prelims

Label	Meaning
A total incomes	firms to households: wages + rent + interest + profit
B total production	value of all goods and services produced
C total expenditure	households' spending on goods

CFIM: A = B = C. Two entities: households (own factors) and firms. Assumptions: no savings, no government, no foreign trade, no inventory, no capital goods spending. Households spend all (A = C); no inventory (B = C); firms pay out all receipts as incomes. ✅

3 · MULTI-SECTORAL MODEL: INJECTIONS AND LEAKAGES

	Items	Effect
Leakages	Savings (S), Taxes (T), Imports (M)	A, B or C shrinks
Injections	Investment (I), Exports (X), Government (G)	A, B or C expands

MSM

→ drops assumptions; still A = B = C as dynamic equilibrium: "A chases C, B chases A"; flow variables over a period

→ saving: C falls, then B, then A

→ govt = special household and firm: goods spend raises C, B, A; hiring teachers, soldiers raises A, C, B; savings via banks to investment; export demand same

→ economy grows only if injections exceed leakages

🎯 4 · THREE APPROACHES PYQ Prelims National Income

Approach	Formula	Counts
Income (A)	TI = R + P + W + Int	payments to factors in domestic territory
Expenditure (C)	TI = AD = C + G + I + X − M	received by domestic firms: subtract foreign parts (imports M) from C + G + I + X
Production (B)	TI = GDP = Σ VA_i = GVA	value of final goods and services in a year

GDP word	Meaning
Total	aggregate: blind to merit/demerit and owners
Value	objectively assessed price; only priced goods (parent cooking for child excluded)
Final	intermediates already inside: avoid double counting
Produced	counted in year of production; second-hand sales not recounted, new services (brokerage, registration, repair) are
🗺️ Economic territory	production inside territory, whoever produces
Given period	flow: quarter or year

Land question: buying land worth ₹10 crore in Delhi: handout leaves open; by its rules the purchase adds nothing, brokerage and registration do. 💡

🗺️ 5 · ECONOMIC TERRITORY AND GNP

Counts as India's ET	Does NOT count
Indian embassy in Washington, consulate in Dubai, Antarctic bases (Bharati, Maitri)	American embassy in Chanakyapuri, Japanese consulate in Mumbai
🌐 Ships/aircraft in international transit (Air India over Atlantic, SCI vessel)	UN, WHO, IMF offices in India (extraterritorial)
🛡️ Fishing vessels, oil rigs in international waters with exclusive rights (EEZ)	

GNP = output by nationals anywhere. GNP = GDP + NFIA = GDP + (income earned by Indians abroad − income earned by foreigners in India). Handout writes GNP = GDP + C − B (C Indians abroad, B foreigners in India); letters B, C reused, so use NFIA form. ✅

6 · GVA METHOD

Separating final from intermediate is nearly impossible (every producer sees output as final), so sum each producer's VA_i = output value − input value; total = GVA = GDP.

Producer	Output	Inputs	Value added
Farmers (wheat)	1,00,000	0	1,00,000
Atta makers	1,00,000	60,000 wheat	40,000
Bread makers	1,00,000	60,000 atta	40,000
Sandwich makers	1,00,000	60,000 bread	40,000
GDP = GVA			2,20,000

Check by final goods: wheat 40k + atta 40k + bread 40k + sandwiches 1L = ₹2.2 lakh. ✅

🎯 7 · NOMINAL vs REAL GDP; BASE YEAR PYQ Prelims 2015

	Nominal GDP	Real GDP
Formula	P(current) · Q(current)	Q(current) · P(constant base year)
Prices	current	constant
Use	size at today's prices	fair comparison; growth = % change in real GDP

Good base year

→ Structurally similar (1980 cannot price telecom); recent; updated every 5 to 10 years

→ Stable, avoids base effect: Covid 2020 base makes 2021 look 20–25% growth; no drought, flood, pandemic, war, demonetisation: "a boring year"

2015 PYQ trap: GDP at market prices (rupees) steadily rises (inflation), real growth does not: answer 2 only.

👫 8 · MARKET PRICE, BASIC PRICE, FACTOR COST

Price	Meaning	Relation
Market price (MP)	buyer pays; sticker	MP = BP + product taxes − product subsidies
Basic price (BP)	seller keeps: factory gate	BP = MP − product taxes + product subsidies
👫 Factor cost (FC)	what factors take home; closer to producer	FC = BP − production taxes + production subsidies

	Product T and S	Production T and S
Basis	per quantity (unit, kg, litre)	independent of volume: lump sum
🎯 Examples	GST (₹100 + 18% = ₹118; seller keeps ₹100); LPG, fertiliser subsidies	land revenue, stamp duties, municipal factory licence fee; aid for backward region/small-scale industry

Headline: GDP(BP) = GDP(MP) − product taxes + product subsidies; GDP(MP) = GVA(BP) + net product taxes; GDP(FC) = GDP(BP) − production taxes + production subsidies. Earlier version GDP(MP) = GDP(FC) + indirect taxes − subsidies was incomplete: use the BP step. ✅

🎯 9 · HOW INDIA ESTIMATES GDP PYQ Prelims, Mains

#	Eight GVA sectors
1	Agriculture, forestry and fishing
2	Mining and quarrying
3	Manufacturing
4	Electricity, gas, water supply and other utilities
5	Construction
6	Trade, hotels, transport, communication and broadcasting
7	Financial, real estate and professional services
8	Public administration, defence and other services

Sector	Method
📚 Agriculture	production: satellite sown area × yield/ha × mandi price

Organised corporate	value added via MCA-21 (audited accounts; revenue − intermediate expenses); shift in 2015 from ASI establishment approach to enterprise approach (also R&D labs, marketing, HQ)
Unorganised	labour input method (Effective Labour Input): PLFS headcount × value added per worker; 10 lakh e-rickshaw drivers × ₹1.8 lakh = ₹18,000 crore

Informal sector ~60–90% of economy (handout range). Blow-up factor: two firms VA ₹100 crore = 40% of market (400 of 1,000 students) → ₹250 crore; at 10% = ₹1,000 crore; at 50% = ₹200 crore. Airtel, Jio, Vodafone: Airtel's rent and financial income not telecom VA: needs SNA 2008. Production approach has primacy; "discrepancy" balances expenditure.

Recent changes (early 2026): new base year 2022–23 (post-Covid, post-GST, service-heavy, digital; 2011–12 distant); double deflation for manufacturing and agriculture (inputs and outputs deflated separately, earlier output only); high-frequency data (GST, e-Vahan, digital transactions); Supply and Use Tables (SUT) reconcile production and expenditure.

10 · LIMITATIONS OF GDP

PYQ Prelims 2018

Limitation	Illustration
Ignores composition	₹1,000 crore schools/hospitals vs ₹1,000 crore weapons/cigarettes/casinos
Ignores inequality	10 people, GDP ₹100, per capita ₹10; one holds ₹99, nine share ₹1
Only priced goods	maid hired raises GDP, family does not; subsistence, household care
Externalities	forest cut, polluting factory, asthma inhalers all raise GDP
Informal economy, black money	less accurate, unfair comparison
Valued at price	inflation, higher taxes, lower subsidies raise it without well-being

11 · ALTERNATIVES TO GDP

PYQ Mains IHDI

Index	What it is
1 · HDI	Amartya Sen and Mahbub-ul-Haq to UNDP (handout: 1980, verify); HDR; 3 dimensions: long healthy life (life expectancy at birth), knowledge (expected + mean years of schooling, 25+), decent living (GNI per capita, PPP $); low, medium, high, very high; India medium
2 · IHDI	HDI discounted for inequality in health, education, income; equal = HDI
3 · GDI	gender gap in HDI: women vs men
4 · GII	loss from gender inequality: reproductive health (maternal mortality), empowerment (women in parliament), labour participation
5 · GPI	GDP + unpaid volunteer/household work − pollution, crime, depletion costs
6 · GNH	Bhutan; nine domains incl. psychological well-being, cultural resilience, community vitality, ecological diversity
7 · Green GDP	GDP − value of environmental degradation and natural capital depletion
8 · GHI	100-point scale (0 best, 100 worst); 4 indicators, 3 dimensions: inadequate food supply; child undernutrition (wasting, stunting); child mortality

Why GDP still "king": (i) standardisation and objectivity (UN SNA 2008; alternatives subjective: value of "happiness"?); (ii) data availability, quarterly "real-time heartbeat monitor". GDP = thermometer, not diagnosis.

12 · FAMILY OF MEASURES

Measure	Formula / meaning
Income / Expenditure / Production	TI = R + P + W + Int · TI = AD = C + G + I + X − M · TI = GDP = Σ VA_i = GVA
GNP	GDP + NFIA
Use side	TI = C + S + T
Per capita income (PCI)	GDP ÷ mid-year population
GNI per capita	GNP ÷ population (NFIA = earned by Indians outside − by foreigners in India)
GDP (headline)	GDP(MP), nominal
GVA (headline)	GVA(BP); GDP = GVA + net indirect taxes
Economic growth	% change in real GDP
National Income (NI)	NNP at factor cost = GNP(MP) − indirect taxes + subsidies − depreciation
Personal income (PI)	NI − incomes not paid to households + transfers: subtract corporate taxes (CT), undistributed profits (UP), net interest by households; add bonuses, welfare, scholarships
PDI	PI − personal taxes (income, property, professional) = consumption + savings

Transfers (brother in Dubai) are not income, only transfer of right to spend; counting them double counts; spent = consumption (C).

PYQs: 2018 real GNP does not mean development if poverty and unemployment increase (c); 2015 tax-to-GDP fall = slowing growth only (a). Sheets: real sector (farmers harvesting, textile mills: 1 and 2 only); National Income = money value of final goods and services produced; NEER/REER (1 and 3 only); GDP growth and per capita income not steadily rising (neither).

In the news · Sep 2026 (verify dates) **ASI 2024-25:** MoSPI released Annual Survey of Industries results for FY 2024-25. **Double deflation:** Q1 FY27 real GDP grew 7.8%, nominal 10.3%, implicit deflator ~2.3%.

Recall drill: cover and answer

A, B, C in CFIM?	Incomes, production, expenditure: A = B = C	Leakages and injections?	S, T, M leak; I, X, G inject; growth if injections exceed
Expenditure approach formula?	AD = C + G + I + X − M	GNP from GDP?	GNP = GDP + NFIA
Wheat-atta-bread-sandwich GDP?	₹2,20,000 (40k + 40k + 40k + 1L)	MP, BP, FC relations?	MP = BP + prod taxes − prod subsidies; FC = BP − production taxes + production subsidies
Good base year?	Structurally similar and stable (avoid base effect); India now 2022-23	Unorganised sector method; corporate source?	Labour input method; MCA-21 (2015)
HDI dimensions; GHI scale?	Life expectancy, schooling, GNI per capita PPP; 0 best to 100 worst	NI = ? PDI = ?	NNP at FC; PI − personal taxes

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

MP = Member of Parliament — Elected or nominated member of Lok Sabha or Rajya Sabha

GVA = Gross Value Added — Value of output minus intermediate inputs

TI = Transparency International — Global anti-corruption group that publishes the Corruption Perceptions Index

GST = Goods and Services Tax — Common indirect tax on goods and services; policy by the GST Council (Art 279A)

NIA = National Investigation Agency — Central agency for terror and other scheduled offences (NIA Act, 2008)

UN = United Nations — World body of states founded in 1945 for peace, security and cooperation

PPP = Public-Private Partnership — Long-term project partnership between government and a private firm

IMF = International Monetary Fund — Global lender for balance-of-payments support

UNDP = United Nations Development Programme — UN body that publishes the Human Development Report

PCI = Press Council of India — Statutory body under the Press Council Act, 1978

CFIM = CIRCULAR FLOW OF INCOME MODEL

SUT = Supply and Use Tables

NI = National Income

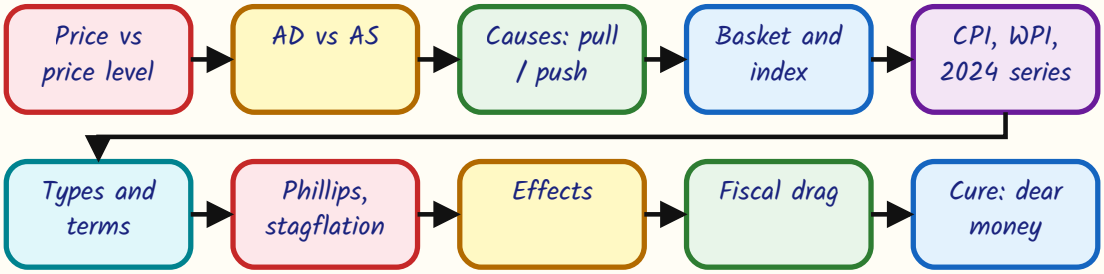
INFLATION

PYQ Prelims 2011, 2012, 2013, 2015, 2020, 2021 (13 Prelims) · Mains 2019 (1) · Medium

> Current affairs · verify dates
> Flexible Inflation Targeting (FIT): 10 years
> India's Flexible Inflation Targeting framework completed 10 years.

✎ *Inflation = general rise in the price level (not one price): it happens when AD exceeds AS; we measure it with an indexed basket (CPI-C, 4% ± 2%) and, since causes are many, cure it by making money expensive.*

At a glance: the route of the chapter



🎯 1-2 · PRICE vs PRICE LEVEL; AD and AS PYQ Prelims

Inflation = general rise in prices / price level. One good's price rise is not inflation by itself. Price = one good's demand and supply; price level = AD and AS. Track a normative basket (one group's consumption pattern), not each person. 💡

	Aggregate Demand (AD)	Aggregate Supply (AS)
💡 Meaning	total demand for all goods and services	total supply, all producers combined
Depends on	price level; incomes; spending culture; availability of money (easy loans); population size	price level; raw materials (coal, iron, oil); skill level; investment in infrastructure, capital goods, R&D
Link to price level	inverse (dearer = less demand)	rises with price level (inputs eventually run out)

Rule: prices rise when AD > AS: AD rises, or AS falls. Graph: AD0 to AD1 = higher price and output; AS0 to AS1 = higher price, lower output. ⭐

🎯 3 · CAUSES OF INFLATION PYQ Prelims 5 qs

🛡️ Demand-pull (AD shifts right)

- → rising income levels
- → easy money: lower rates, cheaper credit
- → more government spending
- → rising population
- → spending habits: less saving, more consumption

🧑‍🤝‍🧑 Cost-push (AS shifts left)

- → cost or non-availability of raw materials (crude, metals, coal)
- → higher wages, interest on capital
- → low investment: poor infrastructure, no capital goods, poor R&D
- → falling productivity, skills not adopted
- → poor EODB: compliance, contract enforcement, weak entrepreneurship
- → frequent disasters hit supply chains

Other factors

Legal and market distortions

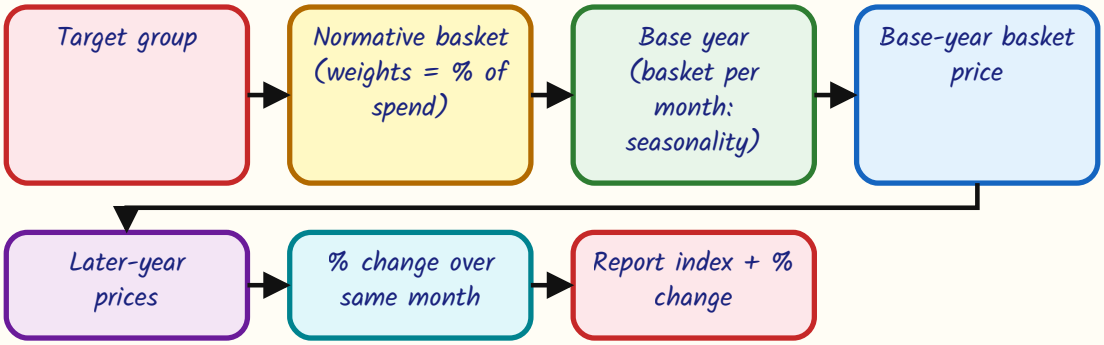
- → cartelisation (collude as monopoly)
- → hoarding (artificial scarcity)
- → widespread black money

- → geopolitical tension, war, sanctions, disasters

🌐 International shocks → esp. in countries we import heavily from (oil)

4-5 · MEASURING AND INDEXING

📝 Steps to measure inflation (y-o-y)



Why index: "4.3% higher than last year" makes last year a moving benchmark; raw basket price (₹11,345, ₹18,967) is meaningless. So base-year basket = 100. Index = (100 ÷ base price) × current basket price. 💡

Period	Basket price	Index
Base year (March 2015)	₹10,000	100
NEW March 2025	₹15,000	(100 ÷ 10,000) × 15,000 = 150
NEW March 2026	₹16,500	(100 ÷ 10,000) × 16,500 = 165

Inflation Mar 2026 over Mar 2025 = (16,500 − 15,000) ÷ 15,000 × 100 = 10%. Index 165 = prices 65% higher than 2015. Base year in inflation = constant basket; in Real GDP = constant prices. ✅

🎯 6 · INDICES IN INDIA; 2024-BASE CPI PYQ Prelims 4 qs

Index	Variants	Released by
CPI	CPI-Rural, Urban, Combined (CPI-C)	NSO under MoSPI
CPI-AL, CPI-IW	Agricultural Labourers; Industrial Workers	Labour Bureau (Min. of Labour and Employment)
WPI	Wholesale Price Index	OEA, DPIIT, Min. of Commerce and Industry

WPI notes

→ working group chair Prof. Ramesh Chand: revise WPI base 2011-12 to 2022-23; roadmap WPI to PPI

→ India has no official PPI

→ 2017: WPI moved nearer basic prices / factor cost by removing indirect taxes

Feb 2026: MoSPI released the new 2024 = 100 series: a structural overhaul, not a routine weight change. 💡

Change	2012 series	2024 series
Miscellaneous broken up	6 groups; "Miscellaneous" bucket 28.32% (doctor, bus fare, school fees)	12 divisions, UN COICOP 2018; Transport, Health, Education, Communications separate
📜 Engel's Law: food loses crown	Food and Beverages 45.86%	36.75%: food volatile (onion, tomato), so headline less volatile, clearer demand signal for RBI
Digital and service economy	299 items	358 items. Out: VCRs, tape recorders, CDs. In: OTT, pen drives, babysitter services, pet products. Prices scraped from 12 e-commerce platforms (first time); Rural House Rent introduced

⏳ 7 · TERMS: HEADLINE, CORE, SKEW PYQ Prelims

Term	Meaning	Note / trap
Headline	overall inflation = CPI-C	anchor of Inflation Targeting 2015; shift WPI to CPI-C by Urjit Patel Committee 2014; target by Monetary Policy Framework Agreement 4%, ±2%
Skewflation	few items rise fast, rest stable ("skew" = bent)	India 2009–2010 (Economic Survey): onions, pulses up; manufactured goods cheap
Core	headline minus food and fuel (volatile, uncontrollable); = non-food non-fuel	NSO calculates headline; RBI calculates core; vehicle petrol, diesel are inside core (Transport and Communication, within Miscellaneous), taxed not in "Fuel and Light"
Super / refined core	headline minus food, fuel, petrol, diesel, precious metals	truest underlying demand
Structural	long-fix features: poor infrastructure, EODB, skill deficit, supply-chain bottlenecks	e.g. political complexity blocks agri supply-chain reform

Trap (petrol): core = headline minus food and fuel (Fuel and Light) only; petrol and diesel come out only in super core. Also: deflation = prices fall; disinflation = rate falls; one price rise is not inflation; recession 2 quarters is a thumb rule.

Hyper-inflation

→ runaway (galloping, trotting)
→ costs: shoe-leather (run to bank), menu (reprice)
→ no consensus; Phillip Cagan: over 50% per month
→ Weimar Germany 1923, Zimbabwe 2008
→ relative: US normal 1–2% (6% "hyper"); India 5–6% (9% only "high"); Turkey 80–100%

Deflation / Disinflation

→ deflation = fall in prices (negative inflation)
→ disinflation = fall in rate, prices still rise; largely base effect; may turn deflation
→ Japan: "Lost Decades" since 1990s, buyers delay expecting cheaper goods

Term	Meaning	Note
💰 Recession	output falls 2 consecutive quarters	thumb rule; US NBER uses broader metrics (jobs, IIP, sales)
Depression	severe, prolonged; cannot regain original output	no objective criterion; 1929 US GDP fell nearly 30%, unemployment 25%; "recession = speed bump, depression = crater"
Shrinkflation	pack size shrinks, price stays	FMCG: Parle-G, Maggi hold ₹5 / ₹10 price point

8 · SPIRALS, STAGFLATION, PHILLIPS CURVE

⏳ Other terms

→ price-wage spiral: prices up, wages up, firms pass on, loop
→ inflation expectations: self-fulfilling (panic-buy, shortage)
→ reflation: govt induces inflation (stimulus cheques, tax cuts, lower rates) after recession or deflation

Stagflation = stagnation (low growth, high unemployment) + high inflation together. 💡
Mere contraction = recession; mere high inflation = hyperinflation.

Phillips Curve

→ A.W. Phillips, UK 1861–1957: inverse relation inflation (wage growth) and unemployment
→ both low or both high = outliers; both-high = stagflation
→ normal trade-off: pay slight UE to cut high inflation, or bearable prices to cut high UE
→ Stagflation breaks it: fixing one worsens other, policy paralysis

9-10 · EFFECTS; ENGEL'S LAW PYQ Prelims, Mains 2019

RIR = NIR − Inflation. E.g. lent at 10%, inflation 7%: richer only 3%. ₹110 now buys what ₹100 bought last year; with ₹105 you are nominally richer, really poorer; you need exactly inflation% extra to keep your worth.

Group	Effect	Why
Borrowers	gain	eats lender's return
Lenders (banks)	lose unless protected	high NIR above inflation, or floating rate (RIR fixed, NIR = RIR + inflation)
Depositors	lose	no bargaining power; deposit rate ("meagre 2–3%") below inflation, real return negative; cash at home loses at inflation rate
Consumers	lose	purchasing power falls
Producers	generally gain	pricing power: necessities inelastic but more competition; luxuries elastic, less competition; margins expand

Engel's Law (asterisked): Ernst Engel: as income rises, % spent on food falls (absolute may rise). Poor spend most on necessities, volatile prices passed on, no luxury to cut: poor hit hardest. Healthy economy needs low and stable inflation: producers profitable, invest, hire.

11 · FISCAL DRAG: AUTOMATIC STABILISER

Inflation raises direct and indirect taxes: indirect are ad valorem; raise equal to inflation pushes worker into a higher bracket. People feel poorer, cut spending, AD falls, no government action.

Hypothetical (inflation 20%)	Income ₹9 L	Income ₹10.8 L (+20%)
Slabs	0–5 L 10%; 5–10 L 15%; 10–30 L 20%; 30 L+ 25%	same
Tax	50,000 + 60,000 (next 4 L) = ₹1.1 L	50,000 + 75,000 (next 5 L) + 16,000 (next 80k) = ₹1.41 L
Disposable	9 − 1.1 = ₹7.9 L	10.8 − 1.41 = ₹9.39 L
Change	post-tax income up 18.8%	tax outgo up 28.2%

Source conflict: table says 18.8%, text below says "lesser rate (18%)". Quote about 18.8%; point = less than 20%.

12 · CONTROL: MAKE MONEY EXPENSIVE PYQ Prelims

Why dear money

→ two problems: (1) identify cause (many intertwined factors); (2) ability to fix (roads, ports, capital take years)

→ structural fixes (infrastructure, import resilience, EODB) necessary but late: cure must be cause-agnostic

→ inflation = AD > AS; AD = spending with money

→ cost of money = interest rate: 8% to 10% (₹1 lakh loan): savers save, borrowers cannot borrow, both cut demand

→ price of money = demand and supply; cut supply, cost rises: next chapter

In the news · Sep 2026 Flexible Inflation Targeting (FIT): India's FIT framework completed 10 years.

Recall drill: cover and answer

Inflation vs one price rise?	General rise in price level; prices rise when AD > AS	Index formula; example 10,000 to 16,500?	(100 ÷ base) × current; 150, 165; inflation 10%
Who releases CPI, CPI-IW/AL, WPI?	NSO (MoSPI); Labour Bureau; OEA (DPIIT)	2024 series: divisions, items, food weight?	12 (COICOP 2018), 358, 36.75% (was 45.86%); Misc was 28.32%
Headline, target, who recommended?	CPI-C; 4% ± 2%; 2015; Urjit Patel Committee 2014	Core: petrol and diesel in or out?	In; core = minus food and fuel; out only in super core
Deflation vs disinflation; recession?	Prices fall vs rate falls; 2 quarters	Stagflation; Phillips Curve?	Low growth + high inflation; A.W. Phillips UK 1861–1957, stagflation breaks it
RIR; who loses; Engel's Law?	NIR − inflation; lenders, depositors; food share falls as income rises	Fiscal drag example?	₹9 L to 10.8 L: tax up 28.2%, post-tax up 18.8%; AD falls

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

UN = United Nations — World body of states founded in 1945 for peace, security and cooperation

OTT = Over-the-Top — Streaming services delivered over the internet

AD = Aggregate Demand

AS = Aggregate Supply

FIT = Flexible Inflation Targeting

BANKING AND NBFCs

PYQ Prelims 2004, 2011–2022, 2024 (35 Prelims) · Mains 2016, 2022 · High

✎ *Banks take decisions with depositors' money, so RBI makes them carry the risk with their own capital (CRAR 9%); bad loans (SMA, NPA) were cured by the 4R plan, and inclusion and PSL widen access.*

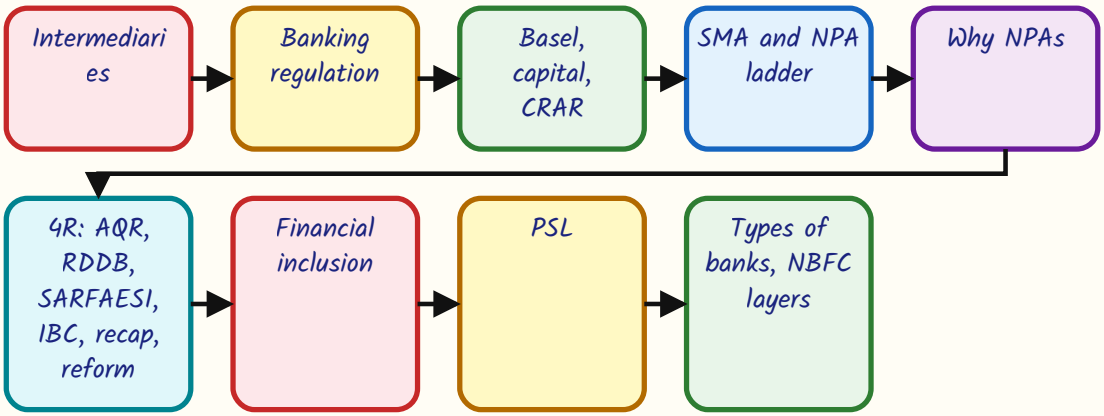
Current affairs · verify dates

National Company Law Tribunal (NCLT)
A special five-member NCLT Bench stayed approval of Subhash Chandra's repayment plan in his personal insolvency case and restrained transfer of his assets.

MDR on high-value UPI merchant payments
NPCI announced a Merchant Discount Rate on select high-value person-to-merchant (P2M) UPI payments under the Payment and Settlement Systems Act, 2007 ... (full: CA pages at the end)

DILRMP 3.0 (2026–31)
The Ministry of Rural Development issued Operational Guidelines for DILRMP 3.0 (2026–2031).

At a glance: the route of the chapter



⏳ 1 · CAPITAL MARKETS AND INTERMEDIARIES

Capital markets = markets of money exchanged for a promise/contract (Indian Contracts Act 1872: agreement enforceable in court). Intermediaries give information, trust, convenience, for a fee. 💡

	Debt	Equity
💡 Meaning	repaid, generally with interest in promised period	not repaid; supplier gets rights (decisions, appointments, part ownership of assets, incomes)
🎯 Examples	bank loans, bonds	shares

	Decision-making	Decision-facilitating
🎯 Examples	banks, NBFCs	brokers, stock exchanges
Decides	intermediary, not supplier	demander and supplier themselves
Risk	intermediary bears it (so takes most reward)	decision-makers bear it
💡 Regulation aim; regulator	supplier's money not at risk; RBI	truthful, transparent, non-partisan; SEBI

🎯 2 · BANKING AND ITS REGULATION PYQ Prelims 10 qs

"Heads I win, tails you lose": bank keeps interest, depositor's money at risk, so the bank needs skin in the game. Credit = "lifeline of any economy". ⭐

📜 Key laws
- → Indian Contracts Act 1872
- → Negotiable Instruments Act 1881
- → RBI Act 1934
- → Banking Regulation (BR) Act 1949: key act, makes RBI regulator
- → Companies Act 1956 / 2013

BR Act, sec 5: "banking" = accepting public deposits for lending or investment, repayable on demand or otherwise, withdrawable by cheque, draft, order or otherwise. Needs RBI licence; only licensed entities may use the word "bank". 💡

Regulations cover
- → depositor protection
- → reserve ratios
- → declarations on loans, stress, capital
- → senior appointments
- → Board independent of shareholders
- → promoters' minimum capital
- → regular RBI audits

CRR and SLR are deposit-side. Lending-side rules: recognise risks and prepare for them; bank will not recognise risk honestly, so the central bank must. 📌

📜 3 · BASEL, CAPITAL, PROVISIONING, CRAR PYQ Prelims

BIS (Bank of International Settlements, Basel, Switzerland) and BCBS (Basel Committee on Banking Supervision) issue prudential (Basel) norms; central banks coordinate to avoid compliance burden and regulatory arbitrage. Current: Basel III (2008) per handout. 💡

Risk (Basel III)	Meaning	Affects
Credit	a particular loan: borrower's or sector's	one loan
Operational	IT hacking, key staff resign, strike	all loans equally
Market	wars, oil spikes, disasters, other banks fail	entire balance sheet

Why Basel III (asterisk): Basel I and II failed in the 2008 Global Financial Crisis (underestimated market and operational risk); Basel III = capital to survive a 2008-level panic. ⭐

	Tier 1 (core)	Tier 2 (supplemental)
Made of	equity, founders' money, retained profits	subordinated debt, must eventually be repaid
Control	highest, permanent	lesser

Capital = business's own money (equity and debt, both liabilities of firm). Deposits are not capital: pure liabilities, given for safety. 💡

Preparation

📜 (a) Provisioning (credit risk)
→ RBI sets sector default risk and provisioning ratio
→ bank sets aside that % of loan from capital

(b) Minimum capital (operational, market)
→ CRAR = Capital ÷ RWA ≥ 9%; RBI asks 9%, Basel 8%
→ RWA = Risk × loan value; capital limits lending
→ CCB 2.5% of RWA protects the 9% line in stress

Farmer example: ₹10 L agriculture loan; risk 20%, provisioning 3%. 💡

Step	Calculation	Amount
📜 Provisioning	3% × ₹10 L	₹30,000
RWA	20% × ₹10 L	₹2 L
Minimum capital	9% × ₹2 L	₹18,000
Total capital	30,000 + 18,000	₹48,000 to risk ₹10 L of deposits

Hypothetical bank: lendable deposits ₹5 Cr, capital ₹10 L, CRAR 9%; capital builds up loan by loan. 💡

Borrower	Loan	Risk	Prov.	Cumulative capital	OK (₹10 L)?
P1 Agri	₹20 L	20%	4%	₹1,16,000	Yes
P2 MSME	₹30 L	30%	6%	₹3,77,000	Yes
P3 Home	₹30 L	10%	2%	₹4,64,000	Yes
P4 Car	₹15 L	15%	3%	₹5,29,250	Yes
P5 Credit card	₹12 L	90%	25%	₹9,26,450	Yes
P6 Agri	₹20 L	20%	4%	₹10,42,450	No
P7 Car	₹20 L	15%	3%	₹11,29,450	No

Lessons

→ risky eats capital: P5 ₹12 L card loan takes ₹3,97,200; safer P6 + P7 (₹42 L) need only ₹1.16 L + ₹0.87 L = ₹2.03 L
→ RBI does not ban risky lending; prefer many low-risk loans
→ dynamic: repayment frees capital; default raises risk and provisioning

Source conflict: farmer example provisioning 3% for 20% risk, table P1 (agri, 20%) uses 4%, never reconciled. Use the question's numbers; method = provisioning + 9% × (risk × loan). 📌

💰 4 · BAD LOANS: SMA, NPA PYQ Prelims

Class	Overdue	Notes
SMA-0	1 to 30 days	Special Mention Account: red flag, not bad loan; introduced 2014
SMA-1	>30 to 60 days	CRILC alerted at SMA-1 or SMA-2
SMA-2	>60 to 90 days	Early Warning System
NPA	>90 days (principal or interest)	before 2014 only Standard (0-89) or NPA; trick: default 88 days, pay one EMI day 89, clock resets
NPA 1 Sub-standard	NPA ≤ 12 months (from 31 Mar 2005)	defined weaknesses; provision ~15%
NPA 2 Doubtful	NPA > 12 months	full collection highly questionable; 25% to 100%
NPA 3 Loss	no time criterion	uncollectible, not written off; ~2 years after doubtful; 100%; threatened security can go doubtful or loss at once

⏳ Terms

→ restructured loans: renegotiated (lower interest, longer tenure, more security, paused EMI); stressed assets = GNPA + restructured

→ GNPA = total NPA loans (% of loans); Net NPA = GNPA − provisioning

→ PCR (Provisioning Coverage Ratio) = capital as proportion of GNPAs

→ evergreening: restructuring abused to hide NPAs; hence AQR

→ haircut then write-off: accounting step to free capital, not a waiver, right to recover stays

🎯 5 · WHY NPAs ARISE, AND EFFECTS PYQ Mains

Reasons for NPAs

A. Wilful default

→ divert loan to other purpose

→ divert to another entity

→ fraudulently dispose pledged securities

B. Economic

→ general slowdown

→ sectoral (structural, technology change)

→ geopolitical: sanctions, tariffs, war, blocked routes

→ acts of God: floods, droughts, pandemics

→ government policy change

C. Poor risk assessment

→ economic causes hit all banks equally; PSBs much higher than private = poor assessment

Consequence	Meaning
Double Financial Repression (DFR)	assets turn NPA and yield nothing, deposits (liabilities) stay; provisioning cuts ability to lend
⚠️ Twin Balance Sheet Problem (TBP)	borrower's balance sheet stressed so bank faces DFR; bank stress deepens borrower's (assets sold at haircut, higher interest on others), spreads
🧍‍♂️🧍‍♂️ Loss of trust	bank runs, bank collapse, financial system collapse

🎯 6 · THE 4R STRATEGY PYQ Prelims, Mains 2016, 2022

💰 4R framework: "amongst the most severe banking crisis" post-independence

1 Recognise → 2 Recover → 3 Recapitalise → 4 Reform

R1 · RECOGNISE: AQR

Recognition

→ NPAs fell 2002 to ~2008 on growth; after 2008 stress hidden as restructured loans (evergreening)
→ AQR (Asset Quality Review): RBI proposed 2013, implemented from 2015: right category, stop needless restructuring
→ NPAs reached 18% in PSBs, overall ~12% until 2017 (handout words)
→ CRILC (Central Repository of Information on Large Credits): exposures above ₹5 Crore

"Statistical Illusion" (Extend and Pretend 2008–2024)	Number
By 2014	PSB advances nearly tripled after 2008
March 2015	official GNPA 4.6%; Stressed Assets 11.1% (PSBs 13.2%)
2015 to March 2018	PSB GNPA ~5% to peak 14.58%
March 2021	GNPA 7.3%
NEW March 2024	GNPA 2.8%
NEW September 2024	SCB GNPA 12-year low 2.6%; Net NPA 0.6%

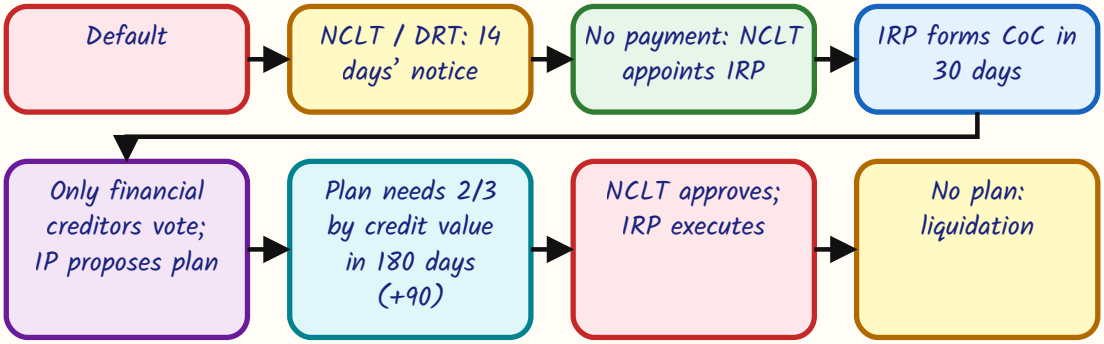
Source conflict: text says NPAs "18% in PSBs" but PSB GNPA peak is 14.58% (Mar 2018); also "less than 2%" vs latest 2.6% (Sept 2024). Quote 14.58% and 2.6% with month; 18% and "below 2%" are loose.

🎯 R2 · RECOVER: RDDB, SARFAESI, IBC PYQ Prelims

	RDDB Act 1993	SARFAESI Act 2002	IBC 2016
Full name	Recovery of Debt due to Banks	Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest	Insolvency and Bankruptcy Code
Did	DRT and DRAT for quick expert resolution	recognised lenders' rights on secured loans: securitisation, reconstruction, enforcement	time-bound; creditor-in-control, creditors control assets at once
Limit	clash with regular courts, stay orders; recovery ~10%	only secured loans; not agricultural; not dues under ₹1 lakh; not if 80%+ principal repaid	only corporate process (CIRP) operational

SARFAESI secured creditors: scheduled commercial banks (PSB, private, foreign); co-operative banks; notified NBFCs ₹100 Crore+; ARCs; debenture trustees.
Securitisation: bank sells bad loans to an ARC, paid in Security Receipts (SRs) to QIBs (or SRs to bank); ARC takes collateral right. **Reconstruction:** debt-to-equity, split sustainable / unsustainable, sell to ARCs. Recovery rose to 10–14%, still slow, so IBC.

💰 IBC process (CIRP)



CIRP details

→ adjudicating authority: NCLT (corporate), DRT (non-corporate); appeals NCLAT

→ debtor defaults to financial or operational creditors
→ IRP takes over; owner removed; IBBI regulates IRPs, IPs, CIRPs; IRP consults Information Utilities
→ 30 + 180 + 90 = 300 days, revised to 330 days now
→ no plan = liquidation equal to admitted claims

IBC entity	Function
IBBI (regulator)	regulates ecosystem, licenses professionals, drafts regulations
NCLT / DRT	legal umpires, no business decisions; NCLT corporates, DRT individuals and partnerships
IP / IRP / RP	licensed turnaround experts (CAs, CSs, ex-bankers); run daily operations
Information Utility	digital databases, e.g. NeSL (National E-Governance Services Ltd), verified debts and defaults
CoC	supreme body; financial creditors vote on sale, restructuring, liquidation

Recovery (as quoted)	Rate
⚖️ Pre-1993 civil courts	below 10%; litigation 15 to 20 years; mostly ~1%
👫 Post-1993 (RDDBFI, DRTs)	historically 20–25%, then 4–5% by 2018
👫 Post-2002 (SARFAESI)	historically 25–30%
👫 Post-2016 (IBC)	early above 45%; some 85–90%; post-covid ~32%; "currently ~40%"; later "stabilised 31–32%". Bhushan Steel: Tata Steel 2018, ~₹35,200 Cr of ₹56,000 Cr claims (63%)

Source conflict: RDDB ~10% vs 20–25%; SARFAESI 10–14% vs 25–30%; IBC 45%, 40%, 31–32%. Quote the order civil courts < DRT < SARFAESI < IBC; exact figure only if source given.

IBC issue / change	Detail
Liquidation, big haircuts	more liquidation than restructuring; haircuts up to 95%; CoCs accept 80–90% (₹10 per ₹100); RBI urges value maximisation
🗺️ Real estate	2018 homebuyers = financial creditors with CoC vote; threshold: 100 homebuyers or 10% of allottees (lower) to file; reverse CIRP / project-wise resolution
PPIRP (2021)	Pre-Packaged Insolvency Resolution Process for MSMEs only; debtor-in-possession
Cross-border	UNCITRAL Model Law not fully adopted; draft amendment
CIRP for MSMEs	may not find enough buyers

Handout adds a note on a 2025 Supreme Court reversion on operational creditor dues; no details given.

🎯 R3 · RECAPITALISE PYQ Prelims

Recap bonds

→ PSB owner = government, itself short; after AQR, severe undercapitalisation and large NBFCs defaulting
→ October 2017: ₹2.11 Lakh Crore package, mainly Recapitalisation Bonds
→ govt issues bonds, banks lend (zero-risk, no capital needed), govt returns money as equity: deposits turned to capital
→ "extremely risky", private banks cannot copy; it worked: PSBs profitable, pay dividends, govt repays bonds

🔧 R4 · REFORM: PSB GOVERNANCE PYQ Prelims BBB

Recapitalisation = "financial bandage". **Reform** = patronage and bureaucratic control to objective, independent, accountable decisions. **Problem:** owner appoints through Finance Ministry bureaucrats with **no personal financial harm**: **moral hazard**, connected loans ("**Telephone Banking**"), competence punished. 💡

🏛️ Solutions: create distance

→ **P.J. Nayak Committee:** Bank Investment / Holding Company (BHC) holds govt shares, appoints CEOs on merit (like **Tata Sons**); **not yet set up**

→ **Bank Board Bureau (BBB):** **February 2016**, a compromise

→ **Delhi High Court** struck down BBB mandate (**2022/2023**); dissolved; **FSIB** (Financial Services Institutions Bureau) set up

Source conflict: BBB strike-down "2023" vs "2022/2023"; FSIB once spelt "Financial Services Intermediary Bureau". Write FSIB (Financial Services Institutions Bureau), "BBB replaced by FSIB"; year 2023 if forced.

"Three Cs of Fear" (P.J. Nayak 2014; Raghuram Rajan 2018 note)

→ **CBI, CVC, CAG:** accountability is not low, it is **criminal**; bad commercial decision means inquiry beyond career: risk aversion

→ **payoff matrix:** private bank manager high risk + good assessment = bonus, promotion; PSB manager nothing if good, **jail** if bad: infinite downside, zero upside

→ **telephone banking:** call from Joint Secretary or politician for ₹5,000 Cr loan; "no" = remote posting

🎯 7 · FINANCIAL INCLUSION PYQ Prelims 8, Mains 2016, 2022

Financial inclusion: formal system accessible to more people; strict BR Act (1949) licensing built trust but an elite club. **Committee on Financial Inclusion (2008):** access to financial services and timely, adequate credit for vulnerable groups at affordable cost. 💡

Four pillars

→ **Association:** into formal system, bank account

→ **Accessibility:** pensions, insurance, micro-credit easily available

→ **Affordability:** cost-effective, no exorbitant loans or fees

→ **Capability:** financial literacy

Phase	What happened
🗺️ 1 State intervention	**1955 SBI Act**: Imperial Bank to SBI; **1969, 1980** nationalisation of largest private banks
2 Specialised architecture	Co-operative banks (mutual cooperation); **RRBs (1975 Act): Centre 50%, State 15%, sponsor bank 35%**; DFIs 1980s: **NABARD** (agri), **SIDBI** (MSMEs), **NHB** (housing), **EXIM**: refinance, not retail lend
3 Liberalisation (1990s)	new private licences **1993** (HDFC, ICICI, later Axis, Yes). Tools: **Lead Bank Scheme** (captain bank per district); branch licensing (urban branch only if unbanked area opened; since 2005 a branch per defined area e.g. **5,000 people, 2,000 adults in hilly areas**); **BSBDA** zero-balance; **Business Correspondents / Bank Mitras** (deposit, withdraw, no lending)
4 Structural innovation (2013-14)	by 2013 only ~**15%** individuals, ~**40%** households had accounts; **Nachiket Mor** and **Raghuram Rajan** committees: **SFBs, Payments Banks**; **on tap licensing**
5 PMJDY (Aug 2014)	area-focused to **person-focused**; phase 1 association, phase 2 live accounts and education; over **70%** adults, **99%+** households banked

1955 Imperial Bank to SBI	**1969** Lead Bank Scheme; 14 banks	**1975** RRB Ordinance	**1980** 6 banks
1992 SHG-Bank Linkage (NABARD)	**2005** No-Frills Accounts (BSBDA 2012)	**2006** BC / Bank Mitra	**2011** Swabhimaan (villages above 2,000)
Aug 2014 PMJDY		**2015** SFB, Payments Bank licences	

Source conflict: private licences 1993 "first since 1949" vs differentiated licences and on tap from 2013, granted 2015. 2013-14 = policy; 2015 = licences granted.

🎯 8 · PRIORITY SECTOR LENDING PYQ Prelims

PSL sectors

- → agriculture (sub-targets small and marginal farmers)
- → MSMEs and exports
- → education
- → housing and social infrastructure
- → renewable energy
- → start-ups (status 2020)

Item	Detail
Base	ANBC (Adjusted Net Bank Credit)
👥 SCBs, foreign private banks (sizeable)	40% of ANBC
RRBs, co-operative banks, SFBs	75% of ANBC
Price	allocation fixed, not price; cheaper farm loans via Interest Subvention Scheme (ISS)
Shortfall	invest in NABARD's RIDF (low return) or buy PSLCs from overshooting banks

🎯 9 · TYPES OF BANKS AND ENTITIES PYQ Prelims 9 qs

Type	Key features
🌐 Commercial (PSB, private, foreign)	RBI solely, BR Act 1949; Companies Act; profit motive
Co-operative	State Cooperative Societies Acts or Multi-State Act; dual: State/Registrar for incorporation, management; RBI for capital, liquidity; mutual assistance
🗺️ Scheduled	Second Schedule of RBI Act 1934; minimum paid-up capital; LAF (Repo/MSF), clearing-house membership
🗺️ Non-scheduled	not in Second Schedule; statutory reserves, no automatic RBI borrowing
RRBs (1975)	co-operative feel + commercial professionalism; 50:15:35
DFIs	statutory (NABARD, SIDBI, EXIM): long-term patient capital; refinance
💰 Small Finance Banks	micro-credit; 75% PSL; at least 50% of portfolio in loans under ₹25 Lakh; all deposits, all loans; no insurance or pension subsidiaries
💰 Payments Banks	remittances, digital payments; demand deposits up to ₹2 Lakh/customer; no loans or credit cards; 75% deposits in G-Secs
NBFCs	Companies Act; lending, investment, leasing; no demand deposits (CASA), no cheques
Nidhi companies	mutual benefit among members; MCA operations, RBI deposit rules only
💰 Chit funds	State Governments, Chit Funds Act 1982; RBI advisory only

NBFC regulation (SBR, effective 2022)	Meaning
Regulators	RBI core lending NBFCs; SEBI merchant bankers, venture capital funds; RBI housing finance (formerly NHB); IRDAI insurers
Base Layer (NBFC-BL)	non-deposit-taking, below ₹1,000 Crore; light
Middle Layer (NBFC-ML)	all deposit-taking + non-deposit above ₹1,000 Crore
Upper Layer (NBFC-UL)	RBI-identified systemically critical; bank-like

Top Layer (NBFC-TL)	ideally empty; extreme systemic risk

Traps: SMA is not an NPA (90+ days = NPA). SFB rule worded "majority" and "at least 50%": use 50%+ under ₹25 L, 75% PSL. Do not mix ₹100 Cr (SARFAESI NBFC) with ₹1,000 Cr (SBR base layer).

In the news · Sep 2026 **MDR on high-value UPI:** NPCI announced a Merchant Discount Rate on select high-value P2M UPI payments under the Payment and Settlement Systems Act, 2007. **NCLT:** special five-member Bench stayed approval of Subhash Chandra's repayment plan in his personal insolvency case and restrained transfer of his...

Recall drill: cover and answer

Decision-making vs facilitating; regulators?	Banks, NBFCs: RBI; brokers, exchanges: SEBI	CRAR, Basel, CCB?	Capital ÷ RWA ≥ 9% (RBI), 8% Basel; CCB 2.5%
Tier 1 vs Tier 2?	Equity, retained profits; subordinated debt	₹10 L farm loan capital?	30,000 provisioning + 18,000 = ₹48,000
SMA and NPA days?	0: 1-30; 1: 31-60; 2: 61-90; NPA 90+	Sub-standard, doubtful, loss?	≤ 12 months ~15%; > 12 months 25-100%; loss 100%
4R with dates?	AQR 2015, CRILC ₹5 Cr; RDDB 1993, SARFAESI 2002, IBC 2016; ₹2.11 L Cr Oct 2017; BBB 2016 to FSIB	IBC timeline, vote, bodies?	30 + 180 + 90 (330 now); 2/3 financial creditors; NCLT, IRP, CoC, IBBI, IU (NeSL)
SARFAESI exclusions?	Agricultural, under ₹1 lakh, 80%+ repaid; NBFC ₹100 Cr+	RRB ratio; PSL targets; payments bank?	50:15:35; 40% and 75% of ANBC; ₹2 L, no loans, 75% G-Secs

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

NABARD = National Bank for Agriculture and Rural Development — Apex development bank for agriculture and rural credit

SEBI = Securities and Exchange Board of India — Regulator of the securities market

ARC = Administrative Reforms Commission — Commission recommending reforms in public administration (1st in 1966, 2nd in 2005)

UPI = Unified Payments Interface — Instant mobile payment system run by NPCI

IT = Information Technology — Computing and digital technology (for example, the IT Act, 2000)

NCLAT = National Company Law Appellate Tribunal — Hears appeals against CCI and NCLT orders

CBI = Central Bureau of Investigation — Premier central investigating agency; derives powers from the DSPE Act, 1946

CVC = Central Vigilance Commission — Apex vigilance body against corruption in central services

CAG = Comptroller and Auditor General of India — Constitutional auditor of Union and State accounts (Art 148); reports go to Parliament and Legislatures

SHG = Self-Help Group — Small voluntary group (about 10-20 members) that saves and lends among its members

IRDAI = Insurance Regulatory and Development Authority of India — Insurance regulator

BR = Banking Regulation

DFR = Double Financial Repression

TBP = Twin Balance Sheet Problem

BHC = Holding Company

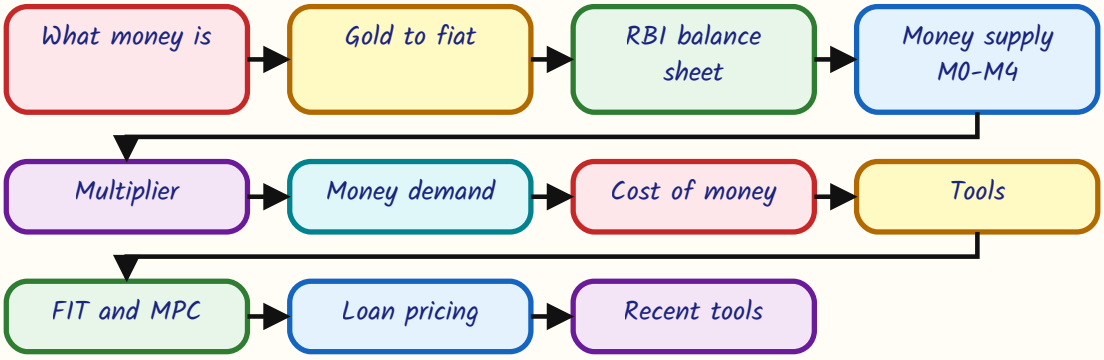
MONEY AND MONETARY POLICY

PYQ Prelims 2011-2024 (31 Prelims) · Mains 2024 · High

> ✎ *Money is a trust-based promise (GA-MOE) issued by RBI; banks multiply it (MS = m × MO); RBI sets its cost with tools (OMO, CRR, SLR, repo, MSF, SDF) under FIT 4% ± 2%, and loan pricing decides transmission.*

Current affairs · verify dates
Variable Rate Reverse Repo (VRRR)
RBI absorbed over Rs 6.02 lakh crore in two three-day VRRR auctions; both cut-off rates were 5.24%.

At a glance: the route of the chapter



🎯 1 · WHAT MONEY IS: GA-MOE PYQ Prelims

Money = generally acceptable medium of exchange (GA-MOE). Barter needs Double Coincidence of Wants (DCW), "mathematically impossible" in large societies. To be money, most sellers must part with real goods for it. 💡

Property	Meaning
Value	intrinsic (gold) or fiat (sovereign-enforced); general demand, limited supply
Preservation of value	trust it keeps purchasing power; does not rot; cheap to store
Authenticity of value	quality, quantity easy to verify; trusted sole producer stops counterfeiting: sovereign or central bank
🗳️ Denomination of values	divisible (tea), aggregable (house); not too rare or abundant; unit of account

🎯 2 · GOLD TO FIAT PYQ Prelims 3 qs

Modern money = notes, promises of the central bank, accepted from (1) trust and (2) legal necessity. Legal tender: mandated way to discharge debt a creditor cannot lawfully refuse; in India notes, coins, CBDC only. Law enforces acceptance, does not create value: "Trust always overrides Law in the long run." 💡

Criterion	Meaning	Examples
Safe	keeps value long term, not volatile	gold; sovereign bonds (govt can tax)
Liquid	many buyers and sellers; needs replicability	gold (a gram like another); shares of one company
Not replicable	each unit unique, thin market	land, diamonds

Bond = debt instrument: issuer liability, buyer asset paying coupon on face value until maturity. Central bank buys govt bonds = creates money. So money = promise of central bank backed by promise of government (future taxes). Representative money = paper backed 1:1 by gold in vault; fiat = backed by govt bonds. ✅

🎯 3 · RBI BALANCE SHEET, SEIGNIORAGE PYQ Prelims

Assets (owns)	Liabilities (owes)
🌐 1 Appreciating: physical gold; foreign currency assets (FCA)	1 Zero-cost: Currency in Circulation (CiC), only printing, interest 0%
💰 2 Interest-bearing: rupee securities (G-bonds); foreign govt bonds; loans to banks (LAF/repo)	2 Low/zero cost: bank deposits (CRR balances, 0%); govt deposits (Centre, States)
	3 Provisions: CGRA (Currency and Gold Revaluation Account, unrealised gains); Contingency Fund (CRB)
Total assets	Total liabilities = Base Money (M0)

Seigniorage

→ net interest income on assets backing currency: earns 7% on bonds, pays 0% on ₹500 note, minus printing cost (~₹1.2–1.3 per note)

→ profit incidental: buy only highest-quality, least-risk assets; bitcoin example ₹10 L to ₹5 L, liabilities ₹10 L: trust lost = social contract of modern money

→ surplus to govt under Economic Capital framework (Bimal Jalan committee)

🔧 4 · MONEY SUPPLY AND MEASURES PYQ Prelims

Why MS curve is vertical: (1) RBI is a monopoly, no entrants; (2) objective is adequacy and trustworthiness, not profit. So MS independent of interest rate: perfectly inelastic. ⭐

Measure	Definition	Type
M0	high-powered money, RBI-created (RBI total liabilities)	
M1	CC + DD with banks + "Other" deposits with RBI	narrow
M2	M1 + post-office demand deposits	narrow
M3	M1 + time deposits (TD) with banks	broad
M4	M3 + post-office deposits (DD, TD, other)	broad

Term	Meaning and exclusions
CC	currency with public; vault cash excluded
DD	public's demand deposits, as liquid as cash; inter-bank deposits not counted
"Other" deposits with RBI	tiny: foreign central banks, IMF, quasi-govt (NABARD); excludes Govt of India deposits (govt manages money; MS = public's holdings)
TD	available at set times, less liquid; most important metric for RBI (stable base for long-term loans)
PO deposits	outside banking payment system; long-term (e.g. National Savings Certificate) not redeemable early, so not in M1–M3

Bonus: new aggregates (Y.V. Reddy Committee, 1998) because post-1991 bank innovation, post offices lost relevance, and time blur (14-day FD and 10-year FD both "time deposits"); RBI moved from who holds to time (liquidity). ⭐

New aggregate	Definition
NM1	currency with public + demand deposits + other deposits with RBI (≈ old M1)
NM2	NM1 + short-term time deposits of residents (up to and including 1 year)
NM3	NM2 + long-term TD of residents (over 1 year) + call/term funding from financial institutions

🎯 5 · MONEY MULTIPLIER PYQ Prelims

RBI injects M0 (buys assets from primary dealers); seller keeps some cash, deposits rest; bank keeps reserve, lends rest; each round smaller, so it halts. MS = m · M0 (m multiplier; NCERT Macroeconomics for detail). ✅

Ratio	Meaning	Effect
cdr = cash ÷ deposit	cash preference; culture, banking access, season (festivals), black money, tax laws	more cash, less lent: m, MS ∝ 1/cdr

rdr = reserves ÷ deposits	share banks cannot lend	higher rdr, fewer cycles: m, MS ∝ 1/rdr

Reserves and trust

→ reserves cost: 100% liquidity, 0% profit; left alone banks push rdr to zero: bank runs

→ no trust, no deposits, no multiplication; banking amplifies reach of money

→ RBI sets LRR in general, CRR in India: "CRR is the legal enforcement of trust"

6 · DEMAND FOR MONEY PYQ Prelims

Three motives

→ transaction (now), precautionary (emergencies); together MDT

→ speculative (preserve wealth) MDS

→ MDT ∝ VT; VT ∝ P · Q = nominal GDP

→ velocity (v): ₹100 note 10 times a month = ₹1,000, v = 10; at v = 5 need ₹200; MDT ∝ 1/v, ∝ P·Q ÷ v

→ v depends on habits, culture, season, payments system

Current r	Expect	Asset prices	Action	MDS
High	r will fall	rise	buy assets	falls
Low	r will rise	fall	keep money, sell assets	rises

Bond price and interest inverse: hold 5% bond, market rate 8%, nobody wants it, price must drop.

Point	Meaning	Result
r-max	no one expects rise; all expect asset rise, buy	MDS = 0; MDS keeps falling as r rises
r-min	no one expects fall; all expect assets fall, sell	all spare money speculative; MDS infinitely elastic

MDS ∝ 1/r; MD = MDT + MDS; MD ∝ nominal GDP (P·Q), inverse to r: demand curve slopes downward. Liquidity trap at r-min: everyone holds cash (MDS = ∞), expects rates to rise; more MS does not cut rates or lift spending: monetary policy loses power.

7 · COST OF MONEY, DUAL MANDATE PYQ Prelims

Cost of money = vertical MS meets downward MD

→ twin objectives: adequacy and trustworthiness

→ inadequate money: raise supply, r falls, AD up, growth revives

→ too much money: doubt on RBI assets, purchasing power falls; cut supply, r rises, AD falls

→ dual mandate = growth–inflation trade-off (each action one good, one bad effect)

8 · TOOLS OF MONETARY POLICY PYQ Prelims 10 qs

	Qualitative	Quantitative
Nature	direction of MS; outcome hard to predict; nudge multiplier (m) without changing base	precise; RBI can calculate liquidity injected or drained
Tools	moral suasion; rationing of credit (PSL); consumer credit regulation; margin requirements (LTV); direct action	OMOs; reserve ratios (CRR, SLR); LAF (repo, reverse repo); MSF; Bank Rate; SDF

Qualitative tools

→ moral suasion: persuade, e.g. restrict lending to speculative stock activity

→ rationing of credit (PSL): % to agriculture, MSMEs, education

→ consumer credit regulation: higher down payment, shorter tenure

→ margin requirements (LTV, Loan to Value): ₹100 gold for ₹60 loan, not ₹80

→ direct action: penal interest, refuse credit

Quantitative tool	What it is	Effect
OMO	RBI buys/sells G-Secs; controls M0	buy = new currency, M0 up (expansionary); sell = M0 down (contractionary)
CRR	share of NDTL (demand + time deposits − inter-bank) kept with RBI in cash, no interest	pure cost to banks; RBI Amendment Act 2006 removed 3% floor and 40% ceiling: 0% to 100%
SLR	share of NDTL in gold and govt bonds	compromise as high CRR kills profits; bonds earn, can be sold in a run
Raise CRR or SLR	less to lend	m shrinks, MS contracts
Repo (LAF)	RBI lends to banks, usually 1 day, max 14 days; Repurchase Agreement (M0 up, restored on repurchase)	higher repo, costlier borrowing, passed on
Reverse repo (LAF)	RBI borrows from banks in surplus liquidity	higher rate: banks park more with RBI, MS falls
MSF	banks short of G-secs dip below SLR in limited way and borrow	penal rate; "punishes your balance sheet" so no habit of breaching
Bank Rate	historically RBI long-term lending rate	dormant; aligned with MSF; baseline for statutory penalties

Banks fill liquidity gaps also by deposits, call money, bonds, capital, certificates of deposit. LAF = RBI window for loan-deposit mismatch (surplus or deficit).

Policy corridor

Ceiling: MSF rate (most a bank pays overnight) → *Benchmark: Repo (anchor, signals stance)* → *Floor: SDF (2022, just below repo; earlier reverse repo)*

🎯 9 · CONDUCT: GROWTH vs INFLATION PYQ Prelims MPC

⚠️ Problem and limits

→ depended on Governor's preference (subjectivity) and time inconsistency (pre-election cheap money, later inflation)

→ cannot force growth: needs infrastructure, taxation, EODB, exports, raw materials; oppressive tax, poor infrastructure: no one borrows even at 0%

→ raising cost cuts spending whatever the cause: central banks better at crushing inflation than raising growth

FIT and MPC: Monetary Policy Framework Agreement 2015: CPI inflation 4% ± 2% (2% to 6%); within band RBI may cut for growth, above 6% must hike. Statutory 6-member MPC: 3 RBI (incl. Governor) + 3 external nominated by Government; majority vote; Governor casting vote only in a tie.

💰 10 · TRANSMISSION AND LOAN PRICING PYQ Prelims

RBI lends only to banks; transmission = banks pass decisions to economy (Monetary Transmission Mechanism).

Phase	Rate	What it did	Weakness
1	PLR (Prime Lending Rate), after 1993 deregulation	lowest rate, least-risk customer	not declared; negotiators paid less; inequitable

2 (2010)	Base Rate	declared PLR; no lending below; ended cross-subsidy	poor transmission: old 5-year FDs in average cost
3 (2016)	MCLR (Marginal Cost of Funds based Lending Rate)	dynamic marginal cost: deposit interest, operating cost, maintenance, marginal funds cost	internal; banks inflated operating costs
4 (2019 on)	EBLR (External Benchmark Lending Rate)	new floating retail (home, auto) and MSME loans link to repo, 91-day or 182-day T-bill, MIBOR	near-perfect transmission

EBLR example: home loan = repo 6.5% + 3% spread = 9.5%; repo cut 50 bps to 6.0% gives 9.0%: EMI resets at next reset date, bank cannot block. MIBOR = Mumbai Inter-bank Offered Rate, standard call rate. ✅

Source conflict: handout writes "EBLR = MCLR = BR = f(marginal cost of funds)"; Base Rate and MCLR are internal, EBLR external. Base Rate 2010, MCLR 2016, EBLR 2019.

🎯 11 · RECENT TOOLS PYQ Prelims 6 qs

Tool	What	Why
Retail Direct Scheme (RDS), 2021	individuals open Retail Direct Gilt (RDG) account with RBI: G-Secs, T-Bills, Sovereign Gold Bonds, free	widen investor base; safe alternative to stocks and FDs
LTRO and TLTRO (2020)	RBI lent at repo for 1 to 3 years (LAF overnight to 14 days); targeted: buy corporate bonds of stressed sectors (NBFCs, microfinance)	COVID freeze, banks hoarded cash
VRRR	auction-based absorption: RBI announces amount (e.g. ₹2 Lakh Crore), banks bid rate	post-COVID surplus; tightening without repo hike
SDF, April 2022	overnight absorption, no G-Sec collateral; replaced fixed reverse repo as floor	reverse repo needs collateral; selling G-Secs crashes prices
Sterilisation and MSS (2004)	special MSS bonds; money in locked RBI account, cannot be spent	forex inflows: RBI buys dollars, prints rupees (M0), inflation; ties to Impossible Trinity

Traps: repo = RBI lends (1–14 days), reverse repo = RBI borrows. MS excludes vault cash, inter-bank and Govt of India deposits. CRR cash with RBI earns nothing; SLR gold and bonds. Floor is SDF since April 2022.

In the news · Sep 2026 FIT: India's Flexible Inflation Targeting completed 10 years. Forex swap facility: inflows under RBI special USD-INR swap facility reached $143.596 billion (data to 18 September 2026). MDR on high-value UPI: NPCI announced MDR on select high-value P2M UPI payments under the Payment and Settlement Systems Act, 2007. VRRR: RBI absorbed over Rs 6.02 lakh crore in two three-day auctions; both cut-off rates 5.24%.

Recall drill: cover and answer

Money; legal tender in India?	GA-MOE; notes, coins, CBDC; trust overrides law	RBI liabilities = ? Seigniorage?	Base Money M0; net interest income on assets backing currency (Bimal Jalan surplus)
M1, M3, M4 and exclusions?	CC+DD+other; +TD; +PO; not vault cash, inter-bank, govt deposits	NM1, NM2, NM3 (Y.V. Reddy 1998)?	NM2 adds TD up to 1 year; NM3 over 1 year + call funding
Multiplier formula; what lowers m?	MS = m · M0; higher cdr and rdr	Liquidity trap?	At r-min MDS = ∞; policy loses power
CRR range since 2006; repo days; corridor?	0% to 100%; 1 to 14; MSF ceiling, repo, SDF floor (Apr 2022)	FIT and MPC?	2015; 4% ± 2%; 6 members (3 + 3); Governor casting vote in tie
Loan pricing order?	PLR, Base Rate 2010, MCLR 2016, EBLR 2019 (repo, T-bill, MIBOR)	Recent tools years?	RDS 2021, LTRO 2020, SDF Apr 2022, MSS 2004, VRRR

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy
GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year
UPI = Unified Payments Interface — Instant mobile payment system run by NPCI
IMF = International Monetary Fund — Global lender for balance-of-payments support
NABARD = National Bank for Agriculture and Rural Development — Apex development bank for agriculture and rural credit
DCW = Double Coincidence of Wants
CRB = Contingency Fund
RDS = Retail Direct Scheme
RDG = Retail Direct Gilt

CAPITAL MARKETS

PYQ Prelims 2014, 2019-2024 (16 Prelims) · Mains 2013 · High

Money market = short-term debt for working capital; capital market = equity and long debt; strangers trade because exchange, clearing house, depositories and brokers manufacture trust.

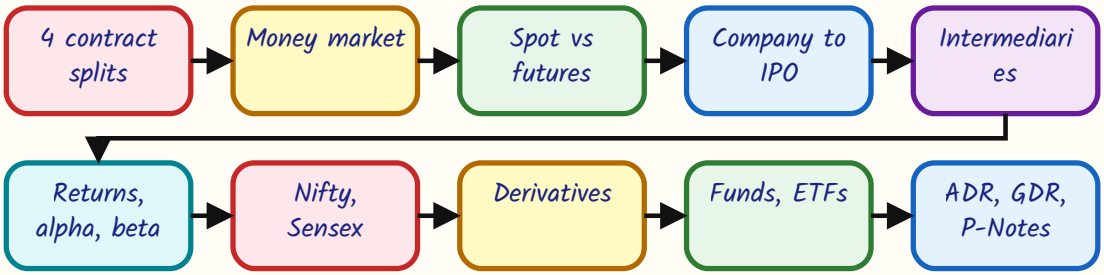
Current affairs · verify dates

Demat 2.0 (tokenised corporate bonds)
SEBI and RBI launched the Demat 2.0 pilot for tokenised corporate bonds using Distributed Ledger Technology and wholesale digital rupee settlement.

Certificate of Deposit (CD)
Three-month CD rates fell to about 6.3% from 7.09–7.23% in June 2026, as FCNR(B) inflows (about $127.2 billion) raised liquidity and cut banks' need for wholesale funds.

SEBI's IT Resilience Index (ITRI)
SEBI introduced ITRI for Market Infrastructure Institutions (exchanges, clearing corporations, depositories).

At a glance: the route of the chapter



1 · FOUR WAYS TO CLASSIFY CONTRACTS

In capital markets demanders and suppliers **decide themselves**, bear risk, enjoy reward; intermediaries give information, trust, back-end work (banking: bank decides, Ch 7). T-bills, CoD, MIBOR, G-secs are RBI's market instruments; T-bills are EBLR benchmarks.

Classified by
→ **rights and obligations:** debt vs equity
→ **maturity:** under 1 year short term, over 1 year long term
→ **terms and conditions:** standardised vs customised
→ **settlement:** spot vs futures (derivatives)

	Money market	Capital market
Contracts	short-term debt (**below 1 year**); equity is perpetual, so long term	equity; debt **over 1 year** (loans, bonds)
Purpose	working capital, short-term liquidity mismatches	**fixed capital formation** (factories, expansion)
Features	less risky, usually unsecured, low interest, extremely liquid: **"near money"**	money turns into asset for long; loses liquidity

🎯 2 · MONEY MARKET INSTRUMENTS PYQ Prelims 8 qs

Instrument	Issuer	Key facts
📜 T-bills	only the Centre	unsecured; 91, 182, 364 days; zero coupon: auction at discount, redeemed at par
📜 CMBs (Cash Management Bills)	only the Centre	7 to 15 days; States use WMA (Ways and Means Advances) from RBI, not T-bills
Commercial Paper (CP)	corporations, NBFCs, InvITs, DFIs	unsecured; rating above SEBI minimum investment grade; 5 AIFIs (All India Financial Institutions): NABARD, NHB, SIDBI, EXIM Bank, NaBFID (National Bank for Financing Infrastructure Development)
Certificate of Deposit (CoD)	banks	short-term deposits via certificates when liquidity tight; unlike FDs, tradable

Trap: 91/182/364 = T-bill; 7–15 days = CMB; States = WMA.

3 · CUSTOMISED vs STANDARDISED; SPOT vs FUTURES

	Customised (OTC)	Standardised
Liquidity	not easily tradable except via counters: Over The Counter (OTC)	many buyers and sellers, easily traded
🎯 Examples	loans, debentures, preference shares	bonds, common equity

Spot vs futures

→ spot: settled on spot; CNC (Cash and Carry)

→ futures (standardised) / forwards (OTC): sign today, exchange at future date at predetermined price

→ underlying = commodity or contract; agreed price = strike (biggest factor CMP); time limit = maturity

→ derivatives: no value of own, derive from underlying (futures, options, swaps, securitised loans); like a betting slip on rain

🎯 4 · BUSINESS IDEA TO PUBLIC COMPANY PYQ Prelims 2, Mains 2013

Company growth

→ company exists independent of entrepreneur: contracts, sue and be sued

→ authorised capital (issuable); issued part = paid-up capital; promoters bring initial capital; sweat equity for employees

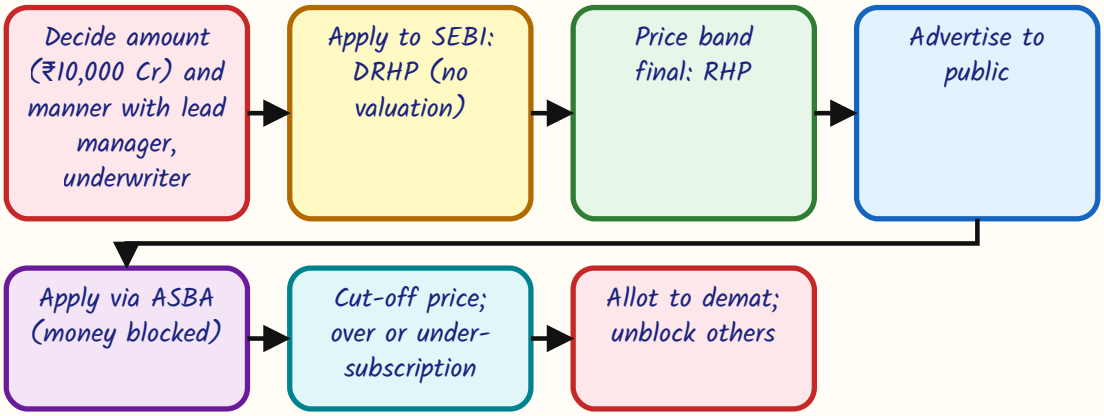
→ stages: angel investors (money + mentoring, valuation negotiated) then VC funds, PE funds, investment banks (firms and HNIs) then public

→ primary market: company issues new shares; secondary: investor to investor, company not involved

→ preference shares: customised, priority (fixed dividend first, capital back first on bankruptcy)

Term	Meaning
IPO / FPO	Initial / Follow-on Public Offer: company issues shares, raises capital
OFS (Offer for Sale)	existing owners sell to public: secondary sale; company gets ZERO. ₹10,000 Cr IPO with ₹9,000 Cr OFS: company raises only ₹1,000 Cr

💰 IPO process (SEBI)



⏳ IPO terms

→ underwriter promises to buy all unsold shares (steps in if under-subscribed)
→ DRHP Draft Red Herring Prospectus; "red herring" lacks final price, quantity
→ ASBA Application Supported by Blocked Amount: blocked not debited, keep savings interest, no refund delay
→ over-subscription: demand above supply (fair allocation)
→ green shoe option: over-allotment for price stability; underwriter borrows extra shares from promoters, sells; if price crashes on listing, buys back

Trap: exchanges (NSE, BSE) serve the primary as well as secondary market (commonly forgotten). IPO/FPO raises capital for company; OFS = zero.

⏳ 5 · STOCK MARKET INTERMEDIARIES PYQ Prelims 3 qs

Intermediary	Role
Stock exchanges (NSE, BSE)	trust between strangers, price discovery; brokers first met under a Banyan tree in Mumbai, 1875 (today's BSE). Three functions: trust (market guarantor), convenience (transfer of title via Registrar), rationality / price discovery (depth stops manipulation)
🏛️ Clearing house (CH)	trust architect. Pre-funding: buyer's money blocked in trading account, seller's shares blocked in demat before order. Novation: CH becomes buyer to every seller and seller to every buyer: counterparty risk annihilated
Depositories and DPs	safe digital storage (shares, bonds, MF units, T-bills). Depositories Act 1996: NSDL, CDSL, dematerialisation. Earlier paper, 14-day settlement, broker misuse, 1992 scam
Brokers	gateway; SEBI-registered; trading account (funds) + demat account (NSDL or CDSL)
Banks	provide money, own or borrowed

Flow: open trading and demat accounts, buy order, CH ensures obligations, bids and asks match, executed. Settlement cycle = execution to credit of shares and money: now T+1, migration to T+0 started. ✅

Source conflict: Depositories Act 1996 vs SEBI required dematerialisation 1995. Quote Act 1996 (NSDL, CDSL); 1995 only if asked.

6 · RETURNS: ALPHA AND BETA PYQ Prelims

Kind	Meaning
Absolute	point to point over a period
Average	per year, compounded average
IRR / XIRR	internal rate of return on cash flows (dividends, rent, maintenance); house bought ₹2 Cr, ₹5 Cr in 5 years, flows change real return
Comparative	against benchmark (Nifty 50, Sensex, relevant index)
Alpha	additional return over benchmark
Beta	volatility vs benchmark: 1 moves with Nifty; 1.5 = 50% more volatile; high beta, no alpha = more risk, no better return

7 · BENCHMARKS: NIFTY, SENSEX; MARKET vs ECONOMY

Benchmark = basket of listed companies weighted by free-float market capitalisation; WAP (weighted average price) at base date indexed to 100 or 1000: WAP 10,000 (index 100) to 100,000 = index 1000, 10 times in 10 years. IT portfolio: IT index. Rebalanced about every 6 months.

	BSE Sensex	Nifty 50
Companies	30	50
Base value	100	1000
Base year	1979	1995

Market vs economy

→ index = proxy but misleading: WAP of 50 largest, formal, cash-rich firms; not MSMEs, agri distress, poverty, unemployment, inflation, trade

→ COVID-19: record highs while GDP fell; big firms capture dying small firms' share

→ forward-discounting: economy mirrors past and present; market discounts future (~18 months)

8 · DERIVATIVES: HIGHWAY AND LAND PYQ Prelims

Example: land ₹10 L; worth ₹50 L if highway approved, ₹5 L if cancelled; decision in 1 year.

Contract	Action	Approved	Cancelled	Risk
Spot	pay ₹10 L now	own it	own it	100% risk
Futures / forward	agree to buy ₹11 L in 1 year	profit ₹39 L	loss ₹6 L	symmetrical obligation
Option	₹1 L non-refundable premium; right, not obligation, at ₹11 L	net ₹38 L (cost ₹12 L)	loss only ₹1 L	asymmetrical: loss capped at premium

In example	Term
barren land	underlying asset
1-year deadline	expiry date
agreed ₹11 L	strike price
₹1 L token	option premium

Philosophy

→ option itself becomes tradable (someone offers ₹15 L)

→ derivatives = risk management (hedging); institutions buy options as insurance

→ retail uses leverage (₹1 L controls ₹50 L); 99% of retail derivative traders lose (handout)

→ ticking clock: spot needs direction; derivatives need direction AND time (March 31 call worthless if highway announced April 1)

Trap: obligation, symmetrical = futures; right, capped loss = option.

9 · MUTUAL FUNDS AND ETFs PYQ Prelims

Retail trap: "Yeh market sabka hai", FOMO; institutions know months earlier; handout says 9 out of 10 retail traders lose; give capital to experts (mutual funds). Every fund has owner, designated objective, fund manager, voluntary contributors, corpus.

	Mutual fund	ETF
Structure	Trust under Indian Trusts Act, 1882; investors beneficiaries; Trustees oversee; AMC launches schemes, hires managers	passive: Nifty 50 ETF holds exact 50 stocks in index weights
Unit value	NAV = (assets − liabilities and expenses) ÷ units; TER capped by SEBI	computable every second
Trading	NAV once a day (EOD); buy and sell with AMC	listed, traded live like shares

10 · DEPOSITORY RECEIPTS, P-NOTES

Instrument	Meaning
Mechanism	Indian company (Infosys) deposits shares with custodian bank in Mumbai; overseas depository bank issues receipts, traded in dollars; avoids US accounting standards
ADR	American Depository Receipt: traded in US
GDR	Global Depository Receipt: Europe, other markets
IDR	Indian Depository Receipt: foreign company raises rupees via IDRs on BSE/NSE (Standard Chartered)

P-Notes = Offshore Derivative Instruments (ODIs): "washing" of black money via tax haven (Mauritius) to SEBI-registered FII who invests in own name and issues P-Note; SEBI could not see owner. 2016–2017: SEBI required FIIs to disclose Ultimate Beneficial Owner (UBO) of every P-Note; issuance fell sharply.

In the news · Sep 2026 Global bond sell-off: long-term yields in US, UK, France, Japan at multi-decade highs (inflation worries, fiscal pressure). NIIF: NIIF Infrastructure Fund II raised about Rs 19,000 crore towards Rs 30,000 crore target. CD: three-month CD rates fell to about 6.3% from 7.09–7.23% in June 2026 as FCNR(B) inflows (about $127.2 billion) raised liquidity.

In the news · Sep 2026 NSE IPO: NSE launched its IPO, bringing demutualisation into focus. Demat 2.0: SEBI and RBI pilot for tokenised corporate bonds on Distributed Ledger Technology with wholesale digital rupee settlement. ITRI: SEBI's IT Resilience Index for Market Infrastructure Institutions (exchanges, clearing corporations, depositories).

Recall drill: cover and answer

Money vs capital market?	Under 1 year debt, working capital; equity and over 1 year, fixed capital	T-bill, CMB maturities; who issues?	91/182/364; 7–15 days; only Centre (States: WMA)
CP issuers; CoD?	Investment grade; 5 AIFIs (NABARD, NHB, SIDBI, EXIM, NaBFID); CoD tradable	OFS: what does company get?	Zero (₹10,000 Cr IPO, ₹9,000 Cr OFS = ₹1,000 Cr)
IPO terms: DRHP, ASBA, green shoe?	No-price draft to RHP; money blocked; over-allotment for stability	Clearing house tricks; depositories?	Pre-funding, novation; Depositories Act 1996, NSDL, CDSL; T+1 to T+0
Sensex vs Nifty numbers?	30, base 100, 1979; 50, base 1000, 1995; rebalanced ~6 months	Alpha, beta?	Excess return over benchmark; relative volatility (1.5 = 50% more)
Futures vs option?	Symmetrical obligation; right with loss capped at premium; need direction and time	MF, ETF, ADR/GDR/IDR, P-Notes?	Trust 1882, NAV daily; listed passive; US, global, foreign firm in India; ODIs, UBO 2016–17

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

SEBI = Securities and Exchange Board of India — Regulator of the securities market

ADR = Association for Democratic Reforms — NGO working on electoral and political reform

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

IT = Information Technology — Computing and digital technology (for example, the IT Act, 2000)

NABARD = National Bank for Agriculture and Rural Development — Apex development bank for agriculture and rural credit

FPO = Farmer Producer Organisation — Collective of farmers for better bargaining and market access

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

CP = Commercial Paper

OTC = Over The Counter

UBO = Ultimate Beneficial Owner

EXTERNAL SECTOR: BOP, FDI, EXCHANGE RATE, CAD, IMF AND WORLD BANK

PYQ Prelims 2011-2022 (45 Prelims) · Mains 2013, 2014, 2015, 2016, 2018, 2023, 2025 (9 Mains) · High

BoP = double-entry ledger of resident/non-resident flows; autonomous items are balanced by RBI (reserves, E&O). FDI is 10% or more, FPI is hot money; a CAD is cured only with a trade-off, and the IMF and World Bank Group are the Bretton Woods twins.

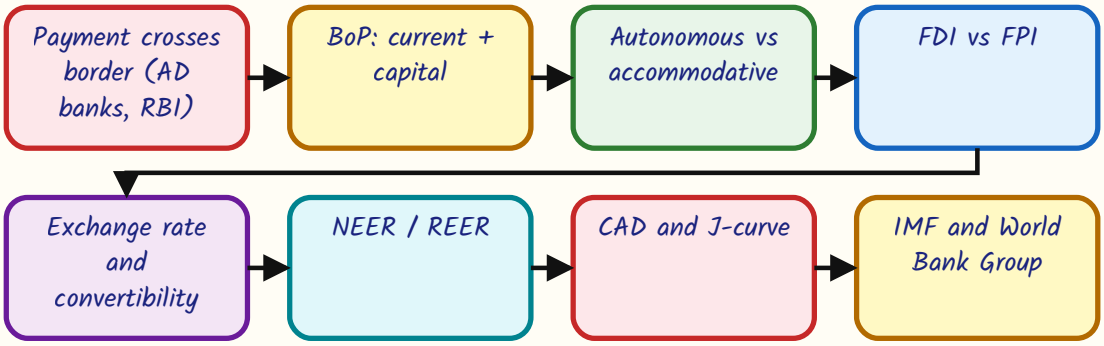
Current affairs · verify dates

Surge in inflows under RBI's forex swap facility
Inflows under the RBI special USD-INR swap facility reached $143.596 billion (data to 18 September 2026).

UK recognises India's CCTS under UK CBAM
The UK recognised India's Carbon Credit Trading Scheme as a qualifying overseas carbon-pricing scheme under its Carbon Border Adjustment Mechanism.

Anti-dumping duties on aluminium products
DGTR recommended extending anti-dumping duty for five years on certain aluminium imports.

At a glance: the route of the chapter

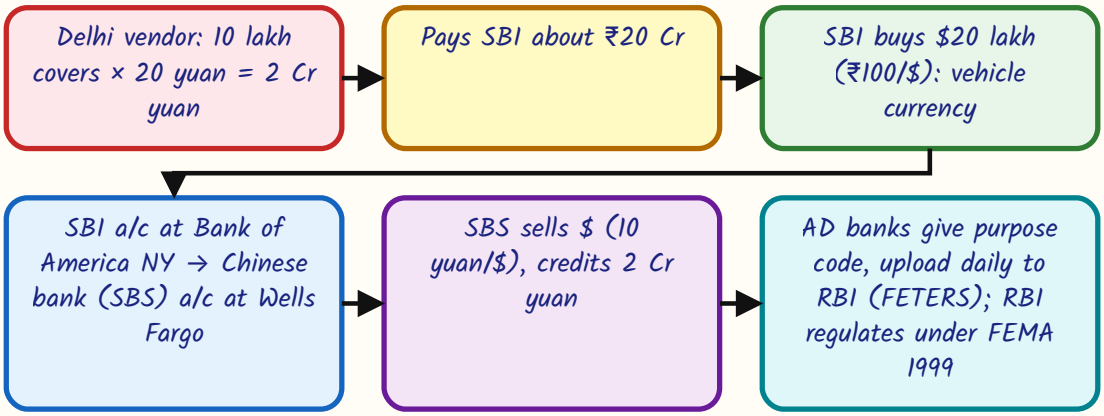


1 · HOW THE BoP GETS BUILT

PYQ Prelims BoP definition

BoP = ledger of all transactions between residents and non-residents over a period ("ultimate macroeconomic ledger"). Resident = by centre of economic interest, not nationality.

🎯 Mobile-cover example (₹20 Cr to China)



Account view	Whose view
Nostro ("ours")	SBI's view of its a/c in New York
Vostro ("yours")	Bank of America's view of the same a/c
Loro ("theirs")	third bank (PNB) referring to SBI's NY a/c

Rules of the ledger

→ RBI compiles on IMF standard BPM6; BPM7 released 2025, expected adopted by 2029

→ BoP = flows; IIP (International Investment Position) = stocks, published with it; valuation changes show in IIP, not BoP

→ Double entry: credit (+) and debit (–) equal, sum to zero

Credit
- → export of resources
- → fall in foreign assets / rise in liabilities (money entering)

Debit
- → imports
- → rise in assets / fall in liabilities (money leaving)

→ one-sided items (gifts) get offsetting transfer entries

→ residents per SNA concept; net exports part of GDP

👥 2 · STRUCTURE: AUTONOMOUS vs ACCOMMODATIVE

PYQ Prelims

accounts

	Autonomous ("above the line")	Accommodative ("below the line")
Motive	self-interest choices; nobody controls	necessitated by net balance above
Items	current account; capital and financial account	Δ Reserves and Errors and Omissions (E&O)
Who acts	individuals and firms	central bank (RBI)

Current account (settled; no change in assets/liabilities)	Contents
1.A.a Goods	merchandise: textiles, electronics, intermediates, metals, coal, jewellery, non-monetary gold (not reserve)
1.A.b Services	transport, travel, communication, financial, IT, insurance, royalties and licence fees
1.B Incomes	compensation of employees; investment income (interest, dividends, profits): earned +, paid –
🆕 1.C Current transfers	remittances into India +, from India –; no quid pro quo
Invisibles	Services + incomes + transfers

GIST — Goods · Incomes · Services · Transfers: the gist of the current account (invisibles = last three) (own mnemonic)

Capital account (old classification)

2.A Debt

→ borrowings +, lendings –, incl. principal repayments

→ classified by interest rate (concessional/commercial), currency (domestic/foreign), place (on/offshore)

→ Govt borrows concessionally (World Bank); private at commercial; total commercial debt owed to non-residents = ECB

→ currency of denomination decides who bears exchange-rate risk (borrow at $1 = ₹90, repay at ₹100)

2.B Investments

→ Indians abroad −, foreigners in India +; foreign withdrawal −

→ split into FDI and FPI

2.C Others

→ banking capital, trade credits, NRI deposits

2.D Reserves

→ BPM6: in financial account; RBI standard shows change in capital account (FEMA current/capital binary)

Masala bonds: offshore rupee-denominated bonds issued by an Indian entity abroad; exchange-rate risk shifts to buyer; internationalisation of rupee. FII buying Indian govt bonds = onshore rupee debt. PYQ Prelims IFC Masala Bonds

Old vs new (BPM6): old capital account moved almost wholly to financial account. New capital account is narrow: (a) non-produced non-financial assets (foreign govt buys land for embassy; trademark transfer) (b) capital transfers (debt forgiveness, large investment grants, cross-border inheritance). Economic Survey still uses old Current vs Capital. Handout: no need to memorise RBI tables pp 12–13.

Accommodative: reserves and E&O

→ net autonomous surplus (CAD $10 B, capital surplus $25 B = +$15 B): RBI absorbs into reserves; deficit: RBI sells dollars

→ RBI cannot sit out: importer's bank seeks $ from RBI; exporter's bank sells to RBI; open economy = central bank less autonomous

→ Example: reserves $500 B, inflows $100 B, outflows $80 B: reserves → $520 B

→ E&O: observed $20.4 B vs expected $20 B: E&O = +$0.4 B; causes: timing, exchange-rate moves in transit, illegal capital flight

Mundell-Fleming trilemma (impossible trinity)

→ free capital flow

→ fixed/managed exchange rate

→ independent monetary policy: not all three

Source conflict (handout alert): handout writes "Current Account + Capital Account − Financial Account (incl. Reserves) + Net E&O = 0" but elsewhere puts reserves in the capital account; signs unexplained. Exam-hall rule: remember autonomous + Δ reserves + E&O = 0 and the old classification unless the question says BPM6.

Teacher's pink oval and star: 2020–21 Q1 and Q2 on slide 13 "India's BoP: Overall" (Fig 16 CAB as % of GDP; Fig 17a BoP balance). Charts show current account in surplus, capital inflows continued, BoP surplus and reserves jumped; no written reason (check notebook). Fig 17b: augmented forex reserves about US$634 bn by 2021–22 Q3.

In the news · Sept 2026 (verify dates) RBI forex swap surge: inflows under the special USD-INR swap facility reached $143.596 billion (data to 18 Sept 2026).

🎯 3 · SLIDE DATA ON INDIA'S BoP — PYQ Prelims trade, reserves

Slides (Economic Survey charts, 2019–20 to 2021–22)

→ Slide 3 (Table 6): components in US$ bn (CA, merchandise, invisibles, capital a/c, FDI, FPI, loans, banking capital, E&O, overall balance, reserves change)

→ Slides 7–9: trade growth; top 10 export commodities; top 10 import sources and export destinations

→ Slide 10: services, remittances, net invisibles (services, transfers, income)

→ Slides 11–12: CAB, FDI/FPI trends (FPI volatile), capital account

→ Slide 18: reserves sources (FCA, gold, RTP, SDR) and import cover (months)

Top 5 trading partners (Slide 19, PIB graphic)	Share	Top 5 imports	Top 5 exports
USA	11.3%	crude petroleum	petroleum products
China	10.9%	gold	precious stones
UAE	7.3%	petroleum products	drug formulations and biologicals
Saudi Arabia	4.1%	coal	gold and precious metals
Hong Kong	3.7%	coke and briquettes	iron and steel

📰 In the news · Sept 2026 (verify dates) Trade items: Districts as Export Hubs (DEH) now covers 770+ districts; copper prices up (short-term supply disruption, structural demand); DGTR recommends 5-year anti-dumping duty extension on certain aluminium imports; UK recognises India's CCTS as qualifying scheme under UK CBAM.

🎯 4 · FOREIGN INVESTMENT: FDI vs FPI — PYQ Prelims, Mains FDI

🏛️ History (handout)

→ 1950s–80s: near-zero savings; food dependence on US PL-480; 1962 war; Shastri's 1965 "Jai Jawan, Jai Kisan"; capital on draconian terms: Indian partner, 60% local sourcing, no profit repatriation; LPQ Raj; Suzuki–Maruti 1980s

→ 1991 BoP crisis (sovereign default threat, IMF) → LPG reforms

→ 2012: govt demanded 30% local sourcing from Apple; Apple walked away

1991 opening

2000 FDI liberalisation

2013 new policy

2016 liberalisation

2020 foreign investment conditions

Handout ties reforms to: post-nuclear-test isolation, 2013 US Fed tapering, demonetisation's bad press, 2020 supply-chain shock. ⭐

	FDI	FPI (formerly FII)
Control	intent to control: 10% or more equity	no significant control: below 10%
💡 Nature	long term; money + technology	"hot money"; money only
Exchange rate	stable	large flows: sharp appreciation/depreciation
Regulation	sectoral limits; sectoral regulator, Home, Defence, Environment; earlier FIPB and CCEA; now mostly automatic	instrumental limits; RBI and SEBI; less cumbersome
🎯 Example	Honda cars; Budget 2021: insurance 74% from 49%	FIIs buying stocks and govt bonds

Why old test failed: split by perceived intent (subjective). 2013–14, Arvind Mayaram Committee: objective "significant control" test (IMF/OECD). 2014: SEBI merged FIIs, sub-accounts and Qualified Foreign Investors into FPIs; "FII" now only a class (BlackRock, Vanguard, KKR). ✅

Case (10% rule)	Class
10% or more of listed Indian company	FDI
less than 10% of listed company	FPI
🌐 any foreign investment in unlisted company/ startup	always FDI
5% equity + 20% debt	FPI (equity below 10%); debt follows ECB/FPI-debt rules
compulsorily convertible instruments (CCPs, CCDs)	equity: 10% on post-issue paid-up equity, fully diluted
FPI like BlackRock crosses 10%	that investment reclassified FDI; BlackRock stays FPI

Source conflict (handout alert): slide says FDI "more than 10%", handout says "10% or more"; only exactly 10% differs. Rule: 10% or more = FDI; beware an option saying "more than 10%".

FDI regime today

9 prohibited sectors
→ lottery · gambling and betting (casinos) · chit funds · Nidhi companies
→ trading in TDRs · real estate business (pure land buy-sell) · tobacco manufacture
→ atomic energy · railway operations (except certain infrastructure)

→ limits up to 100% in several sectors

Automatic route
→ over 90% of FDI
→ no prior approval; inform RBI within 30 days

Government route
→ prior approval via Foreign Investment Facilitation Portal (FIFP)
→ above ₹5,000 Cr: CCEA
→ FIPB abolished

🎯 Examples
→ Defence: up to 74% JV automatic; 100% needs CCEA (state-of-the-art tech)
→ Print media: 26% (I&B Ministry)

Greenfield vs brownfield
→ greenfield = new entity (Kia, Andhra Pradesh)
→ brownfield = existing (Walmart–Flipkart)

FPI is money; FDI is marriage: entity regulated, not investor. Fit and proper: Mitsui seeking 20% of an Indian bank crosses 10%; RBI tests track record, ultimate beneficial owners, financial stability. A 6% FPI holding (Vanguard in Yes Bank) barely registers. ✅

📰 *In the news · Sept 2026 (verify dates)* Global bond sell-off: long-term yields in the US, UK, France and Japan at multi-decade highs on inflation worries and fiscal pressure.

Links: RBI forex purchases and sterilisation (MSS) tie reserves to money supply (trinity in both); FPI, ADR, GDR, IDR, P-Notes are capital flows recorded in BoP; higher relative inflation raises REER and hurts exports; devaluation is inflationary. 💡

🎯 5 · EXCHANGE RATES AND CONVERTIBILITY

PYQ Prelims convertibility/currency price

Exchange rate (ER) = price of one currency in another. Direct quote: $1 = ₹90. Indirect: ₹1 = $1/90 ≈ $0.011. 💡

Demand for $ (minus)

→ importers
→ income outflows (interest, dividends)
→ capital flight (FPIs selling)
→ citizens abroad (tourists, students)

Supply of $ (plus)

→ exporters
→ foreign investors (FDI, FPI)
→ borrowings (ECBs)
→ remittances and tourism

ER is where D$ meets S$. Crude surge: ₹90 → ₹95; flood of foreign investment: dollar cheaper. ✅

System	What it is	Terms / examples
Floating	set by D and S; no intervention; needs deep forex market	appreciation / depreciation (automatic)
Fixed	authority sets rigid rate; cheap fixed $ (₹40 vs ₹90) explodes demand: sell finite reserves or restrict (import bans, profit-repatriation and remittance limits) → illegal channels, Hawala, shields inefficient producers	devaluation / revaluation. Slide 5 ways: control D or S of forex; peg to commodity (gold standard); peg to currency via currency boards
Pegged (variant of fixed)	no deep forex market: peg to large partner/ neighbour	Bhutan ngultrum (1:1) and Nepal rupee to INR; UAE dirham and Hong Kong dollar to US$
Managed float (dirty float)	largely floating; central bank intervenes for volatility	India. RBI targets no value (₹82/₹85); only curbs volatility. Handout objects to "dirty" as pejorative

1947–71 Par Value, pegged to US$

1971–75 pegged to pound sterling

1975–92 basket of currencies

1992–93 LERMS dual rate

1993– VERS / managed float

Convertibility

→ legal ease of swapping domestic and foreign currency; non/partial = hallmark of fixed regimes; full needs no RBI permission
→ before 1993 rigid and restricted

Today

→ 100% convertible on current account
→ partial on capital account: FDI, FPI free; limits on corporate ECBs and residents sending capital abroad (LRS)

🗳️ Tarapore Committees (1997 and 2006) PYQ Prelims capital account

→ conclusion: full capital account convertibility too dangerous until fiscal deficit and bank NPAs fixed

Tarapore I 1997 (Slide 6: graded move)

→ control fiscal deficit
→ control inflation
→ shore up govt ability to repay debts
→ control gross NPAs of banks

Tarapore II 2006

→ raise ECB limits
→ relaxations for NRIs

→ abolish Participatory Notes

Source conflict (handout alert): slide gives the 4 conditions and 3 later recommendations without years; handout gives 1997 and 2006 and only the conclusion. **Rule:** Tarapore I = 1997 (fiscal deficit, inflation, debt, NPAs); II = 2006 (ECB, NRIs, P-Notes), as the slides link them.

External debt (slide 8)

→ includes: sovereign debt, ECBs, FII debt, multilateral debt, Masala bonds, (proposed) sovereign debt bonds

→ mostly US dollar-denominated, then INR; mostly long-term maturity

6 · NOMINAL, REAL AND EFFECTIVE RATES

(direct quote)	Depreciation	Appreciation
Rupee	loses value: $1 ₹80 → ₹90	gains: $1 ₹90 → ₹80
Imports	costlier, discouraged	cheaper
Exports	cheaper abroad, encouraged	costlier, uncompetitive

Trap: dollar falling ₹90 → ₹80 = rupee APPRECIATION ("may cost dearly in exams"). Floating = appreciation/depreciation; fixed = revaluation/devaluation.

	Nominal ER (NER)	Real ER (RER)
💡 Meaning	market price (e.g. $1 = ₹80)	inflation-adjusted: RER = NER × (PF ÷ PD)
Why	movement affects trade	NER fixed ₹80: India inflation 10% vs US 5% raises export prices
Handout numbers	NER ₹80; PF = 105; PD = 110	RER = 80 × 105 ÷ 110 ≈ ₹76 (rupee "actually stronger": imports rise, exports fall)
Fix	let NER depreciate to ₹85	RER = 85 × 105 ÷ 110: handout says "~₹80"

Doubt: 85 × 105 ÷ 110 gives about ₹81, handout says "~₹80". Learn the formula and direction, not the figure.

Effective ER (EER)

→ weighted average over partner currencies; weights = share of India's trade

→ NEER = bilateral nominal rates

→ REER = NEER adjusted for inflation differentials

Key UPSC trap (NEER/REER): (1) RBI uses indirect quotes: rising EER = stronger rupee. (2) Index base 2015-16 = 100; above 100 = over-valued; rising = rupee expensive, less trade-competitive. (3) Two baskets: quick = 6 major partners, complex = 40 largest; weights follow trade shares.

🎯 7 · CAD: CAUSES, CURES, SIDE EFFECTS PYQ Prelims, Mains CAD/gold

CAD = VI − VE (imports above exports). Not inherently evil; test = sustainability: quality of financing (stable FDI ok; volatile FPI or costly ECB not) and reserve adequacy (handout: 6 to 8 months of import bill).

High imports	Low exports
high income growth; dependency (crude, APIs); low tariffs; insufficient capacity; high inflation; strong exchange rate	poor manufacturing (EODB, taxes, infrastructure, investment); recession abroad; resource depletion; poor quality; high inflation; strong exchange rate

Slide 14: demand side: strong domestic growth, weak foreign growth, strong ER. Supply side: low investment, low productivity, high relative inflation, high labour costs, poor export quality, depletion. Slide flags "*Dutch Disease?" with no explanation anywhere in material.

Reason	Policy	Trade-off
1 Demand: high incomes; inelastic crude, APIs; "gold sinkhole"; growth raises luxury imports	demand reduction: contractionary fiscal/ monetary; tariffs, bans	"sledgehammer": lower growth, unemployment, poverty; illegal channels; lost tax revenue
👥 2 Policy (tariffs): cheap imports; high domestic taxes; Inverted Duty Structure (IDS): finished-goods tax below intermediates	tariffs, quotas; raise import taxes, cut domestic taxes, subsidise	retaliation, costly, inflationary, WTO violation; pharma, petroleum, electronics, gems exports hit (imported intermediates)
👥 3 Supply: poor infrastructure, EODB, low R&D, disasters	infrastructure; EODB, contract enforcement, land; skilling; quality (Zero Defect, Zero Effect); PLI	long term, costly, no guarantee; all together
4 Strong ER: imports cheap, exports dear	devaluation; export subsidies	currency wars, costlier imports, J-curve

Investment paradox

→ "China illusion": highway pays only if synced with "software" (EODB, contract enforcement, land, flexible workforce, talent)

→ Winner-takes-all: India, Vietnam, Sri Lanka, Egypt compete; Apple, Foxconn pick one; losers get debt and empty parks

→ Southeast Asia opened earlier, better infrastructure: investment alone is not enough

🎯 8 · J-CURVE AND CURRENCY WARS PYQ Prelims devaluation

CAD = VI − VE; VI = PI·QI, VE = PE·QE. Devaluation: PI rises (QI falls), PE falls (QE rises); net effect depends on elasticities. Slide 16 figure: PED < 1 devaluation worsens CA; PED > 1 improves it. 💡

Worked numbers (inelastic)	Imports	Exports
Price	PI′ = 2 PI	PE′ = PE / 2
Quantity	QI → 0.75 QI	QE → 1.5 QE
Value	VI′ = 2 × 0.75 = 1.5 VI (bill up)	VE′ = 0.5 × 1.5 = 0.75 VE (revenue down)

CAD worsens first (imports are necessities; exports inelastic short term); medium/ long term imports fall, exports rise: J-curve. Currency wars: India devalues → China devalues yuan → India again → Vietnam: cascading drops; CAD worsens, capital flees, reserves bled, inflation, sovereignty hit: "beggar thy neighbour". Floating = automatic stabiliser of CAD (no retaliation). ✅

🎯 9 · COOPERATION AND BRETTON WOODS PYQ Prelims institutions

Why institutions

→ Game theory: von Neumann, then John Nash; aggressive play leaves all worse off (race to bottom); Nash Equilibrium needs mutually acceptable rules (handout: Iran-Israel-US matrix)

→ Bretton Woods Conference 1944 (44 countries): wars caused by economic desperation, competitive devaluations, colonial debt traps; example: East India Company got Diwani after Nawabs defaulted; British goods paid zero duty, Indian goods about 200% in Britain

Keynes (UK) vs Harry Dexter White (USA)

→ Keynes: neutral global central bank, stateless currency "Bancor"

→ White: US dollar (gold-backed) anchor, votes by contribution (US held about 80% of central-bank gold); White won

Problem	Answer
BoP crisis manager	IMF
Rules of the game, stop tariff wars	ITO proposed and failed → WTO 1995
💰 Builder: rebuild Europe, finance new colonies	World Bank (IBRD)

IMF + World Bank, born together = "Bretton Woods Twins". ✅

🌐 10 · THE WORLD BANK GROUP

WBG basics

→ "World Bank" strictly = IBRD + IDA; WBG has five institutions

→ Goals by 2030: end extreme poverty (below $2.15 a day to no more than 3% of world) and shared prosperity (income growth of bottom 40%)

→ Governance: votes by shares; USA largest shareholder with large veto; Board of Governors (finance ministers, annual); 25 Executive Directors, Washington D.C.; President always American (IMF head always European)

Institution	Function	Funding / borrowers
IBRD	original; long-term favourable-commercial loans to middle-income and creditworthy low-income countries for infrastructure	World Bank bonds (AAA); India, Indonesia, Brazil, Turkey
IDA (1960)	concessionary: zero/very low interest credits and grants to poorest; repay 30 to 40 years	donors, replenished every 3 years; Nigeria, Ethiopia, Bangladesh. India graduated 2014, now only IBRD (formerly "Blend")
IFC	private-sector arm; lends to private corporations; credit guarantee beats the "sovereign ceiling trap" (Indian corporate pays 7% vs 4% in US)	AAA; local currency finance (rupee Masala bonds)
MIGA	insurance arm: Political Risk Insurance against expropriation, breach of contract, war and civil disturbance, currency inconvertibility	reduces fear of policy instability
ICSID	international arbitration, foreign investor vs host state	India NOT a member: bypasses domestic courts, sovereignty; exhaust domestic remedies first

Flagship publications: World Development Report (WDR); Global Economic Prospects (bi-annual); Logistics Performance Index (LPI); Ease of Doing Business discontinued, replaced by B-READY. ⭐

⚡ 11 · THE IMF: FUNCTIONS, QUOTA, SDR, LENDING

PYQ Prelims 7 on IMF

IMF (conceived July 1944)

→ 191 members; 3 missions: international monetary cooperation, expansion of trade and growth, discouraging harmful policies

⚡ Core functions

→ Surveillance: exchange rates, capital flows, reserve adequacy; Article IV annual mandatory check; WEO, Fiscal Monitor, GFSR, country reports

→ Capacity building: technical help to central banks

→ Lending: lender of last resort

→ Executive Board: 25 Executive Directors + 1 Managing Director (26 since 2024)

👥 Quota (size of economy, reserves, openness) fixes

→ 1 Subscription

→ 2 Voting power: proportional; major decisions need 85%: US over 16% = veto

→ 3 Borrowing limit (multiple of quota)

Votes

→ Fixed Votes: equal to all (protect small)

→ Quota-Based Votes (QBV): share of total quota (quota 4 of 100 = 4%)

→ Indian ED represents India, Bhutan, Bangladesh, Sri Lanka: about 3.5%

→ most decisions simple majority; quota reform 85%

→ quota review every 5 years, slow; India contributes more than its quota as a signal

Subscription, SDR and RTP

→ subscription (= quota) counted in SDRs: 75% domestic currency, 25% freely usable currency or gold (USD, JPY, RMB, EUR, GBP)

→ 25% part withdrawable unconditionally, counted in reserves = Reserve Tranche Position (RTP), "interest free loan"

→ Forex reserves = gold + foreign currency assets (cash, foreign govt bonds) + SDR holdings + RTP PYQ Prelims reserves

SDR	Meaning
Not a currency	cannot buy goods
💡 Not a claim on the IMF	cannot sell back to IMF for currency
💡 Definition	potential claim on freely usable currencies of other members; reserve asset
Holders	members and prescribed holders (IMF, World Bank, ECB)
On joining	holdings (asset) = allocations (liability): no net interest; IMF sets interest rate weekly

Crisis flow: X (Sri Lanka) sells holdings to surplus Y (Germany) at SDR price, gets currency; X pays net interest, Y earns it from the IMF (IMF = risk management entity). When X is out, IMF creates SDRs out of thin air. No rupee of IMF corpus lent so far. ✅

Direct window (after SDR and RTP)	For	Terms
ECF Extended Credit Facility	low-income; PRGT-funded	zero interest; long-term structural BoP
RCF Rapid Credit Facility	low-income	emergency, fast, few conditions (disasters, COVID-19)
SBA Stand-By Arrangement	middle/high income; market interest	1–2 years, cyclical BoP; most loans
💰 EFF Extended Fund Facility	middle/high income	3–4 years, structural (Pakistan repeated)

Conditionalities (SAPs) on SBA and EFF, in tranches: fiscal austerity, higher taxes, slashed subsidies, PSU privatisation, price-control removal; "infringement on sovereignty"; alleged bias (EU defaulters get fewer conditions than South Asia). IMF often consults FATF before lending.

Traps

→ 10% or more = FDI

→ NEER/REER up = stronger rupee

→ ₹90 → ₹80 = appreciation

→ devaluation worsens CAD first

→ SDR not a currency

→ Tarapore I 1997, II 2006.

1944 Bretton Woods

1960 IDA

1991 BoP crisis, LPG

1993 VERS

1995 WTO

1997 Tarapore I

2006 Tarapore II

2013–14 Mayaram, FDI test

2014 FPI merger; India leaves IDA

2021 Budget insurance 74%

2025 BPM7 released

Recall drill: cover and answer

BoP: flows or stocks? Where are stocks?	BoP = flows; stocks = IIP; BPM6 now, BPM7 (2025) by 2029	Accommodative items?	Δ reserves and errors and omissions; autonomous + Δ reserves + E&O = 0
FDI vs FPI cut-off? Unlisted?	10% or more = FDI (handout); below 10% FPI; unlisted always FDI; Mayaram 2013–14	FDI numbers: prohibited, automatic share, CCEA?	9 prohibited sectors; automatic over 90% (inform RBI in 30 days); above ₹5,000 Cr CCEA; FIPB abolished; insurance 74%, print 26%
Rupee convertibility? Tarapore?	Full on current, partial on capital; 1997 (4 conditions), 2006 (ECB, NRIs, P-Notes); VERS since 1993	NEER/REER reading?	Indirect quote, base 2015–16 = 100; rising = stronger rupee, less competitive; 6 and 40 country baskets
J-curve numbers?	PI×2, QI×0.75 → VI×1.5; PE÷2, QE×1.5 → VE×0.75; CAD worsens first	WBG five and India link?	IBRD, IDA (1960; India graduated 2014), IFC, MIGA, ICSID (India not a member); president American
IMF: quota, votes, SDR, RTP?	191 members; 85% majority, US over 16%; 75% domestic / 25% foreign currency; SDR not currency; RTP = 25% part	IMF windows?	ECF and RCF (low income); SBA 1–2 y; EFF 3–4 y; conditionality (SAPs)

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

FDI = Foreign Direct Investment — Investment by a foreign entity with ownership or control in an Indian business

IMF = International Monetary Fund — Global lender for balance-of-payments support

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

CCEA = Cabinet Committee on Economic Affairs — Cabinet committee that approves MSP and major economic decisions

IFC = Information Fusion Centre — Maritime information-sharing centre in the Indian Ocean Region

WTO = World Trade Organization — Global body for trade rules and disputes

FEMA = Foreign Exchange Management Act, 1999 — Regulates foreign exchange transactions; replaced FERA

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

SEBI = Securities and Exchange Board of India — Regulator of the securities market

IT = Information Technology — Computing and digital technology (for example, the IT Act, 2000)

NRI = Non-Resident Indian — Indian citizen living abroad

OECD = Organisation for Economic Co-operation and Development — Club of mostly rich economies

ADR = Association for Democratic Reforms — NGO working on electoral and political reform

UPSC = Union Public Service Commission — Constitutional body (Art 315) that recruits for the Union services

PLI = Production Linked Incentive — Incentive scheme tied to production growth

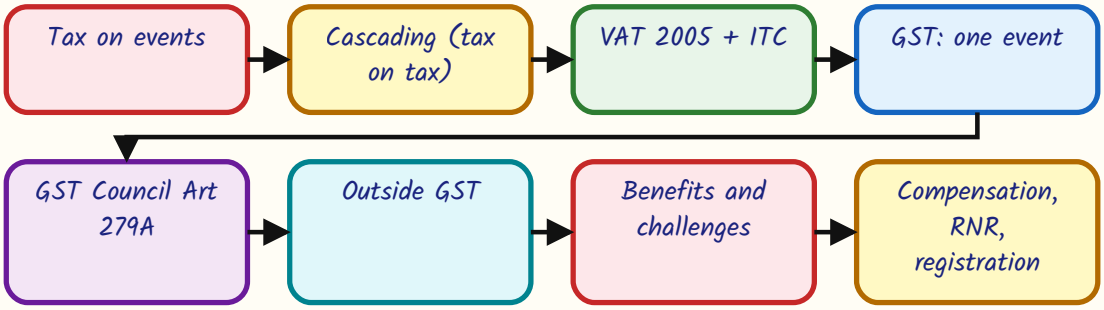
ED = Enforcement Directorate — Agency that enforces PMLA and FEMA

GOODS AND SERVICES TAX (GST)

PYQ Prelims 2011, 2014, 2017, 2018 (4 Prelims) · Mains 2013, 2014, 2020 (3 Mains) · Medium

✎ *GST is the 2005 VAT idea taken to its end: one event (supply), CGST + SGST within a State and IGST across, destination-based, with ITC across all taxes.*

At a glance: the route of the chapter



1 · OLD SYSTEM: TAXES ON EVENTS

PYQ Prelims sales tax

Events taxed

→ sale, income, change of international boundary (customs), company profit
→ **Indirect tax:** levied on A, collected from B, who bears it

Old flow

→ **excise** (Centre) on production
→ **sales tax** (later VAT) at every sale
→ consumer bears all

CST

→ State cannot tax inter-State sale (**Art 301–307** free movement)
→ Centre levies, gives **entire amount to selling State**

2 · CASCADING: THE SHIRT EXAMPLE

Value added ₹366 (cloth 100, thread 100, shirt 58, wholesaler 48, retailer 60); consumer pays **₹550**: tax ₹184 on ₹550 = **33.5%**. **Cascading = double taxation, tax on tax.** Sales tax on value of sales; excise on value of production (or fixed rate = specific duty).

Producer → wholesaler: sales ₹320, tax 10% = ₹32, pays ₹352	₹
tax on shirt producer's value added (fresh value)	5.8
tax on producer's own excise (₹20)	2 (tax on tax)
tax on cloth and thread value added (10 + 10)	20 (already taxed)
tax on cloth/thread excise (₹1 each)	2 (tax on tax)
tax on sales tax between cloth/thread and shirt producer (1.1 each)	2.2 (tax on tax)

Of ₹32 only **₹5.8** on fresh value; **₹26.2** was tax on tax or on taxed value. ✅

Handout slip: algebra line repeats "121 (cost paid to cloth producer)"; second should be thread producer; totals unaffected. Learn the five-part split, not the algebra.

3 · VAT (2005) AND INPUT TAX CREDIT PYQ Prelims VAT

VAT

→ from 2005 State sales tax on value added (called VAT); Central excise VATted in 1980s = CENVAT / MODVAT
→ aim: fair taxation, higher compliance
→ ITC: tax paid on inputs (with bill) offset against output tax; producer had paid ₹11 each on cloth and thread = ₹22 ITC

Two very important points: (1) tax is always charged on the entire value; govt cannot see value added; ITC is how a tax on value added is achieved. (2) ITC works only for the same tax: VAT against VAT, not excise (Central) or State entertainment, luxury, octroi.

Producer → wholesaler	Old (pre-2005)	VAT (2005–2017)
Tax base	₹320	₹298 (input 110 + 110 = 220, + value added 58 + excise 20)
Tax	₹32	₹29.8 less ITC ₹22 = ₹7.8 (5.8 + 2)
Wholesaler pays	₹352	₹327.8
Cascading left	all	₹2 tax on excise

VAT shortcoming: still levied on excise. GST removes all other events except sale so every tax offsets every other.

4 · WHAT GST IS PYQ Prelims GST advantages

GST = wider VAT: removes all other indirect-tax events except Customs into one: sale of a good or service. No excise, CST, entry tax/octroi. Statutory: tax on supply of goods and services other than alcohol for human consumption.

Stage (assumed GST 20%)	Value added	GST on sale	Net after ITC
Cloth and thread	₹100 each	₹20 each (on 100)	₹20 each
Shirt producer	₹58	₹51.6 (on 258)	51.6 − 40 = ₹11.6
Wholesaler	₹48	₹61.2 (on 306)	61.2 − 51.6 = ₹9.6
Retailer	₹60	₹73.2 (on 366)	73.2 − 61.2 = ₹12
Consumer	₹366	₹73.2 = 20%	price ₹439.2 (vs ₹550)

20% is the teacher's assumed rate, not a slab (slabs 0, 5, 12, 18, 28). A bracket note on page 6 is unreadable, appears to compare ₹439.2 with ₹550.

Three properties	Meaning
One nation-one tax	subsumes VAT, CST, excise, service tax etc.
Destination-based	taxing authority = where goods are supplied to
VAT-like	earlier-stage tax set off at next stage

Tax	When	Revenue
CGST + SGST	sale within a State	CGST: Centre; SGST (UTGST in UTs): destination State
IGST	sale across two States	Centre levies on inter-State supplies and imports (Art 269A)

International trade

→ goods/services taxed and design features common to Centre and States
→ destination-based: exports zero-rated (not exempt): full duty drawback
→ Customs not part of GST
→ Imports: basic customs duty (BCD), then IGST

👥 5 · GST COUNCIL AND THE CONSTITUTION

👥 Constitution (101st Amendment) Act, 2016 (notified 08.09.2016)

→ Art 246A: concurrent levy and collection by Centre and States
→ Art 269A: Centre levies IGST on inter-State supplies incl. imports
→ Compensation to States for five years on Council recommendation (handout: "Clause 19")
→ Petroleum: crude, high speed diesel, petrol, natural gas, ATF brought under GST from a later date

GST Council (Art 279A)	Provision
Chairperson	Union Finance Minister
Vice Chairperson	chosen from State Ministers
👥 Members	MoS (Finance) + Finance/Taxation Ministers of every State
Quorum	50%
Decision	75% majority
Weightage	States 2/3, Centre 1/3
⚡ Role	apex policy body: model GST laws, rates, place of supply rules, everything related

Federalism (Mains): critics: States surrendered financial sovereignty (Covid: could not raise indirect rates). Handout: Centre and States "pooled their sovereign rights" through the Council. Use both sides. ✅

💰 6 · OUTSIDE GST

Item	Position
Alcohol for human consumption	outside; power to tax stays with State
⚡ Five petroleum products (crude, diesel, petrol, natural gas, ATF)	Council decides date; as of March 2022 not under GST; VAT/ input taxes paid cannot be offset against GST
Tobacco	inside GST; Centre may levy additional excise
💰 Entertainment tax by local bodies	outside; local bodies

Also
→ 12 nautical miles: Central administration, but States can tax activity there
→ Stamp duties on legal agreements still State

💰 7 · BENEFITS, CHALLENGES, COMPENSATION, RNR

PYQ Mains GST, compensation

Benefits

→ simple, efficient; wider growing base = compliance (earlier honest paid evader's share)
→ ITC across Centre and State taxes = biggest reform; harmonised administration; automated GSTN
→ Compliance logic: low cost of compliance, high cost of non-compliance; system catches evader, not an officer (earlier penalty = bribe)

Handout page 13 (12 items)

→ less cascading, lower prices, common national market, small taxpayers (EODB), self-regulating electronic system (fewer black transactions)
→ simplified regime, informed consumer, consumption-based tax and CST abolished (poorer States gain), exports zero-rated, IGST protects industry (Make in India)

⚠ Challenges

→ Multiple slabs 0, 5, 12, 18, 28% (2022); raw agri produce zero-rated; luxury and negative-externality goods cess above 28%; most important
→ filings (e.g. GSTR-3B) fell but still above earlier "zero"

→ **Lobbying and politicisation:** food processing seeks zero rating; Centre's Council majority accused of election-time cuts

→ **One flat rate = regressive**; slabs add progressive element (0/5% necessities; 18% and 28% + cess luxury and demerit)

🗺️ Compensation to States

→ pre-2017 revenue base; assumed **14%** nominal growth a year for **five years (till 2022)**

→ Centre pays shortfall, only **on account of GST implementation** (not State failure or pandemic)

→ **GST compensation cess** on luxury and demerit goods; meant to end 2022; continuing "thanks to Covid"

💰 Revenue Neutral Rate (RNR)

→ average GST rate giving **same revenue**

→ pre-GST incidence about **30%** (12% excise, 14% VAT, others)

→ at 30%, ₹10 tax = only **₹33** of ₹100 output taxed (one-third of GDP)

→ if GST taxes **double** value (two-thirds), **15%** rate still gives ₹10 = RNR

Anti-profiteering: keeping a tax cut as extra profit is **illegal**. Institutions: **National Anti-Profiteering Authority**, Standing Committee, State-level Screening Committees. ✅

👥 8 · ACT FEATURES: REGISTRATION, COMPOSITION, E-WAY, GSTN

Feature	Provision
⚡ Jurisdiction	concurrent: Centre CGST, States SGST; Centre IGST on inter-State and imports
Mode	all electronic; non-intrusive
Registration	PAN-based; turnover above **₹20 lakh** (**₹10 lakh** special category except J&K); voluntary allowed
Deemed registration	in **three working days**
ITC	on all procurements except a few items
📜 E-way bill	inter-State from **01.04.2018**; all States/UTs intra-State by **16.06.2018**

👥 Composition levy

→ optional, for small taxpayers: prescribed % of turnover, quarterly

→ **Not for** inter-State suppliers, service providers (**except restaurant**), specified manufacturers

→ return **GSTR-4** by **18th** of month after quarter (Jul-Sep 2017: 18 Oct 2017)

📌 **Source conflict (handout alert):** Main Features list says composition limit **₹100 lakh**; composition paragraph says **₹75 lakh** (₹50 lakh in a few States). Not reconciled. **Rule:** if both options appear, pick the one matching the wording (₹75 lakh with composition paragraph); if only one, use it.

💰 GSTN

→ incorporated **March 2013**, **Section 25** private limited company, paid-up capital **₹10 crore**

→ equity: earlier Centre, States **and private sector**; **now fully government**

→ common pass-through portal: registration, returns, payment; **Infosys** = Managed Service Provider (MSP); **73 GST Suvidha Providers**

Traps

→ zero-rated = credit + drawback, exempt = none

→ ITC same tax only

→ compensation only for GST-caused loss

→ alcohol out, tobacco in

→ CST = inter-State, VAT = intra-State.

1980s CENVAT/MODVAT

2005 State VAT

Mar 2013 GSTN

08.09.2016 101st Amendment

01.07.2017 GST starts

01.04.2018 e-way bill inter-State

16.06.2018 intra-State e-way

2022 compensation ends

Recall drill: cover and answer

Cascading in shirt example?	₹550 price, 33.5% effective tax; of ₹32 only ₹5.8 fresh value, ₹26.2 tax on tax	VAT year? Why not enough?	State VAT 2005, CENVAT/MODVAT 1980s; VAT still taxed excise (₹2 left)
ITC golden rule?	Same tax only; tax charged on entire value, ITC makes it on value added	GST definition and three properties?	Tax on supply except alcohol for human consumption; one nation-one tax, destination-based, VAT-like
CGST, SGST, IGST?	Within State CGST + SGST (destination State); inter-State and imports IGST (Art 269A); customs outside	GST Council numbers?	Art 279A; FM chair; quorum 50%; 75% decision; States 2/3, Centre 1/3; 101st Amendment 08.09.2016, Art 246A
Outside GST?	Alcohol for human consumption, 5 petroleum products, local entertainment tax; tobacco inside	Compensation rule?	14% growth, 5 years (till 2022), only GST-caused shortfall; cess funded
RNR and anti-profiteering?	RNR keeps revenue same (30% on 1/3 GDP vs 15% on 2/3); pass tax cut on to buyer	Registration, GSTN, e-way?	₹20 lakh (₹10 lakh special); GSTN Mar 2013 Section 25, Infosys, 73 GSPs; e-way 01.04.2018

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GST = Goods and Services Tax — Common indirect tax on goods and services; policy by the GST Council (Art 279A)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

MSP = Minimum Support Price — Price at which the government buys notified crops; CACP recommends it

RNR = Revenue Neutral Rate

GOVERNMENT BUDGET AND FISCAL POLICY

PYQ Prelims 2010-2023 (25 Prelims) · Mains 2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025 (10 Mains) · High

Budget = accounting for the future; asset-liability test sorts revenue vs capital; FD = borrowing; FRBM and N.K. Singh keep it in check; taxes and Finance Commission shape federalism.

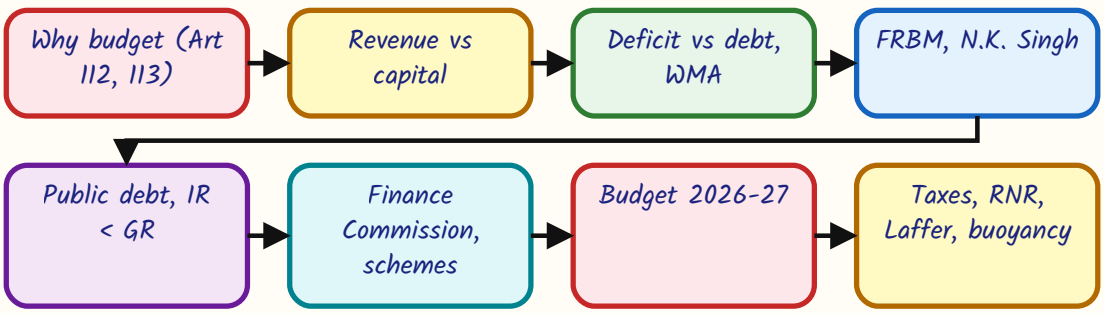
Current affairs · verify dates

Consumer Protection (E-Commerce) Amendment Rules, 2026
The Department of Consumer Affairs notified amendments to the 2020 E-Commerce Rules; in force from January 2027.

Annual Survey of Industries (ASI) 2024-25
MoSPI released ASI results for FY 2024-25.

Western Dedicated Freight Corridor (WDFC) completed
The PM inaugurated the final sections of the WDFC, completing the 2,843-km DFC network (Eastern and Western).

At a glance: the route of the chapter



1 · WHY A BUDGET PYQ Prelims Art 112/113

State and budget

→ State = artificial entity for goods the market cannot give; authority = taxes, responsibility = spend

→ accounting records past; budgeting = accounting for the future

→ Art 112 (AFS): President lays estimated receipts and expenditure before both Houses yearly; show separately charged on Consolidated Fund; distinguish revenue from other

→ Doctrine of Public Trust: transparency (Art 112) + permission (Art 113)

→ Art 113(2): Lok Sabha may assent, refuse or reduce demand for grants ("no taxation without representation")

"Annual renewal of the social contract and the ultimate document of public trust."

2 · FUNCTIONS

Function	Objective	Meaning
Taxation (distribution)	Equity	collect more from those who can give more
Expenditure (allocation)	Efficiency	public goods (non-rivalrous); defence, infrastructure, health over freebies
Stabilisation	Balance	max tax hurts growth, max spend causes inflation; aim inflation, growth, jobs, regional balance, exports, technology

Prepared by Budget Division, Dept of Economic Affairs, MoF. Slides: objectives matter less than the ways to achieve them. Total Receipts include borrowing: TR = RR + CR (debt + non-debt capital receipts).

3 · REVENUE AND CAPITAL ACCOUNTS

Slide-only: Plan/Non-Plan abolished since 2017 (Rangarajan committee 2012); Railway budget merged; presentation preponed to 1 February.

Why separate revenue: is govt viable day to day? "Core" is subjective; Supreme Court: capital-revenue distinction "describable but not strictly definable". Asset-Liability Test: changes govt assets or liabilities = Capital; else Revenue (like BoP: capital defined, rest current).

Entry	Meaning	Examples
Revenue Receipts (RR)	non-redeemable; no liability, no asset sold	tax: income, corporate, GST, customs; non-tax: fines, fees, PSU dividends, interest on loans given, foreign grants
Revenue Expenditure (RE)	maintenance; no asset, no liability cut	salaries, pensions, office, subsidies, interest
Capital Receipts (CR)	creates liability or reduces asset	debt: G-Secs, T-Bills, sovereign bonds, foreign loans; non-debt: disinvestment (Air India, LIC), recovery of loans to States
Capital Expenditure (CE)	creates asset or cuts liability	physical: highways, ports, hospitals, jets; financial: loans to States/nations, PSU equity; repayment of principal

Ledger effect	Assets	Liabilities
Capital Expenditure	↑	↓ (or no rise)
Capital Receipts	↓	↑

Rules: interest = RE, principal = CE. Defence: salaries, rations, ammunition = RE; jets, carriers = CE. Any transfer to a State except a loan = RE (leads to ERD).

🎯 4 · DEFICIT vs DEBT, BD, MONETISATION, WMA PYQ Prelims deficits

Deficit vs debt

→ deficit = flow (yearly); debt = stock (all unpaid past deficits)
→ BD = TE − TR; TE = intentions, TR = capabilities; habitual BD = "political theatricality"
→ CADP (1974) announced canals unfunded → AIBP (1996) to finish
→ Monetised deficit: BD financed by RBI printing money against govt bonds

Monetisation harms	Why
loss of RBI independence	printing press; cannot control money supply
currency integrity destroyed	RBI balance sheet full of bonds of indebted govt; trust in note collapses
inflation	excess-money inflation controllable; trust-loss inflation structural

WMA (1997)

→ RBI-govt agreements abolished BD and monetisation; govt promised no BD
→ RBI helps temporary mismatch; two loans to Centre and States

- **Normal WMA** → short term, unsecured overdraft on minimum balance
- **Special WMA** → beyond Normal limit; collateral (G-Secs, T-Bills)

→ RBI and govts meet before each budget; strictly short term

⚠️ Market discipline fails

→ borrower is not the repayer; Friedman: spending like alcohol, hangover (inflation) later
→ Inter-generational: children repay; Oil Bonds (2005–2012) to oil marketing companies instead of raising petrol prices
→ Intra-generational: crowding out, inflation hurts poor (Engel's law)
→ debt not bad itself: multiplier (AD = C + G + I + X − M); unsustainable = recession with very high inflation

🎯 5 · FRBM AND THE FAMILY OF DEFICITS PYQ Prelims, Mains FRBM

📜 FRBM Act, 2003 (Parliament bound its hands)

→ FD within 3% of GDP, 5 years
→ eliminate RD, 5 years

🗺️ three statements

→ Macro-Economic Framework Statement: growth, GDP, external sector
→ Medium-Term Fiscal Policy (MTFP): three-year rolling targets FD, RD, Debt
→ Fiscal Policy Strategy Statement: priorities, tax/expenditure policy, justification of deviations

→ = "fiscal consolidation roadmap"; deadlines missed, credibility fell

Deficit	Formula	Point
💰 Fiscal Deficit (FD)	TE − Non-Debt Receipts (NDR) = debt CR = borrowing	BD = 0 after WMA, so TR = TE: Debt CR = TE − (RR + NDCR)
Gross FD	TE − NDR	actual borrowing
Net FD	GFD less lending to States and PSUs	borrowing for own use
Primary Deficit (PD)	FD − interest	interest = largest non-discretionary; gross and net versions
💰 Revenue Deficit (RD)	RE − RR	borrowing to run itself: "hallmark of unsustainable State"
Effective RD (ERD)	RD − grants for capital assets (A)	add A to CE = Effective CE; deduct A from RE = Effective RE

Year	FRBM FD target	Actual	Reason
2003–04	baseline	4.5%	pre-FRBM
2004–05	~4.2%	4.0%	strong buoyancy
2005–06	~3.9%	4.1%	slight slip
2006–07	~3.6%	3.5%	GDP growth above 9%
2007–08	3.0%	2.5%	overachieved; corporate tax
2008–09	2.5% (budgeted)	6.0%	GFC, 6th Pay Commission, ₹71,000 Cr farm loan waiver, oil bonds
2009–10	3.0%	6.5%	stimulus: excise cuts

Amendment	Change
2004	sunset pushed from 2008 to 2009
2012	ERD introduced; deadline 2015
2015	deadline pushed to 2018
2018	overhauled on N.K. Singh lines; RD and ERD targets scrapped; FD 3% by 2021

Source conflict (handout alert): 2008–09 target "2.5% (budgeted)" beside 3.0% in 2007–08, and targets said suspended in 2009; 2.5% unexplained. Remember the story: 3% target, 2.5% in 2007–08, 6.0% and 6.5% after the crisis.

🗳️ N.K. Singh Committee (2016) (escape clause vague; Act suspended 2009)

→ Debt anchor: General Government Debt 60% of GDP (Centre 40%, States 20%); deficit = operational target

Escape clauses (5)

→ national security / war

→ national calamity

→ collapse of agriculture hitting output and incomes

→ structural reforms with unanticipated fiscal effects

→ quarterly real growth fall of at least 3 pp below previous four-quarter average

→ Counter-cyclical policy: save in booms, spend in recessions

Parameter	High growth	Low growth
💰 Ability to borrow, tax resources	high	low
Need to spend	low	high (unemployment)
Actual spending (pro-cyclical)	high (ability high)	high but less; borrowing unsustainable; rigid downward

Economic Survey box: counter-cyclical = contractionary in good times, expansionary in bad; pro-cyclical reinforces the cycle. "Indian Kings used to build palaces during famines and droughts to provide employment." Slide 14: deficit trends and financing sources (market borrowings, small savings securities, State PF, cash balance draw-down).

🎯 6 · PUBLIC DEBT AND SUSTAINABILITY PYQ Prelims public debt

Total liabilities = Public Debt + Other Liabilities	Where	What
Public Debt	Consolidated Fund of India	market borrowing for FD via G-Secs, T-Bills; slides: Internal (residents) and External Public Debt (non-residents: FIIs, foreign govts)
Other Liabilities	Public Account	held as banker/trustee: NSSF, Provident Funds, Pension (NPS), Judicial Deposits; slides: PPF, NPS

Crucial Trap: Internal public debt (banks, RBI, citizens); External Public Debt (govt to foreign, e.g. World Bank); External Debt of the Nation = External Public Debt + private borrowing abroad (ECBs, NRI deposits). Slide 15 defines it as govt + citizens to the world. "Do not confuse debt of the Sovereign with debt of the Nation."

Who manages debt

→ RBI = debt manager and monetary authority (conflict: fights inflation vs wants cheapest loans)

→ proposed independent PDMA; interim PDMC in MoF for internal debt; RBI still major

💡 Five principles of debt management

→ minimise cost

→ prefer domestic over external (rupees; no geopolitical pressure)

→ external debt in domestic currency (FII in rupee G-Secs, Masala Bonds; dollar debt + depreciation: Sri Lanka, Latin America)

→ elongate maturity (10, 20, 40 yrs; 91-day T-Bills = rollover risk)

→ IR < GR

Slide 16: low cost, longer maturity, financed locally, external debt in domestic currency, ability to pay (IR-GR differential); Debt:GDP 60% (40 Centre, 20 States). ⭐

Debt dynamics: d = debt/GDP, i = interest, g = nominal growth, p = primary deficit % GDP. $\Delta d \approx (i - g) \cdot d(t-1) + p$ (policy pillar p; snowball $(i - g) \cdot d$). A: $i < g$ (i 6%, g 10%, -4%): ratio melts. B: $i > g$ (g 4%, i 7%, +3%): debt trap, rises even at zero PD; only primary surplus ("political suicide"). Proof "never asked". ✅

💰 7 · EXPENDITURE AND FISCAL FEDERALISM

PYQ Prelims, Mains federalism

Unitary bias and channels

→ Centre: more, richer tax powers, fewer duties; poor States (Meghalaya, Bihar) need Centre as equaliser

→ (a) Finance Commission devolution and grants; (b) schemes

Art 280: FC every 5 years

→ vertical (Centre vs States) and horizontal (among States)

→ Art 275: statutory grants-in-aid from CFI for weak States with revenue deficit; legal, unconditional

→ Art 282: grants for any "public purpose" (route of discretionary scheme transfers)

14th FC (Y.V. Reddy, 2015-20)
States' share 32% to 42%

15th FC (N.K. Singh, 2021-26)
41% (J&K became UT; with J&K and Ladakh slightly up)

16th FC
set up

Horizontal criterion	14th FC	15th FC	Rationale
Income distance	50.0%	45.0%	equity; poorer gets more
Population 1971	17.5%	0.0%	dropped
Population 2011	10.0%	15.0%	administrative need; angered South
Demographic performance	0.0%	12.5%	new; rewards lower TFR
Area	15.0%	15.0%	larger States cost more
👫 Forest/ecology	7.5%	10.0%	rewards forests
💰 Tax and fiscal effort	0.0%	2.5%	new; rewards efficiency
Total	100%	100%	

Source doubt (handout alert): handout says TFR "has now reached 2.0 (NFHS-2)", below replacement 2.1; NFHS-2 is an old round, likely a slip. Use only the idea; check survey name in your notebook. South: earlier demographic transition (industrialisation, female literacy, maternal healthcare), no coercive laws; North TFR falling too.

	Central Sector (CS)	Centrally Sponsored (CSS)
Subjects	Union List / direct central	State or Concurrent List (health, education, agriculture)
Execution	Central machinery	State government

💰 Funding	typically 100% Centre (PM-KISAN, BharatNet, defence procurement)	grant-in-aid; State matching share (usually 40%)
Friction	low	primary source of federal friction

The Ultimate Prelims Trap: PMFBY is officially a Central Sector Scheme (Statement 4B) though premium subsidy is 50:50 Centre-State after farmer pays 1-5%; Centre pays insurers directly, bypassing State treasury. "CS = always 100% Centre" is false. Slide 11 CS examples: MIS and Price Support, PM-KISAN, Crop Insurance, Interest Subvention, NBC, BARC, Ayushman Bharat, FAME India, Khelo India. ⭐

🗺️ Command to cooperative federalism

→ Planning Commission era: Art 282 tied grants; Tamil Nadu Mid-day Meal dropped; overlap (Sabla, Indira Gandhi Matritva Sahyog Yojana)
→ 2011: CSS 147; B.K. Chaturvedi Committee → 59
→ 2014 shift: 14th FC 32→42%; market orientation; regional parties; Planning Commission abolished 2014 → NITI Aayog
→ Sub-Group of CMs (Shivraj Singh Chouhan) capped CSS at 30

Bucket	Features	Examples
Core of the Core (6)	social protection for most vulnerable; first charge on budget	MGNREGA, NSAP, umbrella schemes for SCs, STs, Minorities
Core (~22-24)	usually 60:40; 25% Flexi-Fund	Jal Jeevan Mission, PM Awas Yojana, National Health Mission
Optional	adopt, ignore, replace; portability to Core	Border Area Development Programme (withered away)

🗺️ Major expenses of the Centre

A. Own expenditure
→ establishment
→ Central Sector Schemes
→ others, e.g. interest

B. Central transfers
→ FC grants (revenue-filling or sector-specific)
→ CSS
→ grants/loans to States

→ transfers: large share FC (Art 280 devolution, Art 275 grants); schemes under Art 282; devolution untied, rising = fiscal federalism

📰 In the news · Sept 2026 (verify dates) WDFC completed: PM inaugurated final sections, completing 2,843-km DFC network. NIIF Infrastructure Fund II raised about Rs 19,000 crore of Rs 30,000 crore target. India's first LNG-powered train flagged off from Sabarmati, Gujarat.

💰 8 · BUDGET AT A GLANCE 2026-27 BE PYQ Prelims budget

Item	₹ crore	% GDP	Check
💰 Fiscal Deficit	16,95,768	4.3%	= borrowings and other liabilities = TE − (RR + loan recovery + other receipts)
💰 Revenue Deficit	5,92,344	1.5%	= RE 41,25,494 − RR 35,33,150
Effective RD	99,642	0.3%	= RD − capital-asset grants 4,92,702
Primary Deficit	2,91,796	0.7%	= FD − interest 14,03,972

Page 39 figures (BE 2026-27): capital receipts 18,14,165 (recovery of loans 38,397; other receipts 80,000; borrowings 16,95,768); total expenditure 53,47,315; effective capital expenditure 17,14,523; GDP ₹393,00,393 crore. Slide 12 budget size ₹39.45 lakh crore. ⭐

💰 Tax picture

→ gross tax revenue about 10-11.5% of GDP (11.2% 2026-27 BE); direct 5.9% (2017-18) → 6.9%; indirect 5.4% → 4.3%
→ Tax:GDP stable (same 20 yrs ago); key change = rising direct share
→ Income tax on individuals now greater than any other tax incl. corporation tax ("do not jump to conclusions")

In the news · Sept 2026 (verify dates) Corporate Mitra Scheme: first batch began with 2,879 learners after Budget 2026-27 announcement.

9 · TAXATION PYQ Prelims taxes, Mains

Tax law

→ social contract for non-rivalrous, non-excludable goods; Art 265: no tax except by authority of law

→ Structure: (1) taxable event (2) taxable value (3) rate (4) responsible entity (5) manner of payment (TDS, advance tax)

Basis	Types	Notes
Distributive	Progressive (rate rises), Proportional (flat), Regressive (falls as income rises)	income tax 5–30%; corporate ~25% small, 30% larger (flat in each tier); indirect on goods regressive (slabs make progressive); direct turns regressive when rich evade
Burden	Direct: impact and incidence on same person. Indirect: impact on one, incidence on another	GST impact on seller, incidence on consumer; exceptions: Reverse Charge (buyer deposits), TDS (payer deposits)
Method	Ad valorem: % of value. Specific: physical measure, any price	ad valorem: 18% GST on phone, 7% stamp duty, 10% customs (28% luxury still ad valorem); specific: fuel excise, carbon tax on coal (₹400 per tonne), professional tax (₹2,500 a year); compound: cigarettes (ad valorem on MRP + specific on filter length)

Tax	Event	Levier	Pays / bears
Income tax (IT Act 1961, now 2025 Act)	earning income	Centre	earner / earner
Corporate income tax	company profits	Centre	company / company
MAT	tax below threshold (slide: only if CIT below 18% of profits)	Centre	company / company
Professional tax	being a professional	State	professional / professional
Excise duty	production	Centre	producer / buyer
Customs duty	entry into country	Centre	importer / buyer
Entry tax / Octroi	entry into State / local body	State / local	importer / buyer
Service tax	sale of service	Centre	seller / consumer
CST	inter-State sale of goods	Centre, all to selling State	seller / buyer
Sales tax / VAT	intra-State sale	State	seller / buyer
GST	sale of goods and services	Centre + State	seller / buyer

Source conflict (handout alert): in the narrative, "intra-State" and "inter-State" labels are swapped (Delhi buyer from Maharashtra seller is inter-State, CST). Handout's own table is right. Rule: CST = inter-State; sales tax/VAT = intra-State.

Income tax in handout

→ other direct: Wealth tax (Centre, abolished), professional tax (States), capital gains (part of IT)

→ five heads: Salaries, House Property, Business/Profession, Capital Gains, Other Sources; agriculture only States can tax, none does

→ law must: recognise income (borrowing not income; ₹2,000 profit on ₹8,000 saree sold ₹10,000), taxable value (flat 30% standard deduction on rent; earlier indexation), rates by asset and holding period, collect (TDS)

→ exemptions = nudge (health/life insurance, housing, capital goods, charity); MAT 2005 (profits under Companies Act, 2013); individuals: AMT

Complexity feeds evasion

→ low compliance cost + high non-compliance cost, both needed (speed-limit)

→ 700-page Act amended yearly became evasion facilitator (CAs needed; trusts, shell companies, "agricultural" farmhouses)
→ simpler Direct Tax Code (DTC)

💰 Corporate vs personal tax myth

→ 2019: base corporate rate 30% → 22% (15% new manufacturing); from 2021 PIT collections surpassed CIT
→ not inherently anti-poor: profits reach people as dividends and salaries
→ G7: corporate tax below 10% of revenue; India CIT 22–26%

💰 Narrow tax base

→ of 140 crore only 8–9 crore file; about 7 crore zero-tax; effective payers under 2 crore (about 1.5%)
→ top 1% bear nearly 90% of direct tax, mostly salaried under TDS
→ new DTC = "moral imperative"

Slide 22 "Unshackled but undertaxed" (MOSPI, RBI, UN, ministries; National Income Committee 1951) (1948, 1972, 1997, 2022): gross domestic savings 9.5, 14.1, 24.2, 31.4 (% GDP); Tax/GDP 2.8, 5.1, 6.8, 7.1; direct/total tax 52.8, 17.5, 35.2, 50; fiscal deficit 0, 2.53, 5.66, 6.8; population 361, 548, 990, 1,380 million; foodgrains 50, 97, 193, 308 mt; import cover NA, 2.9, 6.5, 17.8 months; agriculture/GDP 54.7, 41.2, 24.3, 16.7. ⭐

💰 10 · VAT TO GST RECAP (read with Ch 11)

VAT achieved	VAT could not solve
💰 less cascading within State taxes	no ITC across taxes (VAT vs excise, service tax)
self-policing: buyer wants invoice for ITC	no ITC across States; inter-State bore CST (non-creditable)
lower burden, better compliance	fragmented rates: 29 VAT laws

💰 GST (101st Amendment 2016; effective 1 July 2017)

→ one nation-one tax (excise, service tax, VAT, CST, entry tax, octroi, luxury tax); destination-based (TN shirt sold in Delhi: State part to Delhi); seamless ITC
→ Example: ₹1,000 intra-State at 18%: CGST ₹90 + SGST ₹90; inter-State: IGST ₹180 by Centre (half later to destination State)
→ Council Art 279A: VC = State FM elected by States; members MoS (Finance) + FMs of all States and UTs; quorum 50%; Centre 1/3, States 2/3; 75%; recommendations not constitutionally binding

States' argument	Counter-argument
💰 lost fiscal autonomy (earlier raise VAT overnight); Kerala floods 2018, COVID 2020	old autonomy = trade barriers, octroi, check-post harassment, 29 rates; unified market; EODB rank 130 (2017), 77 (2019), 63 (2020); higher revenue, Centre borrowed for States in COVID, common market (Art 301–307)

👥 Inverted duty structure (GST 1.0)

→ input rate above output rate: ITC piles up, refund dependence
→ textiles (input 12–18% vs 5% fabric); pharma (12–18% APIs/packaging vs 5–12%); fertilisers (5–18% vs 5%/exempt); export units (0%)
→ FY 2025-26: ₹1.5 lakh crore+ refunds pending; not fixed (politics, revenue loss, lobbying); GST 2.0 (Aug-Sept 2025) rationalised rates
→ Final: unified market; 1.44 crore businesses formal; "cascading 70% eliminated, rest only because of petroleum"; goods cheaper, services costlier; SMEs mixed; large firms win

Source conflicts (handout alerts): (1) GST 2.0 (Aug-Sept 2025) rationalised rates but updated document is not in material; Ch 11 still lists 0/5/12/18/28; new slabs not written; use latest Council notification. (2) Here pre-GST indirect rate about 33%, RNR examples 25% and 20%; Ch 11 says about 30% and 15%: different illustrations of the same idea. 📌

💰 11 · RNR, LAFFER, ELASTICITY, BUOYANCY

PYQ Mains GST/ Laffer

RNR (this handout)

→ pre-GST indirect incidence about 33%; Tax:GDP about 15–17% (Centre 11–12%, States about 5%); Centre ~11% = ~6% direct + 5% indirect; indirect about 10% of GDP

→ 33% × X% = 10% → X ≈ 30% of GDP taxed

→ base unknown so multiple slabs at start; Arvind Subramanian (ex-CEA) committee on RNR

Share of GDP taxed	RNR to still collect 10% of GDP
💰 ~30% (pre-GST)	33%
40%	25%
50%	20%

Laffer curve

→ inverted U: rate 0–100% vs revenue; 0% = zero; 100% = nobody works = zero; optimum t*; beyond it evasion rises, revenue falls

2019 corporate tax cut (Sept 2019)	Old	New
Existing domestic companies	30% + surcharge (~35%)	22% + surcharge (~25.17%), ~10 pp lower
👫 New manufacturing (post Oct 2019)	25%	15% + surcharge (~17.01%), ~8 pp lower
💰 Revenue cost estimate		₹1.45 lakh crore a year

Corporate tax collections	₹ crore	YoY	Note
2018–19	6,63,572	17.1%	baseline
2019–20	5,56,876	-16.1%	cut + COVID near
2020–21	4,57,719	-17.8%	COVID year
2021–22	7,12,037	+55.6%	recovery, base effect
2022–23	8,25,834	+15.9%	strong
2023–24	9,11,735	+10.4%	settled
🆕 2024–25	10,22,000	+12.1%	buoyancy

Govt Laffer argument: at about 35% India in "prohibitive zone"; cut to ~25% attracts FDI, curbs profit shifting, aids reinvestment and formalisation. Verdict: fell in FY20, FY21, then surged (FY22 ₹7.12 lakh crore; FY23 ₹8.25 lakh crore). ✅

Source doubt (handout alert): analysis "inherently difficult" (100 other factors); handout says old rate "30%" and "~34.9% to ~25.17%" while table says ~35%. Quote direction: 30 → 22, 25 → 15. 📌

	Elasticity	Buoyancy
Formula	% change tax revenue ÷ % change tax rates (GDP constant)	% change tax revenue ÷ % change nominal GDP (rates constant)
Reading	10% rate rise gives 2% revenue = highly inelastic (evasion)	greater than 1 = collections outgrow GDP without hikes
Numbers		Pre-GST (2012–13 to 2015–16) 0.72 (States' subsumed taxes, Interim Budget 2024); post-GST (2017–18 to 2022–23) 1.22 (SGST)

Handout: GST a "monumental success" in buoyancy; E-way bills and automated ITC matching beat VAT-era inspector raj. ✅

12 · SLIDE-ONLY TOPICS

Growth and investment models (slides 24–28)

→ **Trickle-down:** top grows, benefits redistributed; bottom passive

→ **Inclusive growth:** poverty reduction, jobs, skills, regional disparity, health and education access, vulnerable groups, industry

→ **SDGs:** 17 goals (No Poverty to Partnerships)

Investment models

→ import substitution

→ **Harrod-Domar** (savings, investment, ICOR)

→ **Mahalanobis** heavy-industry: rising investment, public sector in capital goods, import substitution, controls and licensing

→ export-led growth; **Aatmnirbhar Bharat**

📝 Schumpeter 3 stages

→ more factors (agrarian → industrial China)

→ higher productivity of factors

→ inventing new ways (research, "modern America")

PPP

→ thin govt resources; monetisable public goods

→ **4 Rs:** Resources, Risks, Responsibilities, Rewards

→ contracts: **BOT, EPC, HAM** (hybrid annuity), **Swiss Challenge, Viability Gap Funding**

Term (slide 23)	Definition
💰 Tax planning	legal, legitimate: acceptable expenses and investments
💰 Tax avoidance	"may not be illegal, but certainly illegitimate"
💰 Tax evasion	illegal

Also on slide: **BEPS**; related-party transactions, **arm's length principle**, advance pricing agreements; **DTAA**; **GAAR**; money laundering and round tripping (Security classes). **GST slides 20–21:** collect on entire value, depositor shows input value, ITC refunds difference; good tax = incentive to comply, disincentive not to; system catches offender, not an individual. ⭐

📰 ***In the news · Sept 2026 (verify dates)*** **E-Commerce Amendment Rules 2026** (Consumer Protection, 2020 rules) in force Jan 2027; **DILRMP 3.0** (2026–2031) guidelines; **BIS** compulsory certification for screen protectors from 1 Apr 2027; first global **road surface dataset** (Heidelberg, HeiGIT).

Traps

→ PMFBY is Central Sector

→ public debt ≠ debt of the nation

→ grants to States (not loans) = RE

→ elasticity = rate, buoyancy = GDP (0.72 → 1.22)

→ CST inter-State

→ GST rates changed after handout.

1974 CADP	***1996*** AIBP	***1997*** WMA	***2003*** FRBM
2005 VAT, MAT	***2005–12*** Oil Bonds	***2011*** CSS 147	***2014*** NITI Aayog
2016 N.K. Singh, 101st Amdt	***2018*** FRBM overhaul	***Sep 2019*** corporate tax cut	***2021–26*** 15th FC
Aug–Sep 2025 GST 2.0			

Recall drill: cover and answer

Art 112 and 113?	112 = Annual Financial Statement (estimated, distinguish revenue); 113 = Lok Sabha assents, refuses, reduces demands	Asset–liability test; interest vs principal; grants to States?	Changes assets/liabilities = Capital; interest = RE, principal = CE; grants (not loans) = RE
FD, PD, RD, ERD formulas?	FD = TE − NDR; PD = FD − interest; RD = RE − RR; ERD = RD − grants for capital assets	WMA 1997: what and types?	Ended BD/monetisation; Normal (unsecured) and Special (collateral)
FRBM 2003 and amendments?	FD 3%, RD zero, 3 statements; 2004, 2012 (ERD), 2015, 2018 (RD/ERD dropped, FD 3% by 2021)	N.K. Singh 2016?	Debt 60% GDP (Centre 40, States 20); 5 escape clauses (3 pp growth fall); counter-cyclical
Public debt vs nation's debt; debt rule?	Public Debt in CFI + Other Liabilities in Public Account; External Debt of Nation adds private (ECBs, NRI); IR < GR; $\Delta d \approx (i - g)d + p$	Finance Commission numbers?	Art 280, 275, 282; 14th 32→42%; 15th 41%; weights 45/15/12.5/15/10/2.5
CS vs CSS; PMFBY; CSS pruning?	CS = Centre executes; CSS State executes (40% share); PMFBY is CS (50:50 premium subsidy); 147 → 59 → 30; 6 core of the core; 25% flexi-fund	Buoyancy numbers; RNR; Budget 2026–27 BE?	Pre-GST 0.72, post 1.22; RNR 33% on 30% GDP; FD 4.3%, RD 1.5%, ERD 0.3%, PD 0.7%

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

GDP = Gross Domestic Product — Total value of goods and services produced within a country in a year

GST = Goods and Services Tax — Common indirect tax on goods and services; policy by the GST Council (Art 279A)

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

PMFBY = Pradhan Mantri Fasal Bima Yojana — Crop insurance scheme

PSU = Public Sector Undertaking — Company owned mainly by the government

NRI = Non-Resident Indian — Indian citizen living abroad

PM-KISAN = Pradhan Mantri Kisan Samman Nidhi — Income support of Rs 6,000 a year to farmer families

NITI = National Institution for Transforming India — Government policy think tank that replaced the Planning Commission in 2015

PM = Prime Minister — Head of the Union government

IT = Information Technology — Computing and digital technology (for example, the IT Act, 2000)

UT = Union Territory — Area administered directly by the Union government

MGNREGA = Mahatma Gandhi National Rural Employment Guarantee Act, 2005 — Legal guarantee of 100 days of wage work to rural households

DFC = Dedicated Freight Corridor — Rail routes built only for freight

UN = United Nations — World body of states founded in 1945 for peace, security and cooperation

FDI = Foreign Direct Investment — Investment by a foreign entity with ownership or control in an Indian business

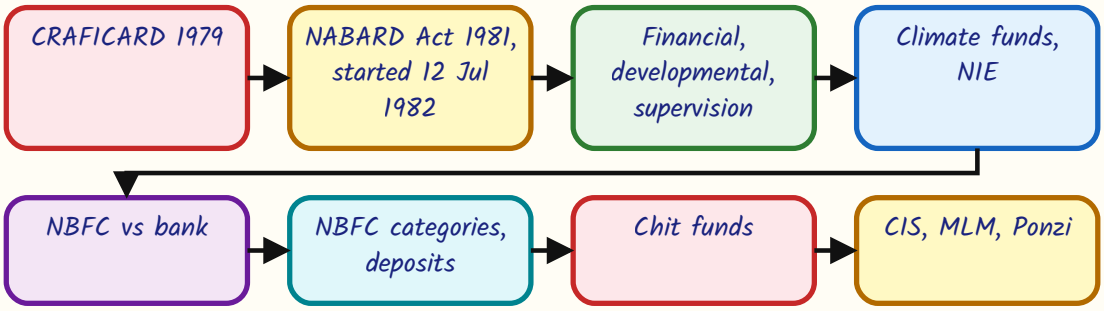
PPP = Public-Private Partnership — Long-term project partnership between government and a private firm

NABARD, NBFCS, CHIT FUNDS AND PONZI SCHEMES

PYQ Prelims 2010, 2020, 2023, 2024 (4 Prelims) · Mains 2014 (1 Mains) · Light

✎ *NABARD is the rural development bank (financial, developmental, supervision) and climate-finance entity; NBFCs lend like banks but lack demand deposits, payment system and DICGC; chit funds are State-regulated and Ponzi/MLM banned by the 1978 Act.*

At a glance: the route of the chapter



1 · HOW NABARD CAME TO BE

30 Mar 1979 CRAFICARD (B. Sivaraman) → **28 Nov 1979** interim report → **1981** Act 61 → **12 Jul 1982** NABARD starts

Origin

→ RBI's CRAFICARD (Committee to Review Arrangements for Institutional Credit for Agriculture and Rural Development), chair B. Sivaraman, ex-Planning Commission

→ interim report: new device with "undivided attention, forceful direction and pointed focus" = unique development financial institution

→ Act 61 of 1981; transferred RBI's agricultural credit functions + refinance functions of ARDC (Agricultural Refinance and Development Corporation)

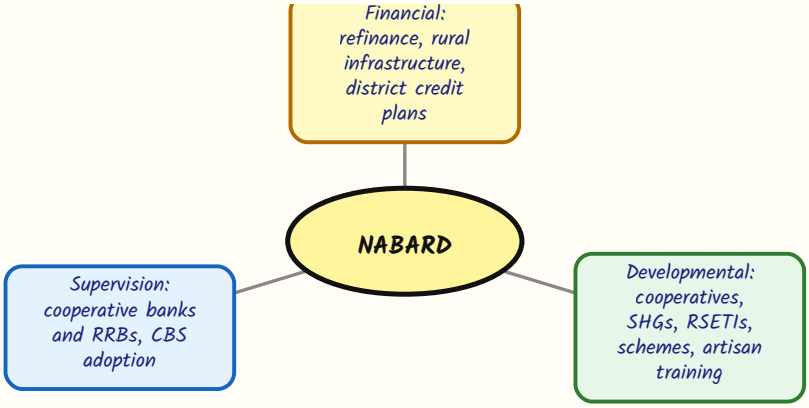
→ now fully owned by Government of India

Mission: "Promote sustainable and equitable agriculture and rural development through participative financial and non-financial interventions, innovations, technology and institutional development for securing prosperity." ⭐

⚡ 2 · FUNCTIONS AT A GLANCE

PYQ Prelims, Mains financial functions

Three heads



Claims: SHG Bank Linkage Project (1992) = "world's largest microfinance project"; Kisan Credit Card designed by NABARD; financed one-fifth of India's rural infrastructure; pioneer in watershed development (climate proofing). ⭐

⚡ 3 · FINANCIAL FUNCTIONS

Type	Covers
💰 Direct finance	food parks, warehouses, cold storage and cold chain; marketing federations; RIDF and NABARD Infrastructure Development Assistance; direct refinance to cooperative banks; Producer Organisations
💰 Indirect finance	Alternative Investment Funds in rural sectors; Long Term Irrigation Fund; PMAY-G funding

LTIF (2016)

→ inside NABARD, corpus ₹20,000 crore; fast-track incomplete major and medium irrigation; Mission in Ministry of Water Resources, River Development and Ganga Rejuvenation

→ finish 2016–2020: Priority I 23 projects by 2016–17; II 31 by 2017–18; III balance 45 by 2019–20

PMAY-Grameen

→ pucca house for houseless and kutcha households by 2022; Ministry of Rural Development; about 2.95 crore houses; 1 crore by March 2019

→ for 1 crore houses (2016–17 to 2018–19): ₹81,975 crore = ₹60,000 crore budget + ₹21,975 crore NABARD borrowings; 2017–18 NABARD sanctioned ₹9,000 crore to NRIDA

Refinance type	Features
Off-farm	rural housing, renewable energy, rural MSMEs
⏳ Short-term	production and productivity, marketing, surplus and savings
⏳ Long-term (LTF)	investment credit, capital formation, tech upgrade; long and medium term to banks; up to 15 years; agriculture and allied (minor irrigation, mechanisation, land development, soil conservation, dairy, sheep/goat), artisans, SSI, non-farm, handicrafts, handlooms, powerlooms, voluntary agencies, SHGs

Eligible for refinance: State Cooperative Agricultural and Rural Development Banks, RRBs, commercial banks, NBFCs and others. ✅

Dated figures (handout alert): LTIF, PMAY-G and refinance numbers are 2016–2019 targets now passed (2020, 2022, March 2019); history of design, not current status. 📌

⚡ 4 · DEVELOPMENTAL FUNCTIONS PYQ Prelims developmental

Developmental

→ more than 50% of rural credit by cooperative banks and RRBs; NABARD regulates and supervises

Institutional Development (ID) supports

→ Rural Credit Cooperatives
→ State Cooperative Banks (StCBs)
→ Central Cooperative Banks (CCBs)
→ PACS
→ SCARDBs and PCARDBs

→ Farm sector: FSDD (Development Dept) and FSPD (Policy Dept)

→ Off-farm: financial inclusion, micro credit innovation, women SHGs, Joint Liability Groups, SHG-Bank Linkage, microfinance

→ RUDSETI / RSETIs: entrepreneurship and skill training for rural youth and women

💰 5 · CLIMATE FINANCE

Fund	Set up	Facts
💰 Adaptation Fund (AF)	Kyoto Protocol, UNFCCC; established 2001, launched 2007 at CoP 7 Marrakech	adaptation projects in developing Kyoto Parties; donors + 2% of CER proceeds (CDM); HQ Washington; Board 16 members, 16 alternates; World Bank interim trustee
💰 Green Climate Fund (GCF)	COP 16 Cancun (Dec 2010); operational COP 17 Durban (2011)	operating entity of UNFCCC financial mechanism; HQ Songdo, Incheon, Korea; paradigm shift to low-emission, climate-resilient development
NAFCC	August 2015	adaptation costs for vulnerable States/UTs; ₹350 crore for 2015-16 and 2016-17; ₹181.5 crore need 2017-18; per SAPCC and NAPCC
💰 NABARD Climate Change Fund	from NABARD profit, 2016-17	annual contribution; impacts, adaptation, mitigation, awareness; "unique" DFI initiative

⚡ NABARD's roles

→ NDA for Adaptation Fund = MoEFCC; proposals with NDA endorsement

→ NIE for Adaptation Fund: July 2012, only NIE for India; NIE = national entity meeting Board's fiduciary standards, full responsibility for management, finance, monitoring, reporting

→ NIE for NAFCC by GoI: identification from SAPCCs, appraisal, sanction, disbursement, M&E, capacity building; (handout also notes NIE under GCF heading)

Source doubt (handout alert): AF "launched 2007 at CoP 7, Marrakech" but GCF numbers COPs 16 (Cancun), 17 (Durban); year and CoP number do not obviously match. Use "established 2001, launched 2007, Marrakech" only if an option repeats it; check COP numbering in your notebook.

6 · SUPERVISION

Supervision

→ Section 35(6), Banking Regulation Act 1949: inspect StCBs, DCCBs, RRBs

→ voluntary inspection: SCARDBs, Apex Weavers Societies, Marketing Federations

Objectives

→ 1 protect present and future depositors

→ 2 business conforms to Acts, rules, bye-laws

→ 3 observe NABARD, RBI, Government guidelines

→ 4 examine financial soundness

→ 5 strengthen institutions to purvey rural credit

7 · NBFCs vs BANKS PYQ Prelims NBFC

NBFC: company under Companies Act, 1956 doing loans and advances; shares, stocks, bonds, debentures, securities; leasing; hire-purchase; insurance; chit business. Excludes principal business of agriculture, industry, trading goods (not securities), services, or immovable property. RNBC: principal business receiving deposits under any scheme.

	Bank	NBFC
Demand deposits	can accept	cannot
Payment and settlement system	part of it; cheques drawn on itself	not part; no cheques on itself
DICGC deposit insurance	available	not available

Registration

→ Systemically important: assets ₹500 crore or more

→ Section 45-IA RBI Act 1934: Certificate of Registration + NOF ₹25 lakh (₹2 crore since April 1999)

Exempt from RBI (other regulator)

→ VCF, merchant banking, stock-broking: SEBI

→ insurance: IRDA

→ Nidhi: MCA (Section 620A Companies Act 1956)

→ chit: State Govts (Chit Funds Act 1982)

→ Housing Finance: NHB

→ stock exchanges; Mutual Benefit companies

→ Mortgage Guarantee Companies notified NBFCs (Sec 45-I(f)(iii)); CICs under ₹100 crore, or ₹100 crore+ not accessing public funds: exempt

Entity	Regulator
Housing Finance Companies	National Housing Bank
Merchant bankers, VCFs, stock exchanges, brokers, sub-brokers	SEBI
Insurance companies	IRDA
Chit fund companies	State Governments (1982 Act)
Nidhi companies	Ministry of Corporate Affairs
Deposit acceptance of banks, co-op banks, NBFCs	RBI

Source conflict (handout alert): systemically important = ₹500 crore here; Ch 7 scale-based regulation (2022): Base Layer = non-deposit NBFCs below ₹1,000 crore. Pick the figure matching the wording (old NBFC-ND-SI = ₹500 crore). DICGC cover quoted ₹1 lakh may be dated; check current limit.

8 · NBFC CATEGORIES

Classified by

→ liabilities: deposit / non-deposit accepting
→ size: non-deposit NBFC-ND-SI and NBFC-ND
→ activity (below)

Type	Definition
💰 Asset Finance Co (AFC)	finances physical assets for productive activity (automobiles, tractors)
Investment Co (IC)	acquisition of securities
👥 Infrastructure Finance Co (IFC)	at least 75% assets in infrastructure loans; NOF ₹300 crore; min rating "A"; CRAR 15%
IDF-NBFC	long-term debt into infrastructure; rupee/dollar bonds, min 5-year; only IFCs sponsor
CIC-ND-SI	acquires shares and securities, meeting conditions
NBFC-MFI	non-deposit; at least 85% qualifying assets
NBFC-Factors	non-deposit; factoring at least 50% of assets and 50% of gross income
Mortgage Guarantee Co (MGC)	at least 90% turnover/income from mortgage guarantee; NOF ₹100 crore
NBFC-NOFHC	wholly owned vehicle for promoter group to set up a new bank; holds bank and other financial companies

👫 9 · RNBC, NORMS, INTEREST, DEPOSITS

RNBC

→ principal business deposits; not IC, AFC or loan company; investments per RBI + liquid assets
→ no deposit ceiling but 100% of liability in Central/State govt securities, FDs with scheduled commercial banks, CoDs of SCBs/FIs, mutual fund units

Prudential norms

→ Deposit Accepting or Holding Directions 2007; Non-SI Non-Deposit Directions 2015; SI Non-Deposit Directions 2015
→ cover income recognition, classification, provisioning, exposure, disclosure, capital adequacy, land/building and unquoted shares limits, LTV for gold-loan NBFCs; deposit-takers also statutory liquidity
→ Interest: deregulated for loans (except NBFC-MFIs); transparent, disclosed in application and sanction letter

Who may accept public deposits	Rule
Banks incl. co-operative banks	may accept
NBFC with deposit-accepting CoR	specific authorisation + investment-grade rating; limit 1.5 × NOF
💰 Housing Finance Cos; companies under Acceptance of Deposits Rules	up to a limit
Co-operative credit societies	members only
Unincorporated bodies	prohibited as principal business; barred even if financial business

Since 1997 no new CoR for deposit acceptance to NBFCs; only banks should take public deposits. Deposit terms: max interest 12.5%; rests not shorter than monthly; minimum 12, maximum 60 months; none repayable on demand; unrated AFCs to be rated by 31 March 2016. Depositors place money on trust; protection supreme; DICGC insures up to ₹1 lakh (handout figure).

10 · CHIT FUNDS

Chit fund / chitty / kuri

→ saving institution: periodic subscriptions; each period's pot to one member by bid, lot, auction or tender; all get a turn; Indian ROSCA

→ Chit Funds Act 1982, Sec 2(b): each subscriber in turn gets prize by lot, auction or tender; not a chit if some (not all) get prize free of future subscriptions, or all get it by turns with liability to pay future subscriptions

→ Regulation: Central Act administered by State Governments; Centre framed no rules; RBI counts as NBFC under MNBC but no framework

→ Fraud: offence under Prize Chits and Money Circulation Schemes (Banning) Act, 1978; States investigate

→ Name rule: Rule 8(2)(b)(iii) Companies (Incorporation) Rules 2014: must indicate "Chit Fund"

	Deposit (RBI Act 1934)	Chit
Definition	money other than share capital, from banks/FIs, security deposits, earnest money, advances against goods/services, chit subscriptions; all other receipts as loan = deposits	instalments with rotating prize; excluded from "deposit"
RBI position	regulated	prohibited from accepting deposits from August 2009; RBI can prosecute

Doubt (handout alert): ban date "August 2009" in one place, "2009" in another (same year); "regulation" says RBI has no framework yet RBI can prosecute. Rule: chit funds = State Governments; RBI hook = deposit ban only.

11 · CIS, MLM AND PONZI

Activity	Regulator or law
MLM, direct selling, online selling companies	not RBI; State Government
Collective Investment Schemes (CIS) (time-share in resorts, wood sale profit, plots)	SEBI; complaints to SEBI and EOW/Police of State
Money circulation, MLM/pyramid, Ponzi	banned by Prize Chits and Money Circulation Schemes (Banning) Act, 1978; accepting money = cognizable offence; States deal; RBI only advises Centre on rules

Schemes

→ Pyramid / MLM: income from enrolling members paying hefty fees, not selling product; break in chain collapses it, lowest suffer

→ Ponzi: high-return promise, no asset creation, old money pays new returns; collapses, perpetrators vanish

→ 1978 Act bars: promote or conduct, enrol, participate by receiving or remitting money

Traps

→ NBFC lacks all three banking features

→ chit funds = State, RBI only deposit ban

→ AF HQ Washington, GCF HQ Songdo Korea

→ Sec 35(6) BR Act = NABARD inspects; Sec 45-IA RBI Act = NBFC registration.

Recall drill: cover and answer

CRAFICARD: date, chair, outcome?	30 Mar 1979, B. Sivaraman; NABARD via Act 61 of 1981, started 12 Jul 1982; fully GoI owned	NABARD three function heads?	Financial, developmental, supervision
SHG-BLP, KCC, LTIF?	SHG-BLP 1992 (world's largest microfinance); KCC designed by NABARD; LTIF 2016, ₹20,000 crore	Supervision provision?	Sec 35(6) Banking Regulation Act 1949: StCBs, DCCBs, RRBs
NIE status?	NIE for Adaptation Fund (July 2012, only one in India) and NAFCC (Aug 2015); NDA = MoEFCC	AF vs GCF headquarters?	Adaptation Fund Washington; GCF Songdo, Incheon, Korea
NBFC vs bank?	No demand deposits, not in payment system (no cheques), no DICGC cover	NBFC registration numbers?	Sec 45-IA RBI Act 1934; NOF ₹2 crore since 1999; systemically important ₹500 crore; deposits max 12.5%, 12-60 months
Who regulates what?	HFC: NHB; broker/VCF: SEBI; insurance: IRDA; Nidhi: MCA; chit: States; CIS: SEBI	Ponzi/MLM law?	Prize Chits and Money Circulation Schemes (Banning) Act 1978; chit funds under Chit Funds Act 1982

Quick brief: abbreviations, schemes, bodies (expansions from notes where given; briefs are general knowledge, verify)

NABARD = National Bank for Agriculture and Rural Development — Apex development bank for agriculture and rural credit

RBI = Reserve Bank of India — Central bank; regulates banks and conducts monetary policy

SEBI = Securities and Exchange Board of India — Regulator of the securities market

SHG = Self-Help Group — Small voluntary group (about 10-20 members) that saves and lends among its members

KCC = Kisan Credit Card — Short-term credit card for farmers

IFC = Information Fusion Centre — Maritime information-sharing centre in the Indian Ocean Region

AF = Adaptation Fund

GCF = Green Climate Fund

AFC = Asset Finance Co

IC = Investment Co

MGC = Mortgage Guarantee Co

CIS = Collective Investment Schemes